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CapitaMalls Malaysia Trust (CMMT)

Annual Report 2011

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CapitaMalls
Malaysia Trust

VISION

To be Malaysia's leading shopping mall real estate investment trust through value creation and continuous innovation.

MISSION

To deliver long term and sustainable distribution of income and potential capital growth to unitholders.

- For Investors : Provide sustainable returns and enhanced asset value
- For Tenants : Create profitable opportunities
- For Shoppers : Create delightful shopping experiences
- For Employees : Provide opportunities for personal and career growth
- For the Community : Commit to corporate social responsibility and environmental sustainability

GURNEY PLAZA
SUNGEI WANG PLAZA
THE MINES
EAST COAST MALL

CORPORATE PROFILE

CapitaMalls Malaysia Trust (CMMT), which listed on the Main Market of Bursa Malaysia Securities Berhad (Bursa Securities) on 16 July 2010, is Malaysia's largest pure-play shopping mall real estate investment trust (REIT) by market capitalisation and property value. As at 31 December 2011, CMMT has a market capitalisation of over RM2.5 billion and its portfolio is independently valued at approximately RM2.8 billion.

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and primarily located in Malaysia. Its shopping mall portfolio comprises Gurney Plaza in Penang, a significant interest in Sungei Wang Plaza¹ in Kuala

Lumpur, The Mines in Selangor and East Coast Mall in Kuantan, Pahang. As at 31 December 2011, the net lettable area of the portfolio was over 2.4 million square feet (sq ft).

CMMT is managed by CapitaMalls Malaysia REIT Management Sdn. Bhd. (the Manager) – a joint venture between CapitaMalls Asia Limited (CMA), one of the largest listed shopping mall developers, owners and managers in Asia by total property value of assets and geographic reach, and Malaysian Industrial Development Finance Berhad (MIDF). AmTrustee Berhad (the Trustee) is the trustee for CMMT.

¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

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LEADING THE WAY

- **ENHANCING** VALUE THROUGH PROACTIVE ASSET MANAGEMENT AND ASSET ENHANCEMENT INITIATIVES;
- ACTIVELY **PURSUING** ACQUISITION OPPORTUNITIES;
- **LEVERAGING** ON CAPITAMALLS ASIA'S EXTENSIVE NETWORK ACROSS 97 SHOPPING MALLS IN 51 CITIES IN FIVE COUNTRIES; AND
- **OPTIMISING** CAPITAL MANAGEMENT.



LETTER TO UNITHOLDERS

Against a challenging global economic environment, CMMT's unit price continued to perform strongly, increasing 28.6% during 2011. Combined with distributions above our forecast, total returns to unitholders were 35.6% for the financial year ended 31 December 2011.

Focus, balance and scale: these are what define CMMT. With a portfolio focused exclusively on shopping malls in Malaysia, CMMT is the largest 'pure-play' shopping mall REIT in Malaysia. With shopping malls located in Kuala Lumpur, Selangor, Penang and Kuantan and 1,306 leases, CMMT's portfolio is balanced to provide both income and geographical diversification to unitholders. With a total market capitalisation of over RM2.5 billion, total assets of RM2.9 billion and a free float¹ of approximately 64%, CMMT has sufficient scale to provide its investors with liquid investment exposure to Malaysia's resilient retail sector. CMMT also benefits from the scale which its sponsor CapitaMalls Asia (CMA) brings in terms of access to its extensive tenant network comprising more than 10,000 leases as well as its proven integrated retail and capital management platform. CMA is Asia's leading shopping mall developer, owner and manager with 97 malls in 51 cities in Singapore, China, Malaysia, Japan and India.

In 2011, CMMT completed two acquisitions, namely, the extension block to Gurney Plaza (Gurney Plaza Extension) in Penang and East Coast Mall in Kuantan, Pahang, in March and November respectively. During the financial year 2011 (FY2011), the total net lettable area (NLA) of CMMT's portfolio increased from 1.88 million square feet to over 2.4 million square feet. As at 31 December 2011, CMMT's portfolio was valued at RM2.8 billion, an increase close to 30% from RM2.1 billion in 2010. CMMT malls' occupancy and shopper traffic remained strong at 98.6% and 50.1 million² respectively in 2011.

COMPELLING TOTAL RETURNS

During the year in review, total returns to CMMT's loyal unitholders were 35.6%. Unitholders benefited from CMMT's strong unit price performance – the units appreciated from RM1.12 at the beginning of the year to RM1.44 on 30 December 2011, which represented a 28.6% gain. In addition to capital gains, unitholders were rewarded with a distribution per unit (DPU) of 7.87 sen for FY2011.

CMMT's distributable income of RM118.3 million (7.87 sen per unit) for FY2011 was 5.5% higher than the forecasted DPU of 7.46 sen as stated in CMMT's circular to unitholders dated 23 February 2011. Revenue and operating expenses for FY2011 were RM230.9 million and RM68.5 million respectively, in line with the forecast for the same period. Net property income (NPI) was RM162.4 million, which was 1.6% better compared to the forecast for the same period. Total comprehensive income was RM179.8 million on the back of a fair value gain on investment properties of RM68.9 million (unrealised) and distributable income of RM118.3 million.

CMMT's distribution policy for FY2011, as disclosed in CMMT's initial public offering prospectus, is to pay out 100.0% of CMMT's distributable income. As at 31 December 2011, and arising from the two private placement exercises undertaken to finance the two acquisitions, CMMT has hitherto made three distributions to unitholders totalling RM98.2 million (6.73 sen per unit) in relation to the financial year 2011. The next distribution will be for the period from 11 November 2011 to 31 December 2011, of which RM20.1 million, or 1.14 sen per unit, will be paid to eligible unitholders on 8 March 2012.

¹ Free float is the proportion of units that are held by investors excluding units held by CMMT's strategic unitholder, CMA. It is a measure of the liquidity of CMMT.

² Shopper traffic statistics exclude East Coast Mall.



Night View of The East Coast Mall's Façade

GROWTH THROUGH ACQUISITIONS

In 2011, two acquisitions were completed and both were immediately yield accretive. In November 2010, CMMT entered into a conditional sale and purchase agreement to acquire Gurney Plaza Extension. The acquisition was completed on 28 March 2011. The acquisition cost was RM223.3 million, of which RM69.7 million was satisfied by bank borrowing, and the balance RM153.6 million was sourced through a well received placement of 144,859,000 units in CMMT to new and existing unitholders. Gurney Plaza Extension, which is fully integrated with Gurney Plaza, has a high occupancy rate and a complementary tenant mix. This acquisition significantly strengthens CMMT's leadership in the retail scene in Penang.

In June 2011, CMMT entered into a conditional sale and purchase agreement to acquire East Coast Mall in Kuantan and successfully completed the transaction on 14 November 2011. In conjunction with the acquisition, CMMT raised approximately RM330.0 million from a well supported placement of an additional 261,904,000 units to both new and existing unitholders. East Coast Mall is known as the market leader in Kuantan. It is a modern family lifestyle mall with an established mix of domestic and international retailers and a high occupancy rate of 98.9%. Since opening in 2008, it has become a popular destination for Kuantan residents and attracts a secondary catchment market from nearby towns in the neighbouring state of Terengganu. The acquisition of East Coast Mall thus offers CMMT the opportunity to penetrate the retail sector in Kuantan and provides CMMT's unitholders with further income and geographical diversification.



Atrium at Ground Level of Gurney Plaza

GROWTH THROUGH ASSET ENHANCEMENT INITIATIVES

During the year in review, CMMT invested approximately RM29.8 million in asset enhancement initiatives (AEIs).

Gurney Plaza underwent three major asset enhancements in 2011. These included the conversion of certain car park spaces at the 5th and 6th floors to retail units to provide a seamless shopping experience through all levels of the mall, reconfiguration of units in Basement 1 into smaller and higher yielding units, and extension of lease lines for units at the mall's main entrance. As part of continuous efforts to improve the shopping experience at Gurney Plaza and reinforce its positioning as Penang's premier lifestyle shopping mall, we have embarked on an interior refurbishment programme starting at the main atrium. These works increased Gurney Plaza's NLA by approximately 25,000 square feet and are expected to give CMMT incremental annual NPI of approximately RM2.4 million a year.

At The Mines, the roof system was upgraded, a new water reticulation system was installed and common floor areas were retiled. At Sungei Wang Plaza, the car park exhaust system was upgraded, a new auto-pay and parking guidance system was installed and renovation works to reposition the 6th floor have commenced.

PROACTIVE CAPITAL MANAGEMENT

As part of ongoing efforts to strengthen CMMT's financial position and liquidity, we continued to diversify our sources of funding, actively sourcing longer debt tenures and unencumbering more assets in 2011. To date, RM819.7 million of the secured credit facilities have been drawn down. As at 31 December 2011, CMMT had a debt profile of about 69.2% in fixed interest rates and varying loan tenures of up to seven years.

CMMT has a ready interest rate swap derivative line of RM90.0 million for interest rate hedging purposes. Following the successful funding of East Coast Mall's acquisition entirely through the private placement in 2011, CMMT's balance sheet was significantly strengthened with a lower gearing level of 28.7% as at 31 December 2011. This has enhanced CMMT's debt headroom for future acquisitions of properties and/or AELs. Currently, two out of CMMT's four properties are unencumbered, providing us with greater financial flexibility.

FORGING AHEAD

Despite the persistent global economic uncertainties in 2011, Malaysia's economy and retail sales are estimated to grow by 5.0% to 5.5%¹ and 6.5%² respectively for the full year of 2011. Looking ahead to 2012, Malaysia's GDP and retail sales are forecast to grow by 5.0-6.0%¹ and 6.0%² respectively.

We believe that retail sales in Malaysia will continue to be driven by its robust GDP growth, low unemployment rate, rising disposable income and growing tourism. CMMT is well-positioned to benefit from this growth as CMMT's malls are essentially focused on necessity shopping, which should prove resilient despite the volatile economic climate. Hence, we are confident of the prospects of Malaysia's retail sector and of retail-focused Malaysian REITs.

We are also positive about Malaysia's REIT industry in general, as it is governed by rigorous regulatory guidelines and REITs are regarded to be a defensive investment option due to their stable income stream. We view the government's extension of the concessionary withholding tax of 10% on distributions to unitholders³ in Budget 2012 as an important initiative to maintain the attractiveness of the REIT industry.

We believe that Malaysia will continue to offer significant opportunities for growth and we will continue to pursue such investment opportunities for our unitholders. CMMT's strategic relationship with its sponsor CMA will allow CMMT to leverage on its sponsor's business scale, competencies and extensive international tenant network as well as any acquisition opportunities that it may provide. Organic growth remains a priority and we will continue to implement asset enhancement, tenant remixing and other operating initiatives with the goal of improving yields and returns.

¹ Economic Report 2011/2012 Ministry of Finance Malaysia.

² The Edge Financial Daily reported on 5 January 2012 that the Retail Group Malaysia, on behalf of the Malaysian Retailers Association (MRA), has estimated the retail sales of its members to grow by 6.5% for 2011 and projected sales growth of 6.0% in 2012.

³ The concessionary withholding tax of 10% on distributions applies to resident non-corporate unitholders, non-resident institutional unitholders and non-resident individuals.

ACKNOWLEDGEMENTS

We would like to thank our unitholders, business partners, fellow colleagues, tenants and shoppers for their strong support this year. We would also like to extend our appreciation to both the Trustee and our fellow Directors in the Board of Directors of CapitaMalls Malaysia REIT Management Sdn. Bhd., as the Manager of CMMT, for their unstinting guidance and commitment. We thank Mr Lock Wai Han and Mr Goh Soon Yong for their contributions to the Board, as both have retired.

We look forward to all our stakeholders' continued support as we strive to forge ahead and take CMMT to new and greater heights.



Mr Kee Teck Koon
*Chairman,
CapitaMalls Malaysia
REIT Management Sdn. Bhd.*



Ms Sharon Lim Hwee Li
*Chief Executive Officer,
CapitaMalls Malaysia
REIT Management Sdn. Bhd.*



Lifestyle Avenue Entrance of Sungei Wang Plaza

ACHIEVING STRONG RESULTS IN 2011

Mr Kee Teck Koon
Chairman,
CapitaMalls Malaysia
REIT Management Sdn. Bhd.

Ms Sharon Lim Hwee Li
Chief Executive Officer,
CapitaMalls Malaysia
REIT Management Sdn. Bhd.



Gross Revenue

RM **230.9**mil

Net Property Income

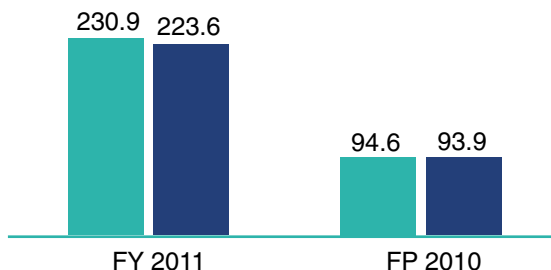
RM **162.4**mil

Distributable Income

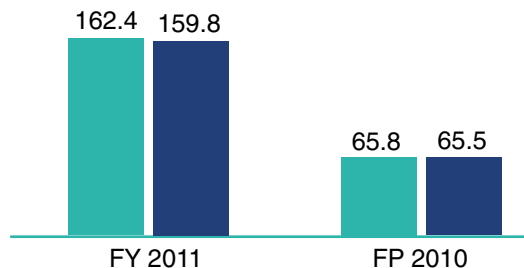
RM **118.3**mil

FINANCIAL HIGHLIGHTS

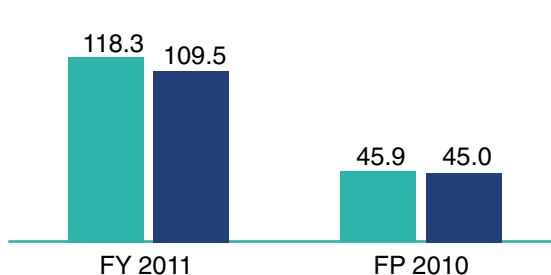
GROSS REVENUE (RM million)



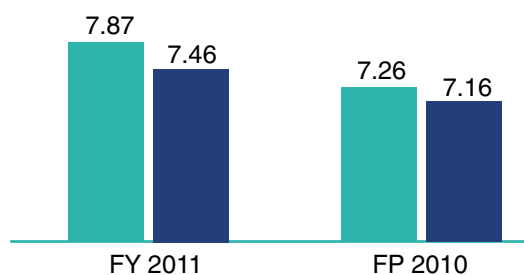
NET PROPERTY INCOME (RM million)



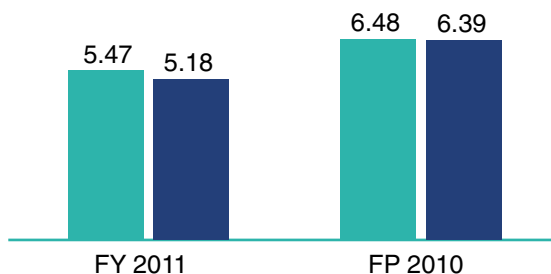
DISTRIBUTABLE INCOME (RM million)



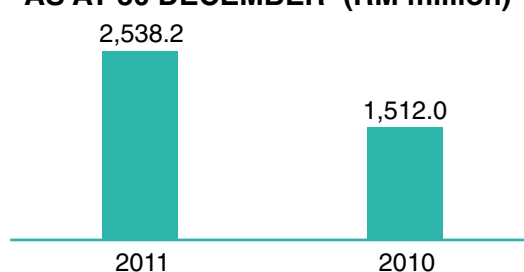
DISTRIBUTION PER UNIT¹ (sen)



DISTRIBUTION YIELD^{1,2}(%)



MARKET CAPITALISATION AS AT 30 DECEMBER² (RM million)



■ Actual ■ Forecast

¹ Annualised for Financial Period (FP) 2010

² Based on the closing unit price of RM1.44 on 30 December 2011 and RM1.12 on 30 December 2010

FY 2011: the financial year ended 31 December 2011

FP 2010: the financial period from 14 July 2010 to 31 December 2010

CMMT'S UNIT PRICE PERFORMANCE 16 July 2010 (Listing Date) to 30 December 2011



FINANCIAL HIGHLIGHTS

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Selected Balance Sheet Data

	As at 31 Dec 2011 GROUP ¹	As at 31 Dec 2010 TRUST
Portfolio Property Valuation (RM million)	2,781.0	2,143.0
Total Assets (RM million)	2,906.7	2,278.2
Total Borrowings ² (RM million)	828.7	750.0
Unitholders' Funds (RM million)	1,951.8	1,435.0
Market Capitalisation ³ (RM million)	2,538.2	1,512.0
Net Asset Value (NAV) (Before Income Distribution) (RM million)	1,951.8	1,435.0
Net Asset Value (NAV) (After Income Distribution) (RM million)	1,931.7	1,389.0
NAV per Unit (Before Income Distribution) (RM)	1.1073	1.0629
NAV per Unit (After Income Distribution) (RM)	1.0959	1.0289
Highest NAV per Unit (After Income Distribution) (RM)	1.0959	1.0289
Lowest NAV per Unit (After Income Distribution) (RM)	1.0333	1.0265

Key Financial Indicators

	As at 31 Dec 2011 GROUP ¹	As at 31 Dec 2010 TRUST
Earnings per Unit (sen)	12.00	8.10
Gearing Ratio (%)	28.7	33.6
Unencumbered Assets as % of Total Assets	42.5	39.8
Average Term to Maturity ⁴ (years)	5.2	6.2
	FY2011 GROUP ¹	FP2010 ⁵ TRUST
Annualised Distribution Per Unit (sen)	7.87	7.26
Interest Coverage (times)	3.8	3.6
Management Expense Ratio ⁶ (%)	1.1	1.1
Net Debt/EBITDA ⁷ (times)	5.7	6.0
Average Cost of Debt	4.7	4.7

¹ As at 31 December 2011, the Group refers to the consolidation of the Trust and its wholly owned subsidiary, CMMT MTN Berhad (formerly known as Accord Arena Sdn. Bhd. and CMMT MTN Sdn. Bhd.).

² Before unamortised transaction costs.

³ Based on the closing unit price of RM1.44 on 30 December 2011 and RM1.12 on 30 December 2010.

⁴ Excludes bank guarantee facility.

⁵ The acquisition of Gurney Plaza, a significant interest in Sungei Wang Plaza and The Mines was completed on 14 July 2010 and CMMT was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. The financial results reported refer to the period from 14 July 2010 to 31 December 2010.

⁶ Refers to the expenses of CMMT excluding property expenses and interest expense but including the Manager's management fee, expressed as a percentage of average net asset value.

⁷ Net debt comprises gross debt less temporary cash intended for refinancing, if any, and EBITDA refers to earnings before interest, tax, depreciation and amortisation.

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

SALIENT FEATURES OF CMMT

Fund Name	CapitaMalls Malaysia Trust (CMMT)
Fund Category	Real estate investment trust
Fund Type	Income
Fund Duration	CMMT shall terminate on the earlier of: - the occurrence of any of events listed in Clause 25.2 of the Deed¹; or - the expiration of a period of twenty-one (21) years after the death of the last survivor of the issue now living of his majesty, the current Yang di-Pertuan Agong of Malaysia or until such further period as the law may permit.
Approved Fund Size	2,000,000,000 units
Authorised Investments	Real estate, single-purpose companies, real estate-related assets, non-real estate-related assets, cash, deposits, money market instruments and any investments permitted by Securities Commission Malaysia (SC), the REITs Guidelines ² and the Deed.
Authorised Investments Limits	- At least 50.0% of CMMT's total asset value must be invested in real estate and/or single-purpose companies at all times; - Not more than 25.0% of CMMT's total asset value may be invested in non-real estate-related assets and/or cash, deposits and money market instruments; and - Such other investments or limits as may be permitted by SC and/or the REITs Guidelines.
Distribution Policy	Payout policy ratio: - At least 90.0% of CMMT's distributable income in each financial year. Distribution payment: - Semi-annual basis for each six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 50.0% of CMMT's total asset value at the time the borrowings are incurred or such higher amount with the prior approval of CMMT's unitholders.
Performance Benchmarks	- FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) - FTSE Bursa Malaysia EMAS Index
Revaluation Policy	Investment properties are valued: - Semi-annually based on internal valuation or independent professional valuation; - At least once every three years based on an independent professional valuation pursuant to the REITs Guidelines.
Management Fee	- Base Fee: up to 1.0% per annum of the value of CMMT's Deposited Property³ (FY2011 actual: 0.29%) - Performance Fee: up to 5.0% of NPI (before Management Fee) (FY2011 actual: 4.75%) - Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CMMT (FY2011 actual: 1.0%)⁴ - Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CMMT.
Financial Year (FY2011)	1 January 2011 – 31 December 2011
Quotation	Main Market of Bursa Malaysia Securities Berhad
Initial Public Offering Retail Price	RM0.98
Minimum Investment	100 units per board lot
Bursa Securities Stock Number	CMMT 5180

¹ The trust deed dated 7 June 2010 and registered with SC on 9 June 2010.

² Guidelines on Real Estate Investment Trusts

³ As defined in the Deed, the value of Deposited Property is equal to all the assets of CMMT (total asset value).

⁴ RM2.2 million and RM3.1 million were paid to the Manager in Acquisition Fees (excluding 6.0% service tax) for Gurney Plaza Extension and East Coast Mall respectively. Gurney Plaza Extension was acquired at a purchase price of RM215.0 million while the acquisition price for East Coast Mall was RM310.0 million.

KEY MILESTONES IN 2011

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Ground Floor of Gurney Plaza

02/2011

On 25 February 2011, a distribution of 3.40 sen per unit for FP2010¹ was paid to unitholders.

03/2011

On 10 March 2011, CMMT's first unitholders' meeting was held.

On 28 March 2011, the acquisition of Gurney Plaza Extension was completed and 144,859,000 placement units were listed.

04/2011

On 22 April 2011, an advance distribution of 1.74 sen per unit, which pertained to the period from 1 January to 24 March 2011, was paid to unitholders.

06/2011

On 14 June 2011, the proposed acquisition of East Coast Mall was announced.

On 21 June 2011, Sungei Wang Plaza received an Award for Excellence (shopping mall category) from the Mayor of Kuala Lumpur during the Kuala Lumpur Mayor's Tourism Awards 2011.

08/2011

On 23 August 2011, a distribution of 2.16 sen per unit, which pertained to the period from 25 March to 30 June 2011, was paid to unitholders.

09/2011

On 20 September 2011, the Biz+ Series 'The Visual Vibe of Retailing – Effective Visual Merchandising' seminar for tenants was launched.

11/2011

On 14 November 2011, the acquisition of East Coast Mall was completed and 261,904,000 placement units were listed.

12/2011

On 9 December 2011, an advance distribution of 2.83 sen per unit, which pertained to the period from 1 July to 10 November 2011, was paid to unitholders.

On 23 December 2011, Gurney Plaza was awarded 'Green Mark Gold' certification for energy and water efficiency by the Building and Construction Authority (BCA) under the Ministry of National Development of Singapore.

¹ For the financial period from 14 July 2010 to 31 December 2010

INVESTMENT OBJECTIVES AND STRATEGIES

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and located primarily in Malaysia

INVESTMENT OBJECTIVES

The principal investment objective of CMMT is to invest, on a long-term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines and/or by the SC, with a view to providing unitholders with long-term and sustainable distribution of income and potential capital growth.

INVESTMENT STRATEGIES

The key financial objective is to provide unitholders with long-term and sustainable distribution of income and potential capital growth. Specifically, the aim is to seek to increase the cash flow, income and, consequently, the value of CMMT's properties, and to seek continued growth through the following strategies:

- enhancing the value of CMMT's portfolio through proactive asset management and asset enhancement initiatives;
- actively pursuing acquisition opportunities;
- leveraging on CMA's extensive network of strategic and local partners, including its tenant network across 97 shopping malls in 51 cities spanning five countries as well as its local industry knowledge through its experienced staff in Malaysia; and
- optimising capital management.

STRATEGIC REVIEW FOR FY2011

The Manager believes that CMMT has achieved its investment objective for FY2011. In FY2011 there were no changes in the strategy vis-a-vis the strategy disclosed in CMMT's initial public offering prospectus and as per above.

FUTURE PROSPECTS OF THE MARKET

The Manager views the future prospects of the Malaysian retail sector to be positive and, going forward, will continue to pursue the above mentioned investment strategies. For more information on the market in which CMMT invests in, refer to the section 'Independent Retail Market Overview'.



Alfresco Area at Gurney Plaza

Prepared by: CB Richard Ellis (Malaysia) Sdn Bhd
Date: 16 February 2012

MACROECONOMIC AND DEMOGRAPHIC OVERVIEW

Despite the uncertain global economic environment, the Malaysian economy grew 5.8% in Q3 2011, up from 4.4% in 1H 2011. Bank Negara Malaysia credits robust demand in Q3 2011 to the expansion in both household and business spending as well as higher public sector expenditure. With resilient private consumption, strong private investments, the acceleration of public infrastructure projects and sustained strong exports of commodities and resource-based manufactured goods, the Malaysian economy is projected to grow 5.0% to 5.5% in 2011 and is forecasted to be 5.0% to 6.0% in 2012.

Malaysia's GDP per capita (at current prices) in 2010 was reported at RM27,113, up 11.3% from RM24,366 in 2009. The GDP per capita for Malaysia is projected to reach RM28,011 in 2011 and RM29,746 in 2012.

The national mean gross monthly household income has increased from RM2,472 in 1999 to RM4,025 in 2009 at a compounded annual growth rate (CAGR) of 5.0%. Based on an annual growth rate of 4.4% in 2004-2009, the national mean gross monthly household income is estimated to be RM4,387 in 2011, thereafter rising to an estimated RM4,580 in 2012.

Private consumption and investments are estimated to reach RM405,797 million and RM94,613 million, respectively in 2011, which is an increase of 10.3% and 20.2% respectively over 2010. Public consumption and investments are expected to reach RM107,785 million and RM83,774 million respectively in 2011, which is an increase of 10.5% and 9.0% respectively over 2010.

To help mitigate inflationary risk, in May 2011, Bank Negara Malaysia (BNM) raised the Overnight Policy Rate (OPR) from 2.75% to 3.00%. The Base Lending Rate (BLR) currently stands at 6.54%. According to the Malaysian Institute of

Economic Research (MIER), the OPR is likely to be at 3.00% through 2012, to support economic growth.

The Consumer Price Index (CPI) increased by 3.2% in 2011 versus 2010. Inflation is expected to remain in check with MIER expecting the CPI to stand at 3.1% for the full year of 2011, before trending lower to 2.7% in 2012.

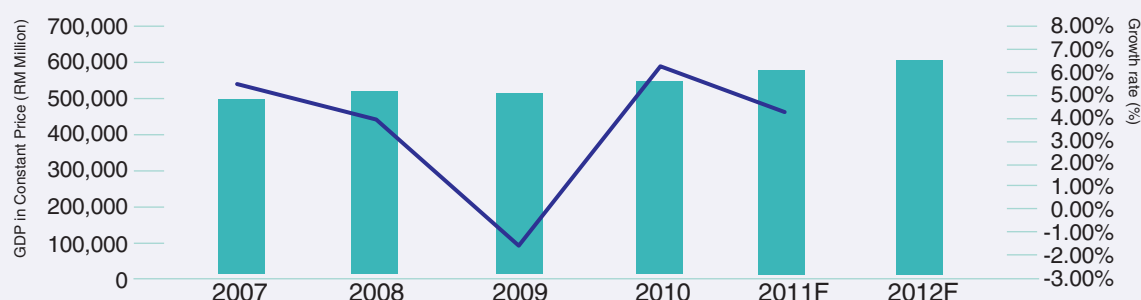
The employment situation in the country has been relatively stable with unemployment recorded at 3.1% in November 2011 compared to 3.4% in the full year of 2010. The IMF has projected that the unemployment rate in Malaysia will be 3.2% in 2011 and 3.1% in 2012.

Tourist arrivals were reported at 24.6 million for 2010, up 4.2% from 2009 (23.6 million) whilst tourist receipt increased from RM53.4 billion in 2009 to RM56.5 billion in 2010. The Ministry of Tourism Malaysia is targeting 25 million tourist arrivals in 2011, with projected tourism revenue of approximately RM61.0 billion. Going forward, tourism spending is projected to grow at a rate of 16.2% per annum to reach RM115.0 billion in 2015, as planned under the Tenth Malaysia Plan (10MP).

Total retail trade sales value was RM239.40¹ billion in 2010, up 10.4% from 2009. The retail trade has recorded robust growth in the past few years with a CAGR of 7.9% during 2008 to 2010. The Tenth Malaysia Plan (10MP) targets an annual retail sales growth of 8.30% during its five year period (2011-2015). Based on this average annual growth rate, retail sales are estimated to be RM259.3 billion in 2011 and RM280.8 billion in 2012. Separately, The Edge Financial Daily reported on 05 Jan 2012 that the Retail Group Malaysia, on behalf of the Malaysian Retailers Association (MRA), has estimated the retail sales of its members to grow by 6.5% for 2011 and projected sales growth of 6.0% in 2012.

¹ The figure was newly revised by the Department of Statistics, Malaysia based on the new sample selection from the Census of Distributive Trade 2009 (reference year 2008). The figure was previously reported as RM134.66 billion for 2010

GDP Growth in Malaysia (%)



Source: 2005 – 2009 (Department of Statistics)
2010 – 2012 (IMF World Economic Outlook Database Oct 2010)

Main Economic Indicators, Malaysia

	2007	2008	2009 ^e	2010 ^p	2011 ⁱ	2012 ⁱ
GDP at Constant 2000 Prices (RM'million)¹						
Malaysia	506,341	530,683	522,001	559,554	588,374	620,515
Kuala Lumpur	69,830	74,728	77,671	84,852	-	-
Selangor	108,242	117,352	116,222	128,815	-	-
Penang	44,695	47,307	42,217	46,455	-	-
Pahang	22,614	24,035	23,743	24,807	-	-
Real GDP Growth (%)²						
Malaysia	6.5%	4.8%	-1.6%	7.2%	5.0-5.5%	5.0-6.0%
Kuala Lumpur	9.0%	7.0%	3.9%	9.2%	-	-
Selangor	7.6%	8.4%	-1.0%	10.8%	-	-
Penang	6.6%	5.8%	-10.8%	10.0%	-	-
Pahang	2.4%	5.3%	-1.2%	4.5%	-	-
GDP at Current Prices (RM'bil)³						
Malaysia	642.05	740.91	679.69	765.97	804.29	868.63
GDP per Capita (Current Price RM)⁴						
Malaysia	23,617	26,902	24,366	27,113	28,011	29,746
Kuala Lumpur	44,801	50,531	51,520	55,951	-	-
Selangor	25,481	28,439	28,040	31,363	-	-
Penang	31,039	33,385	29,748	33,456	-	-
Pahang	19,111	21,653	19,690	22,743	-	-
Mean Monthly Household Income⁵						
Malaysia	3,686	-	4,025	4,202	4,387	4,580
Kuala Lumpur	5,322	-	5,488	5,587	5,687	5,790
Selangor	5,580	-	5,962	6,135	6,313	6,496
Penang	4,004	-	4,407	4,605	4,813	5,029
Pahang	2,995	-	3,279	3,489	3,712	3,950
Domestic Aggregate Demand (Current Price RM mil)⁶						
Private Consumption	293,040	335,213	339,395	367,991	405,797	447,873
Private Investment	76,577	77,986	64,633	78,730	94,613	113,053
Public Consumption	78,396	91,855	95,918	97,513	107,785	112,427
Public Investment	61,816	67,428	72,871	76,864	83,774	91,809
Consumer Price Index (Average Prices)⁷ (2010=100)						
Malaysia	92.7	97.7	98.3	100.0	103.2	102.7
Peninsular Malaysia	92.7	97.7	98.2	100.0	103.2	-
Inflation⁸						
	2.0%	5.4%	0.6%	1.7%	3.1%	-
Population ('000)⁹						
Malaysia	27,186	27,541	27,895	28,334	28,901	29,479
Kuala Lumpur	-	-	-	1,675	1,706	1,739
Selangor	-	-	-	5,462	5,610	5,761
Penang	-	-	-	1,561	1,588	1,615
Pahang	-	-	-	1,501	1,523	1,546
Unemployment Rate¹⁰						
	3.2%	3.3%	3.7%	3.4%	3.3%	3.1%
Overnight Policy Rate¹¹						
	3.50%	3.25%	2.00%	2.75%	3.00%	3.00%
Base Lending Rate¹²						
	6.72%	6.70%	5.62%	6.02%	6.54%	-
Tourist Arrivals (million persons)¹³						
	21.0	22.1	23.6	24.6	25.3	-
Tourist Receipts (RM billion)¹⁴						
	46.1	49.6	53.4	56.5	61.0	-

RETAIL MARKET OVERVIEW

The Malaysian retail market continued to perform strongly during 2011, despite the woes in Europe and the United States. Consumer spending was reportedly strong as Malaysian MasterCard holders spent a total of US\$699.3 million (equivalent to about RM2,098 million) in 7.9 million transactions during the first month of the 1Malaysia Mega Sale Carnival which started in middle of June 2011, a jump of 37.0% compared to US\$506.8 million spent during the same period last year.

The retail investment market remained active in 2011. The first nine months of 2011 saw further buying interests from M-REITs and foreign funds. Significant acquisitions by REITs included Putra Place in Kuala Lumpur by Sunway REIT for RM514 million and East Coast Mall in Kuantan by CMMT for RM310 million. In May 2011 Hong Kong-based Cheung Kong Group bought three shopping complexes (Klang Parade in Selangor, Ipoh Parade in Perak and Seremban Parade in Negeri Sembilan) from German-based TMW Asia Property Fund which is managed by Pramerica. In early December 2011, Pavilion Real Estate Investment Trust (Pavilion REIT) successfully listed on Bursa Malaysia Securities Berhad.

RETAIL SUPPLY AND DEMAND

As of Q4 2011, the total retail stock in shopping centres, arcades and hypermarkets in Malaysia stands at 121.2 million sq ft, according to the Valuation and Property Services Department, Ministry of Finance, Malaysia (JPPH). Together, Kuala Lumpur, Selangor, Penang and Johor account for over two-thirds of all the shopping centre stock in the country.

Of the total stock, 70.5% is located within shopping centres. Within Kuala Lumpur, 76.5% of all retail space is in shopping centres, compared to 61.2% in Selangor, 65.0 % in Penang and 93.5% in Pahang.

Additionally, JPPH estimates that 19.8 million sq ft of net lettable retail space is currently under construction throughout

the country. Assuming a three-year construction period, it is expected that this additional stock will be completed by 2013, increasing total retail stock by 16.3%.

Based on Q4 2011 stock data, the retail stock per capita for the entire country is currently about 4.3 sq ft per capita while shopping centre stock per capita is 3.0 sq ft per capita.

Overall occupancy for retail spaces in Malaysia is estimated at 79.5% as at Q4 2011 by JPPH. For shopping centres alone, JPPH estimates nationwide occupancy to be 76.6%, while that for Kuala Lumpur is 80.9%, Selangor is 82.6%, Penang is 68.9% and Pahang is 77.7%. CBRE Research shows prime shopping complexes in Selangor and Kuala Lumpur enjoy close to full occupancy.

In 2011 four significant shopping centres opened and one shopping centre's extension was completed, adding approximately 2.0 million sq ft of retail space in Kuala Lumpur. New completions include Viva Mall (660,000 sq ft), Suria KLCC Extension (140,000 sq ft), Kenanga Wholesale City (500,000 sq ft), KL Festival City (450,000 sq ft) and Publika Dutamas (335,000 sq ft). New shopping centres which opened in 2011 in Selangor included Citta Mall (424,000 sq ft), First Subang (140,000 sq ft), AEON Rawang (370,000 sq ft), Space U8 (619,000 sq ft), Giant Cheras Mall (200,000 sq ft) and MINES 2 Street Mall (300,000 sq ft). In Penang, Tesco Tanjung Seri Penang (NLA: 229,000 sq ft) was completed in 2011 and was recently sold to Soaring Profit Sdn Bhd by Eastern & Oriental Berhad for RM134 million.

CBRE Research does not expect the newly completed supply to have a significant effect on prime existing retail centres. New shopping malls in the pipeline in Kuala Lumpur include 1 Shamelin (420,000 sq ft is targeted to be officially opening by Q1 2012) and Nu Sentral (650,000 sq ft in 2012).

e: estimate p: preliminary f: forecast

¹ Department of Statistics (2007-2010, updated: 17/10/2011), Economic Report 2011/2012, Ministry of Finance Malaysia

² Department of Statistics (2007-2010, updated: 17/10/2011), Economic Report 2011/2012, Ministry of Finance Malaysia

³ Department of Statistics (2007-2010, updated: 17/10/2011), Economic Report 2011/2012, Ministry of Finance Malaysia

⁴ Department of Statistics (2007-2010), IMF World Economic Outlook Database October 2011 (2012-2)

⁵ Department of Statistics, Mean Monthly Household Income (2010 – 2012) is projected based on the historical growth rate by CBRE Research.

⁶ Department of Statistics, Ministry of Finance Malaysia

⁷ Department of Statistics, Economic Report 2011/2012, Ministry of Finance Malaysia; MIER forecast for 2012 (13 October 2011)

⁸ Department of Statistics, Economic Report 2011/2012, Ministry of Finance Malaysia; 2011 figure represented January - August 2011

⁹ The Population and Housing Census of Malaysia 2010; Population projections based on the Population and Housing Census of Malaysia 2010, adjusted for under enumeration (Revised), Economic Report 2011/2012, Ministry of Finance Malaysia

¹⁰ Department of Statistics (2007-2010), IMF World Economic Outlook Database September 2011 (Data Updated: 8/2011)

¹¹ Bank Negara Malaysia (2007-2010), Malaysian Institute of Economic Research (2011-2, as published in the Business Times on 14-10-2011)

¹² Bank Negara Malaysia, 2011 figure represented as at November 2011

¹³ Department of Statistics, Economic Report 2011/2012, Ministry of Finance Malaysia; 2011 figure represented an estimation

¹⁴ Department of Statistics, Economic Report 2011/2012, Ministry of Finance Malaysia; 2011 figure represented an estimation

An estimated 1.4 million sq ft of new retail space may be completed in Selangor during 2012, such as Paradigm in Kelana Jaya and Setia City Mall near the Setia Alam township.

New retail developments expected to come on-stream in Penang in 2012-2014 include All Seasons Place Gurney Paragon (700,000 sq ft) and Penang Times Square Phase 2 (290,000 sq ft), Wiki World at Bayan Baru and City Mall at Bayan City.

There are no significant retail centres coming up in Kuantan.

CAPITAL VALUES

Based on shopping centre transactions conducted during 2010 - Q4 2011, CBRE Research has found that capital values and yields/capitalisation rates have varied widely. Generally, capitalisation rates for retail property in Malaysia range from 6.0 to 8.0%. However, in some cases the yields have compressed to below 6.0%.

Shopping Centre Stock and Occupancy in Malaysia as at Q4 2011 (Preliminary Data)

State	No. of Properties	Total Space(sq ft)	% of Total Space in Malaysia	Occupied Space (sq ft)	Occupancy Rate
WP Kuala Lumpur	55	19,234,553	22.5%	15,569,602	80.9%
WP Putrajaya	1	622,002	0.7%	517,524	83.2%
WP Labuan	1	280,549	0.3%	275,802	98.3%
Selangor	50	17,122,960	20.0%	14,138,041	82.6%
Johor	65	11,837,104	13.9%	7,237,352	61.1%
Pulau Pinang	34	9,839,871	11.5%	6,775,404	68.9%
Perak	36	4,463,832	5.2%	3,754,876	84.1%
Negeri Sembilan	28	2,553,552	3.0%	2,013,283	78.8%
Melaka	19	2,746,319	3.2%	2,015,813	73.4%
Kedah	32	3,572,400	4.2%	2,730,592	76.4%
Pahang	16	2,206,437	2.6%	1,714,435	77.7%
Terengganu	7	513,369	0.6%	253,283	49.3%
Kelantan	5	1,076,254	1.3%	962,078	89.4%
Perlis	4	237,998	0.3%	237,374	99.7%
Sabah	32	5,260,280	6.2%	4,409,429	83.8%
Sarawak	43	3,875,565	4.5%	2,810,657	72.5%
MALAYSIA	428	85,443,046	100.0%	65,415,544	76.6%

Source: Valuation and Property Services Department (JPPH), Ministry of Finance

Per Capita Retail Stock in Malaysia and Selected States

	Malaysia	Kuala Lumpur	Selangor	Penang	Pahang
Retail Stock (sq ft) ¹	121,238,633	25,147,406	27,985,135	15,135,199	2,360,624
Shopping Centre Stock (sq ft) ¹	85,443,046	19,234,553	17,122,960	9,839,871	2,206,437
Shopping Centre Stock as a % of Retail Stock	70.5%	76.5%	61.2%	65.0%	93.5%
Retail Stock per capita (sq ft)	4.3	15.0	5.1	9.7	1.6
Shopping Centre Stock per capita (sq ft)	3.0	11.5	3.1	6.3	1.5

¹ Data as at Q4 2011 (preliminary)

Source: Valuation and Property Services Department (JPPH), Ministry of Finance; Population and Housing Census of Malaysia 2010.

Future Supply of Retail Space in Shopping Centres in Selected States

Location	Future Shopping Centre Stock ('000 sf) 2011-2014	Future Shopping Centre Supply
Kuala Lumpur	+3,308	2012: 1 Shamelin, Nu Sentral 2013: Damansara City Mall 2014: Sunway Velocity Lifestyle Shopping Mall, Boustead Retail @ Jalan Cochrane
Selangor	+6,856	2012: Paradigm, Setia City Mall 2013: Strand Mall, M Square Shopping Centre, Atria (redevelopment), IOI City Mall, Cheras Central Shopping Mall (formerly Plaza Phoenix) 2014: Empire City, Jaya Shopping Centre, da:mén, Sunway Pyramid 3 Extension, Retail Mall at PJ Icon City P2
Penang	+1,918	2012: All Seasons Place, Gurney Paragon 2013: Penang Times Square P2, Wiki World at Bayan Baru 2014: City Mall, Bayan City
Pahang	Not significant	

Source: CBRE Research

Capital Values from Selected Shopping Centre Transactions from 2010 to 2011

Property	NLA (sq ft)	Transaction Price (RM mil)	Capital Value (RM psf)	Purchaser
Aeon Bandaraya Melaka	615,608	377.0	612	ARA Asia Dragon Fund
SACC Mall	185,178	90.0	486	ARREIT
1 Mont'Kiara ¹	410,000	333.0	812	ARA Asia Dragon Fund
Gurney Plaza	707,503	800.0	1,131	CMMT
Sungei Wang Plaza ²	450,470	724.0	1,607	CMMT
The Mines	719,563	530.0	737	CMMT
Sunway Pyramid Shopping Mall	1,685,568	2,300.0	1,365	Sunway REIT
Sunway Carnival Shopping Mall	484,364	250.0	516	Sunway REIT
Gurney Plaza (Extension)	139,964	215.0	1,536	CMMT
Queensbay Mall ³	892,361	651.8	730	CapitaMalls Asia
Selayang Mall	379,685	128.0	337	Amanahraya REIT
Putra Place (The Mall) ⁴	507,193	223.0	440	Sunway REIT
East Coast Mall	441,342	310.0	702	CMMT
Landmark Central Shopping Centre	289,462	98.0	339	Hektar REIT
Central Square Shopping Centre ⁵	300,782	83.0	276	Hektar REIT

¹ The total net lettable area and acquisition price for 1 Mont'Kiara includes the shopping centre and a 20-storey office tower with roughly 185,000 sq ft of net lettable area.

² CMMT acquired 205 strata parcels within the mall which, based on the total share units allocated to the 205 strata parcels, represents 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).

³ CapitaMalls Asia acquired about 90.7% of the mall's retail strata area (about 916,181 sq ft) and all its car park spaces.

⁴ The sale of Putra Place consists of The Mall (retail), 100 Putra Place (office), The Legend Hotel (hotel) and 1,323 car parking bays. The consideration paid for the auction of The Putra Place was RM513.95 million. According to the announcement of Sunway REIT, the valuation exercise reports a value of RM223 million for the 507,193sq ft shopping centre.

⁵ The purchase was based on 110 strata parcels within the shopping mall (measuring 464,520 sq ft and representing 85% of the voting rights in Perbadanan Pengurusan Komplek Central Square) together with all the accessory parcels thereto, which consists of retail space with an aggregate NLA of approximately 300,782 sq ft and 488 car parking bays.

Source: CBRE Research, REIT prospectuses and annual reports and published news sources.

SHOPPING CENTRE OWNERSHIP

In terms of ownership, the retail market in Malaysia is extremely fragmented. The vast majority of retail assets are independently owned, with a few larger national players having portfolios of multiple assets.

Owners of Multiple Shopping Centres in Malaysia

Owner	Properties	Location	Net Lettable Area (million sq ft)	% of Total Shopping Centre Stock for Malaysia
IGB Corporation	Mid Valley Megamall	Kuala Lumpur	1.65	2.0
	The Gardens Mall	Kuala Lumpur	0.80	1.0
			2.45	3.0
Sunway REIT	Sunway Pyramid	Selangor	1.69	2.0
	Sunway Carnival	Seberang Perai	0.48	0.6
	Putra Place – The Mall	Kuala Lumpur	0.50	0.6
			2.67	3.2
CMMT	Sungei Wang Plaza	Kuala Lumpur	0.45	0.5
	The Mines	Selangor	0.72	0.9
	Gurney Plaza (including extension)	Penang	0.85	1.0
	East Coast Mall	Kuantan	0.44	0.5
			2.46	3.0
Kuala Lumpur Pavilion	Pavilion KL ¹	Kuala Lumpur	1.30	1.6
	Fahrenheit88	Kuala Lumpur	0.28	0.3
			1.58	1.9
Asian Retail Mall Fund II	SSTwo Mall	Selangor	0.46	0.6
	1 st Avenue Mall	Penang	0.43	0.5
	Island Plaza	Penang	0.33	0.4
			1.22	1.5
Hektar REIT	Subang Parade	Selangor	0.47	0.6
	Mahkota Parade	Melaka	0.46	0.6
	Wetex Parade	Johor	0.17	0.2
	Landmark Central ²	Kedah	0.29	0.3
	Central Square ²	Kedah	0.30	0.4
			1.69	2.1
Starhill Global REIT	Starhill Gallery	Kuala Lumpur	0.36	0.4
	Lot 10	Kuala Lumpur	0.26	0.3
			0.61	0.7
ARA Managers (Asia Dragon) Pte Ltd	One Mont'Kiara	Kuala Lumpur	0.23	0.3
	Klang Parade	Selangor	0.70	0.8
	Ipoh Parade	Perak	0.59	0.7
	Seremban Parade	Negeri Sembilan	0.32	0.4
	AEON Bandaraya Melaka	Melaka	0.62	0.7
			2.46	3.0
Amanahraya REIT	SACC Mall	Selangor	0.19	0.2
	Selayang Mall	Selangor	0.34	0.4
			0.53	0.6
Kha Seng Goup	Viva Mall	Kuala Lumpur	0.66	0.8
	Central Market	Kuala Lumpur	0.10	0.1
	Kenanga Wholesale City	Kuala Lumpur	0.50	0.6
			1.26	1.5
KLCC Property Holdings Bhd	Suria KLCC	Kuala Lumpur	1.16	1.4
	Alamanda Shopping Centre	Putrajaya	0.70	0.8
	Mesra Mall	Terengganu	0.32	0.4
			2.18	2.6

Note:

¹ Pavilion KL has been injected into Pavilion REIT in Q4 2011 which is currently managed by Pavilion REIT Management Sdn Bhd.

² Hektar REIT has on 8 December 2011 entered into two separate conditional sale and purchase agreements (SPAs) to acquire Landmark Central Shopping Centre and Central Square Shopping Centre.



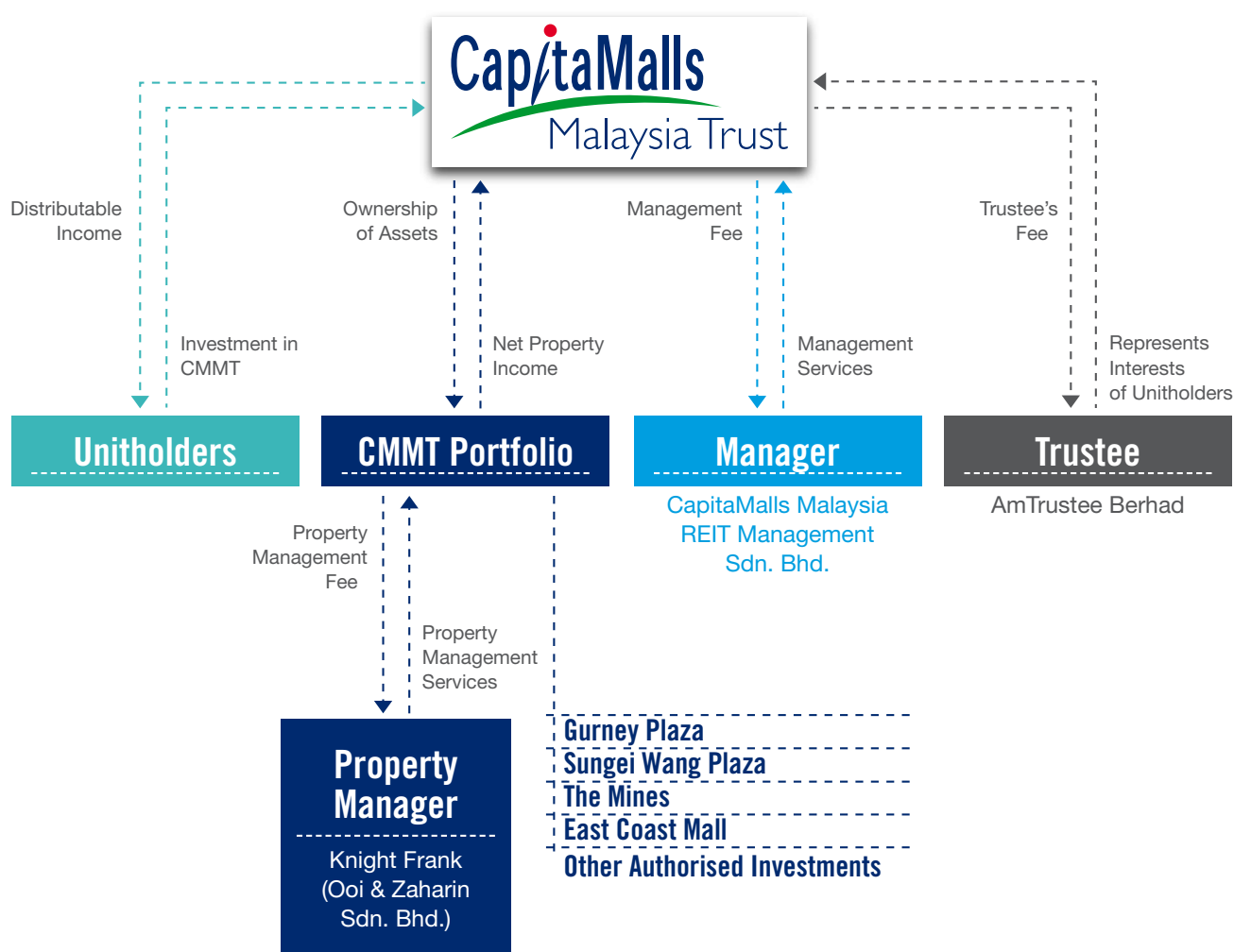
Day View of The Mines's Façade

ENHANCING VALUE

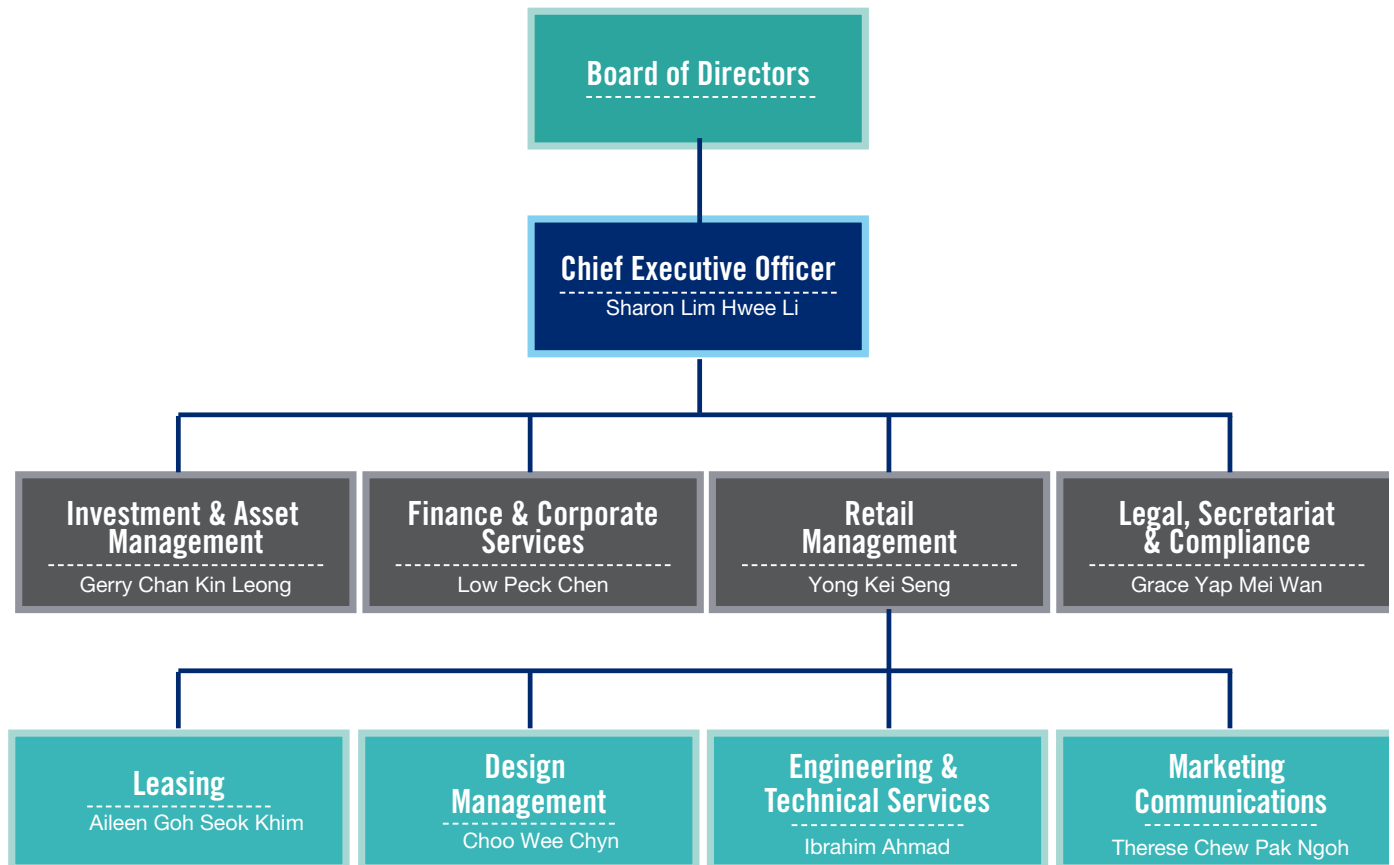
- TOTAL DISTRIBUTION PER UNIT OF
7.87 SEN
- TOTAL RETURNS OF
35.6%
- TOTAL MARKET CAPITALISATION OF
RM2.5 BILLION
- FREE FLOAT OF
64% / RM1.6 BILLION



TRUST STRUCTURE



ORGANISATION STRUCTURE



BOARD OF DIRECTORS



STANDING

MR PETER TAY BUAN HUAT

Independent Non-Executive Director

SEATED FROM LEFT TO RIGHT

**DATUK MOHD. NAJIB BIN HJ.
ABDULLAH**

Non-Independent Non-Executive Director

MR LIM BENG CHEE

Non-Independent Non-Executive Director

**DATUK IG CHANDRAN
(GNANACHANDRAN S AYADURAI)**

Independent Non-Executive Director



STANDING FROM LEFT TO RIGHT

MR NG KOK SIONG

Non-Independent Non-Executive Director

MS TAN SIEW BEE

Independent Non-Executive Director

SEATED FROM LEFT TO RIGHT

MR KEE TECK KOON

Chairman and Independent Non-Executive Director

MS SHARON LIM HWEE LI

Non-Independent Executive Director

MR KEE TECK KOON

Chairman and
Independent Non-Executive Director

Mr Kee, aged 55 and a Singaporean, joined the Board on 10 June 2010. He is also Chairman of the Corporate Disclosure Committee.

Mr Kee is currently a Non-Executive Director of CapitaMall Trust Management Limited (the manager of CapitaMall Trust listed on the Singapore Exchange Securities Trading Limited (SGX-ST)), a Non-Executive Director of Raffles Medical Group Ltd (listed on the SGX-ST), a Non-Executive Director of Changi Airports International Pte Ltd and the Non-Executive Chairman of NTUC First Campus Co-Operative Ltd and Lien AID Limited.

Mr Kee retired as the Chief Investment Officer of CapitaLand Limited (listed on the SGX-ST) on 1 July 2009, a position he assumed since February 2007. Between April 2003 and January 2007, he was responsible for overseeing the CapitaLand Group's financial advisory services, commercial real estate and retail real estate businesses. He was the Managing Director and Chief Executive Officer of The Ascott Limited from November 2000 to April 2003. Mr Kee has held senior management appointments with several other organisations. He started his career in 1979 with the Singapore Armed Forces and the Ministry of Defence where he remained until 1991.

Mr Kee holds a Master of Arts in Engineering Science from the University of Oxford, United Kingdom.

MR LIM BENG CHEE

Non-Independent Non-Executive Director

Mr Lim, aged 44 and a Singaporean, joined the Board on 1 November 2008. He is also Chairman of the Executive Committee and a member of the Corporate Disclosure Committee.

Mr Lim is currently the CEO and Executive Director of CapitaMalls Asia Limited (listed on the SGX-ST and The Stock Exchange of Hong Kong Limited). He is also a Director of CapitaMall Trust Management Limited (the manager of CapitaMall Trust listed on the SGX-ST) and CapitaRetail China Trust Management Limited (the manager of CapitaRetail China Trust listed on the SGX-ST).

Mr Lim has more than 10 years of real estate investment and asset management experience. He has held various positions within the CapitaLand group of companies since 2000 and has been CapitaMalls Asia Limited's CEO since 1 November 2008. Mr Lim has played an instrumental role in the creation of CapitaMalls Asia Limited's retail real estate funds and retail real estate investment trusts. Mr Lim was appointed as the Deputy CEO of CapitaMall Trust Management Limited in March 2005 until December 2006. He then led the team that spearheaded the listing of CapitaRetail China Trust, the first pure-play China shopping mall REIT listed in Singapore (S-REIT) and was appointed as CEO of CapitaRetail China Trust Management Limited in December 2006 until September 2008, during which time he was mostly stationed in Beijing. Mr Lim then returned to Singapore and assumed his appointment as CEO for both CapitaMalls Asia Limited and CapitaMall Trust Management Limited in November 2008. Mr Lim stepped down as CEO of CapitaMall Trust Management Limited on 25 November 2009 upon the listing of CapitaMalls Asia Limited.

Mr Lim holds a Master of Business Administration (Accountancy) from the Nanyang Technological University of Singapore and a Bachelor of Arts in Physics (Honours) from the University of Oxford, United Kingdom.

MR NG KOK SIONG

Non-Independent Non-Executive Director

Mr Ng, aged 40 and a Singaporean, joined the Board on 10 June 2010. He is also a member of the Audit Committee, Corporate Disclosure Committee and Executive Committee.

Mr Ng is currently the Chief Financial Officer of CapitaMalls Asia Limited (listed on the SGX-ST and The Stock Exchange of Hong Kong Limited). He is also a Director of CapitaRetail China Trust Management Limited (the manager of CapitaRetail China Trust listed on SGX-ST), Singapore's first pure play China shopping mall S-REIT.

Mr Ng joined CapitaLand Limited in September 2005. He later assumed the position of Senior Vice President of CapitaLand Eurasia where he was involved in business development. In October 2008, he was appointed as Senior Vice President, Strategic Finance, CapitaLand Limited, where he was responsible for overseeing the corporate finance matters of the CapitaLand Group. Prior to joining CapitaLand Limited in 2005, Mr Ng spent more than a decade in the oil and gas industry across Asia Pacific and Europe, holding various finance and investment management positions in Exxon-Mobil and Royal Dutch Shell. He was appointed as the Chief Financial Officer of CapitaMalls Asia Limited in September 2009.

Mr Ng graduated with a Degree of Bachelor of Accountancy (Honours) from the Nanyang Technological University of Singapore.

DATUK MOHD. NAJIB BIN HJ. ABDULLAH

Non-Independent Non-Executive Director

Datuk Mohd. Najib Bin Hj. Abdullah, aged 51 and a Malaysian, joined the Board on 10 June 2010.

Datuk Mohd. Najib Bin Hj. Abdullah is concurrently the Group Managing Director of Malaysian Industrial Development Finance Berhad. A board member and member of the Executive Committee of Malaysian Industrial Development Finance Berhad, he is also a director of MIDF Amanah Investment Bank Berhad, MIDF Amanah Capital Berhad, MIDF Amanah Asset Management Berhad, MIDF Property Berhad, ACR ReTakaful SEA Berhad and ACR ReTakaful MEA B.S.C. He is also a commissioner of P. T. MIEL Nusantara Development.

Datuk Mohd. Najib Bin Hj. Abdullah was appointed as Group Managing Director of Malaysian Industrial Development Finance Berhad with effect from 8 July 2006. He was formerly the CEO/Executive Director of Malaysia National Insurance Berhad. He started his career as a Management Accountant with Hewlett Packard Kuala Lumpur, and later served in Citigroup whereby he held several senior managerial roles including as Chief of Staff, Country Financial Controller with Citibank N.A. and Head, Malaysian Business Group, Corporate and Investment Banking, Citibank Berhad.

Datuk Mohd. Najib Bin Hj. Abdullah holds a Bachelor of Science degree in Computer Science and Mathematics (*magna cum laude*) and a Masters degree in Business Administration from the Northern Illinois University, United States of America.

DATUK IG CHANDRAN (GNANACHANDRAN S AYADURAI)

Independent Non-Executive Director

Datuk Chandran, aged 59 and a Malaysian, joined the Board on 10 June 2010. He is also Chairman of the Audit Committee.

Datuk Chandran has over 35 years of working experience in the accounting profession. He joined KPMG Malaysia in 1973 and from 1977 to 1983 articulated in the United Kingdom and rejoined KPMG Malaysia in 1984. He was admitted as an audit partner in 1994 and later took on responsibilities in the Advisory Practice in Malaysia from where he retired in 2007. He then joined KPMG Thailand as the head of the Advisory Practice and retired in March 2009.

Datuk Chandran's regional roles include being KPMG's Asia Pacific Chief Operating Officer of the Internal Audit Services for two years (2003-2004), leader for the Corporate Governance Advisory in KPMG Asia Pacific. He has led a number of KPMG's large internal audit, governance advisory and enterprise risk management assignments. He has also served as the audit engagement partner on several listed companies covering various industries including property, hospitality and leisure and insurance (for which he was accredited by Bank Negara Malaysia).

Datuk Chandran was the lead partner in KPMG for the provision of internal audit services to over 60 United Nations offices throughout Asia, the Pacific, Arab States and Eastern Europe from 1998 to 2008, and has led several audit missions to post conflict countries including Afghanistan, Iraq, Iran and Timor Leste. Datuk Chandran was previously the partner-in-charge of the Forensic Practice in KPMG Malaysia and has undertaken several investigative engagements within Malaysia and internationally.

Since mid-2009, he has been providing advisory services to certain government agencies and has been a guest lecturer in local universities and government institutions. Datuk Chandran currently also holds the position as Special Advisor to the Chief Commissioner of the Malaysian Anti Corruption Commission.

Datuk Chandran is a Fellow of the Institute of Chartered Accountants in England and Wales, and also a Chartered member of the Malaysian Institute of Accountants, the Institute of Internal Auditors, the Chartered Institute of Taxation, Malaysia and an Associate Certified Fraud Examiner. Datuk Chandran is an accredited member of the Institute of Directors, Thailand.

On 8 October 2011, Datuk Chandran was conferred "Darjah Mulia Seri Melaka" which carries the title "Datuk" by Tuan Yang Terutama Yang di-Pertua Negeri Melaka for his contribution and services to Melaka in particular and to the nation in general.

MS TAN SIEW BEE

Independent Non-Executive Director

Ms Tan, aged 52 and a Malaysian, joined the Board on 10 June 2010. She is also a member of the Audit Committee.

Ms Tan was called to the Malaysian Bar in 1986 and has been working as a lawyer in Kuala Lumpur ever since. She was initially involved in court litigation work and, subsequently, the capital markets and corporate banking sectors. Ms Tan was involved in a significant number of capital markets transactions and debt and equity issuances, including work relating to REITs.

Ms Tan was a founding senior partner of the legal firm, Messrs Shahrizat & Tan, which was formed in 1993. She was actively involved in expanding the operations of Messrs Shahrizat & Tan, including the training of its lawyers as well as managing the Corporate & Corporate Banking Department. Messrs Shahrizat & Tan subsequently opened a branch in Penang.

In 2003, Messrs Shahrizat & Tan merged with Messrs Rashid & Lee to form Messrs Shahrizat Rashid & Lee. Ms Tan was the head of the Finance and Property department before leaving the firm in May 2007.

Ms Tan holds an LL.B (Honours) degree from the University of East Anglia and an LL.M from the University College London. She was admitted to the English Bar and the Malaysian Bar in 1984 and 1986, respectively.

MR PETER TAY BUAN HUAT

Independent Non-Executive Director

Mr Tay, aged 63 and a Singaporean, joined the Board on 10 June 2010.

Mr Tay is currently a Corporate Advisor, engaging in business development and coaching budding business leaders. He serves on the boards of companies involved in food and education, and writes on management issues in 'Asian Meat', and 'AgriFood Magazine', two international food publications.

For 17 years, from 1989 to 2006, Mr Tay was the President and CEO of Singapore Food Industries Ltd (SFI), a public listed food distribution and manufacturing company in Singapore. Under his leadership, SFI expanded internationally from its base in Singapore to include operations in the United Kingdom, the Republic of Ireland, China and Australia.

During the period from 1992 to 2004, he concurrently held other positions, including Group Coordinator for Human Resource and Group Director (Strategic Development) in Singapore Technologies. Prior to that, Mr Tay held several general management and corporate function positions and was the Director of Manpower in the Singapore Ministry of Defence. Mr Tay was also Chairman of the Working Group on Wage Restructuring for the Food Manufacturing Industry in 2004.

A Colombo Plan Scholar, Mr Tay graduated with Bachelor degrees in both Engineering (Honours) and Economics from the University of Newcastle in Australia. In 1986, he obtained an MSc in Management (Sloan Fellows Program) from the Massachusetts Institute of Technology. He is a Fellow of the Chartered Institute of Management Accountants, United Kingdom, and a Member of the Institution of Engineers, Australia.

MS SHARON LIM HWEE LI

Non-Independent Executive Director

Ms Lim, aged 39 and a Singaporean, joined the Board on 15 April 2010. She is also a member of the Executive Committee.

Ms Lim has over 15 years of real estate experience including property investment and development, sales and marketing and asset management activities in Australia, the Philippines, Thailand, Vietnam and Singapore. Ms Lim has extensive experience in property investment covering the retail, industrial, mixed developments and residential sectors.

Prior to her position as CEO and Non-Independent Executive Director of CapitaMalls Malaysia REIT Management Sdn. Bhd., Ms Lim was Country Head for CapitaMalls Asia Limited's operations in Malaysia, and was instrumental in establishing CapitaMalls Asia Limited's retail platform in Malaysia. This involved steering Gurney Plaza, Sungei Wang Plaza and The Mines and building the local team in preparation for expansion. Before this appointment, she was a Vice President of CapitaMall Trust Management Limited, where she was responsible for actively seeking out new investment opportunities in Singapore. She focused on identifying and evaluating new retail investment opportunities, which involved performing financial analyses and structuring deals. She also worked closely with the centre management teams to evaluate, plan and steer the assets under management to optimise investment returns.

Ms Lim holds a Master of Business Administration from Murdoch University, Australia and a Bachelor of Business (Distinction) from the Royal Melbourne Institute of Technology, Australia.

TRUST MANAGEMENT TEAM

MS SHARON LIM HWEE LI

Chief Executive Officer

Please refer to description under the section on 'Board of Directors'.

MR GERRY CHAN KIN LEONG

Head, Investment & Asset Management

Mr Chan has more than 10 years of experience in investment related areas including investment evaluation, project development, asset management and corporate finance.

Prior to joining the Manager, he was Vice President, Investment, at CitySpring Infrastructure Trust, a Temasek-linked listed infrastructure business trust listed on the Singapore Stock Exchange, and was responsible for originating and evaluating infrastructure investments, asset management and fund raising initiatives. While at CitySpring, he successfully executed the first ever rights issue by a business trust in Singapore. Previously he headed the corporate finance activities for a Beijing based environmental services company where he successfully closed a landmark US\$150 million convertible note and was also responsible for obtaining investor approvals to invest the proceeds on new assets.

Mr Chan holds a Master of Business degree and a Bachelor of Accountancy (First Class Honours) degree from the Nanyang Technological University, Singapore. He is also a certified Chartered Financial Analyst.

MS LOW PECK CHEN

Head, Finance & Corporate Services

Ms Low is the Head of the Finance and Corporate Services department of the Manager. She has more than 12 years of experience in finance and accounting and her responsibilities have covered corporate finance, tax, treasury, consolidation and compliance, as well as finance-related support for acquisition and divestment activities. She has also actively participated in corporate fund raising in the capital and debt markets and successfully brokered numerous financing and refinancing deals.

In 2008 Ms Low joined CapitaLand Retail Malaysia Sdn. Bhd. (CMA Malaysia), an indirect wholly-owned subsidiary of CMA, which is responsible for the business operations of CMA in Malaysia. She was part of the core team that spearheaded the listing of CMMT on the Main Market of

Bursa Securities. Prior the initial public offering of CMMT in 2010, she was responsible for the overall treasury and tax functions of CMA Malaysia. Before joining CMA, she worked with Halim Mazmin Berhad, UEM Group and AmFinance Berhad.

Ms Low holds a Bachelor of Accounting (First Class Honours) degree from the University of Malaya, Malaysia, and is a member of the Malaysian Institute of Accountants.

MR YONG KEI SENG

Head, Retail Management

Mr Yong has more than 20 years of real estate experience covering business development, property development, asset and property management, retail operations, leasing and marketing.

Prior to joining the Manager, he was the General Manager of CMA Malaysia and was responsible for the overall strategies and management of leasing, operation, marketing communications, project and tenancy design of CMA Malaysia. He has successfully enhanced the capital values of Gurney Plaza, The Mines and Sungei Wang Plaza through asset enhancement initiatives and strengthening of the tenancy mix. He was formerly the Chairman of the Sungei Wang Plaza Management Corporation and acted as the retail advisor of Gurney Plaza before its acquisition by CMA in 2007. Previously he was responsible for the asset management and retail operations of a portfolio of shopping malls in Singapore.

Mr Yong holds a Master of Business Administration (Accountancy) degree from the Nanyang Technological University, Singapore and a Bachelor of Science (Estate Management) (Honours) degree from the National University of Singapore.

MS GRACE YAP MEI WAN

Head, Legal, Secretariat & Compliance

Ms Yap is the Head of the Legal, Secretariat and Compliance department of the Manager. She has 17 years of work experience with seven years as a practicing lawyer and 10 years as an in-house legal counsel in both public listed and private limited companies.

Prior to joining the Manager she was a legal practitioner involved in concessions/privatization, management buy-outs, public listing, due diligence exercises, joint ventures and mergers & acquisitions practices. From the

legal profession she pursued her career as an in-house legal counsel whereby she assisted large and diversified corporations with asset acquisitions, corporate finance, property development, conveyancing, project management as well as corporate advisory matters.

Ms Yap holds an LLB (Honours) degree from the University of Nottingham, England and was admitted to the English Bar and Malaysian Bar in 1991 and 1993 respectively.

MS AILEEN GOH SEOK KHIM

Head, Leasing

Prior to joining the Manager, Ms Goh was the Deputy Head of Asset Management (Leasing) of CMA Malaysia where she monitored and worked closely with the leasing teams of CMMT's retail properties to improve the tenancy mix and occupancy rates of the properties through timely tenancy renewals and replacements where required. She was a key team member in planning and implementing the asset enhancement initiatives executed by CMA Malaysia at The Mines, Sungei Wang Plaza and Gurney Plaza. She continues to oversee the leasing strategies for CMMT's shopping malls. Before joining CMA Malaysia, Ms Goh worked with Mid Valley City Sdn Bhd as the Leasing Manager and was responsible for the budgeting and leasing of the retail space at Mid Valley Megamall. Ms Goh was also previously attached to an international tax consultancy firm providing corporate tax compliance and advisory services to multinational and public listed companies, both in Malaysia and Singapore.

Ms Goh holds a Bachelor of Commerce (Accounting and Finance) degree from Monash University (Clayton), Australia.

MR CHOO WEE CHYN

Head, Design Management

Mr Choo has more than 11 years of experience in the design and development of housing and commercial projects. Prior to joining the Manager, Mr Choo was the Design Manager of CMA Malaysia, and was responsible for overseeing the design management and tenancy design for the CMA malls in Malaysia. Mr Choo was involved in the planning, design and execution of various asset enhancement initiatives. He was also responsible for establishing and implementing shop fit-out design standards and guidelines as well as ensuring that shop designs were of a standard befitting the respective mall's positioning.

Before relocating to Malaysia, Mr Choo participated in CMA's project bids and asset enhancement initiatives in Singapore. Prior to joining the CMA Group, he was a practicing architect and worked for various large architectural companies where he focused on commercial and residential building design and construction.

Mr Choo holds a Masters of Architecture and a Bachelor of Arts (Architecture Studies) from the National University of Singapore and is a registered Architect with the Board of Architects (Singapore).

MR IBRAHIM AHMAD

Head, Engineering & Technical Services

Mr Ibrahim has over 21 years of experience in real estate covering both project and property management.

Prior to joining the Manager, he was the Head of Engineering and Technical Services of CMA Malaysia and was responsible for the implementation of the standard operating procedures and emergency response procedures for the respective shopping malls. He was also involved in the preparation of operations and maintenance budgets, review of equipment performance and procurement of service contracts.

Mr Ibrahim graduated with a Bachelor of Science (Real Estate Management) degree from Oxford Brookes University, United Kingdom, and has a Diploma in Building from Singapore Polytechnic. He is a qualified Fire Safety Manager registered with the Fire Safety Bureau of Singapore.

MS THERESE CHEW PAK NGOH

Head, Marketing Communications

Ms Chew has over 20 years of experience managing various consumer brands across Asia, including 12 years with CMA and CMA Malaysia. As the head of the Manager's Marketing Communications function, Ms Chew drives initiatives to increase shopper traffic, improve tenants' turnover, achieve portfolio synergies and deliver non-leasing income for the properties.

Ms Chew holds a Master of Arts degree in Mass Communications from Oklahoma City University, United States of America, and a Bachelor of Commerce degree from Curtin University of Technology, Australia.

CORPORATE GOVERNANCE

Strong corporate governance has always been our priority as the Manager. We recognise that an effective corporate governance culture is critical to our performance and, consequently, to the success of CMMT. As such, corporate governance will always be at the top of our agenda.

We are committed to high standards of corporate governance and transparency in our management of CMMT, and operate in the spirit of the Malaysian Code on Corporate Governance (Revised 2007) (the Code) in the discharge of our responsibilities as the Manager in our dealings with unitholders and other stakeholders.

THE MANAGER

The primary role of the Manager is to set the strategic direction of CMMT and make recommendations to the Trustee on the acquisition of new assets and divestment or enhancement of CMMT's assets in accordance with its stated investment strategy. The research, evaluation and analysis required for this purpose is co-ordinated and carried out by the Manager. The Manager is also responsible for the risk management of CMMT.

The Manager has general powers of management over the assets of CMMT. The Manager's primary responsibility is to manage the assets and liabilities of CMMT for the benefit of unitholders. This is done with a focus on generating rental income and enhancing asset values over time so as to maximise the returns from the investments, and ultimately the distributions and total return to unitholders.

Other functions and responsibilities of the Manager include:

- Carrying out and conducting CMMT's business in a proper and efficient manner and to conduct all transactions with, or on behalf of, CMMT at arm's length.
- Preparing asset plans on an annual basis, including forecasts of revenue, net income and capital expenditure, explanation of major variances to previous years' numbers, commentary on key issues and justification of the assumptions underlying rental rates, operating income and operating expenses. These plans explain the past performance and expected future performance of CMMT's assets.
- Ensuring compliance with relevant laws and regulations, including the Capital Markets and Services Act 2007, the Main Market Listing Requirements of Bursa Securities (Listing Requirements), the REITs Guidelines and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its unitholders.
- Attending to all regular communications with unitholders.
- Supervising Knight Frank (Ooi & Zaharin Sdn. Bhd.) (Property Manager), which pursuant to the property management agreement, performs the day-to-day property management functions (including lease administration, accounting, advertising and promotion activities, liaison and customer services, and car park management) for CMMT's malls namely The Mines, Gurney Plaza, Sungei Wang Plaza and East Coast Mall.

CMMT, constituted as a trust, is externally managed by the Manager and therefore has no personnel of its own. The Manager appoints and has a team of experienced and well qualified individuals to run its day-to-day operations. The individual members of the Board of Directors of the Manager (Directors) as well as employees of the Manager are remunerated by the Manager and not CMMT.

CapitaMalls Malaysia REIT Management Sdn. Bhd. is appointed as the Manager in accordance with the terms of the trust deed dated 7 June 2010 and registered with SC on 9 June 2010 (the Deed). The Deed outlines certain circumstances under which the Manager can be removed, which include a resolution passed by a majority consisting of not less than three-fourths of the unitholders present and voting at a meeting of unitholders duly convened and held in accordance with the provisions of the Deed, on the grounds of a breach of its obligations under the Deed which the Manager has failed to remedy despite the request from the Trustee to remedy the breach.

The following paragraphs describe the Manager's corporate governance policies and practices in 2011, with specific provisions extracted from the Code (in *italics* for ease of reference). They encompass proactive measures adopted by the Manager for avoiding situations of conflicts and potential conflicts of interest, including prioritising the interests of unitholders over the Manager's and ensuring that applicable laws and regulations are complied with.

BOARD OF DIRECTORS

The Board

Every listed company should be headed by an effective board which should lead and control the company.

The Board of Directors of the Manager (the Board) has overall responsibility for managing and governing the Manager and CMMT in the best interest and for the benefit of unitholders.

The Board provides leadership to the Manager, sets the strategic direction and oversees the competent management of CMMT, including the deployment of necessary financial and human resources, to meet its objectives. The Board establishes goals for management and monitors the

achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risk, and compliance with applicable laws. It also sets the disclosure and transparency standards for CMMT and ensures that obligations to unitholders and other stakeholders are understood and met.

Each Director must act honestly, with due care and diligence, and in the best interest of unitholders. This obligation is aligned with the Manager's prime responsibility of managing the assets and liabilities of CMMT for the benefit of unitholders. Decisions are taken objectively in the interest of CMMT. The Manager has adopted guidelines, details of which are set out on page 43, to deal with Related Party Transactions (as defined herein) and conflicts of interest.

The Board meets regularly to discuss and review the Manager's key activities, including its business strategies and policies for CMMT. Board meetings are scheduled in advance, and are held at least once every quarter, to deliberate on matters of strategic significance for CMMT, including any significant acquisitions and disposals, review of the annual budget and performance of the Manager and CMMT, as well as approve the release of the quarterly and full-year results. Issues deliberated and decisions made during the Board meetings are recorded. The Board also reviews the risks to the assets of CMMT and acts upon any comments from the auditors of CMMT. Additional Board meetings are held, where necessary, to address significant transactions or issues. The Articles of Association of the Manager permit Board meetings to be held by way of teleconference and videoconference.

Board Committees

In the discharge of its functions, the Board is supported by specialty Board committees that provide independent oversight of management, and which also serve to ensure that there are appropriate checks and balances. These Board committees are the Audit Committee, Executive Committee and Corporate Disclosure Committee. Each of these Board committees operates under delegated authority from the Board. Other committees may be formed as dictated by business imperatives and/or to promote operational efficiency.

The number of Board and Board committee meetings held in the year, as well as the attendance of their membership, are set out on page 39.

Executive Committee

Currently, the members of the Executive Committee are Mr Lim Beng Chee, Mr Ng Kok Siong, and Ms Sharon Lim Hwee Li. The Executive Committee oversees the day-to-day activities of the Manager on behalf of the Board including, to:

- Review management reports and operating budgets;

- Approve or make recommendations to the Board on new investments and acquisitions;
- Approve specific budgets for capital expenditure for development projects, acquisitions and enhancements/upgrading of properties;
- Award contracts for development projects;
- Approve or make recommendations to the Board on divestments and write-offs of property assets/equity investments;
- Review the adequacy and completeness of the overall risk management framework of CMMT;
- Evaluate and make recommendations for the Board's approval of the risk guidelines and limits for CMMT;
- Review CMMT's risk portfolio mix and risk levels as and when required;
- Report to the Board on decisions made by the Executive Committee; and
- Perform such other functions as varied or delegated by the Board.

In FY2011, the Executive Committee met formally for a total of four (4) times. The members of the Executive Committee also met informally during the course of the period. The details of attendance of each of the members of the Executive Committee held in the year 2011 are disclosed herein below.

Audit Committee

The Audit Committee is established by the Board from among the Directors of the Manager and comprises three members, all non-executive, the majority of whom (including the Chairman of the Audit Committee) are independent.

The Manager is of the view that the Audit Committee members have the relevant expertise to discharge the functions of an Audit Committee and one member of the Audit Committee is a member of the Malaysian Institute of Accountants. The composition of the Audit Committee as at 31 December 2011 are Datuk IG Chandran (Gnanachandran S Ayadurai), Ms Tan Siew Bee and Mr Ng Kok Siong.

The Audit Committee has a set of terms of reference defining its scope of authority which includes, in relation to its management of CMMT:

- Monitoring and evaluating the effectiveness of internal control processes (including financial, operational and compliance controls and risk management policies and systems) by reviewing internal and external audit reports to ensure that where deficiencies in internal controls have been identified, appropriate and prompt remedial action is taken by management;
- Reviewing the quality and reliability of information prepared for inclusion in the financial reports and approving the financial statements and the audit report before recommending to the Board for approval;
- Reviewing the adequacy and effectiveness of the internal

audit function;

- Monitoring the procedures established to regulate Related Party Transactions (as defined herein) including ensuring compliance with applicable provisions of the Listing Requirements and the REITs Guidelines;
- Reviewing the appointment and re-appointment of auditors (including remuneration and terms of engagement) before recommending them to the Board for approval and reviewing the adequacy of existing audits in respect of cost, scope and performance;
- Reviewing the scope and results of the audit and its cost effectiveness, the independence and objectivity of the external auditors, non-audit services provided by the external auditors and confirming that they would not, in the Audit Committee's opinion, impair the independence of the auditors; and
- Monitoring the procedures in place to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines. The Audit Committee is authorised to investigate any matters within its terms of reference. The Audit Committee has full access to and co-operation of the management as well as the internal auditors and has full discretion to invite any executive director or officer to attend its meetings.

The internal auditors and CMMT's external auditors have unrestricted access to the Audit Committee. Reasonable resources have been made available to the Audit Committee to enable it to discharge its duties.

The Audit Committee meets CMMT's external auditors, without the presence of management, at least twice a year. In its review of the audited financial statements for FY2011, the Audit Committee discussed with management and external auditors the accounting principles that were applied. Based on the review and discussions with management and the external auditors, the Audit Committee is of the view that the financial statements are fairly presented, and conform to generally accepted accounting principles in all material aspects.

The Audit Committee has also conducted a review of all non-audit services provided by the external auditors during the financial year and is satisfied that the nature and extent of such services will not prejudice the independence and objectivity of the external auditors. The non-audit fee paid and payable to the external auditors for FY2011 amounted to RM205,800.

Audit Committee meetings are generally held after the end of every quarter in every financial year. During FY 2011, the Audit Committee met a total of four (4) times. The details of attendance by each of the members of the Audit Committee held in the year 2011 are disclosed herein below.

In line with the terms of reference of the Audit Committee, the following activities were carried out by the Audit Committee during FY2011:

- Reviewed the quarterly results and financial statements with management and the external auditors for recommendation to the Board of Directors for approval and release to Bursa Securities;
- Reviewed the audit plans for the year which were prepared by both external and internal auditors;
- Reviewed the audit activities carried out by the internal auditors and the audit reports on major findings by the auditors and management's response thereto;
- Considered the appointment of external auditors and their request for an increase in audit fees;
- Discussed the emerging financial reporting issues pursuant to the introduction of new accounting standards and additional statutory/regulatory disclosure requirements;
- Reviewed all related party transactions entered into by CMMT and/or the Manager;
- Reviewed any conflict of interest situations that may have arisen;
- Reviewed the whistle blowing policy update to ensure that the procedures for detecting fraud and whistle blowing are in place; and
- Reported to the Board on significant issues and concerns with applicable recommendations. Minutes of the Audit Committee meetings were tabled and noted by the Board.

Part of the Audit Committee's responsibility in evaluating the effectiveness and adequacy of the internal control processes includes reviewing the risk management policies and systems. The internal audit services are procured from its holding company, CapitaMalls Asia Limited ("CMA") and cover enterprise risk management as a group-wide initiative. This will be reviewed by the Audit Committee in line with the Code and shall be adopted by the Manager upon approval of the Audit Committee in FY2012.

Corporate Disclosure Committee

The Corporate Disclosure Committee reviews corporate disclosure matters relating to CMMT, including announcements to Bursa Securities, and pursues best practices in terms of transparency. Currently, the members of the committee are Mr Kee Teck Koon, Mr Lim Beng Chee and Mr Ng Kok Siong.

Delegation of Authority

The Board has adopted a set of internal controls which sets out approval limits for, among other things, capital expenditure, new investments and divestments, operating of bank accounts, bank borrowings and cheque signatories' arrangements at the Board level. Apart from matters that specifically require the Board's approval – such as the issue of new units in CMMT, income distributions and other returns to unitholders – the Board approves transactions exceeding certain threshold limits, while delegating authority for transactions below those limits to the Board committees. Appropriate delegation of authority, which includes approval of sub-limits, is also provided at the management level to facilitate operational efficiency.

BOARD APPOINTMENT AND COMPOSITION

Board Composition and Balance

The board should include a balance of executive directors and non-executive directors (including independent non-executives) such that no individual or small group of individuals can dominate the board's decision-making.

Currently, the Board consists of eight (8) Directors of whom four (4) are Independent Non-Executive Directors. The majority of the Board members are Non-Executive with more than one-third of the Board being independent. Non-Executive Directors actively participate in setting and developing strategies and goals for management, and reviewing and assessing management's performance. This enables the management to benefit from their external and objective perspective on issues that are brought before the Board. It also enables the Board to interact and work with management through a healthy exchange of ideas and views to help shape the strategic process. Coupled with a clear separation of the roles between the Chairman and the CEO, this provides a healthy professional relationship between the Board and management with clarity of roles and a robust process of deliberation on the business activities of CMMT.

A Director is considered independent if he/she is independent of the management of the Manager and is free from any business or other relationships which could interfere with the exercise of independent judgment or the ability to act in the best interest of CMMT. Mr Kee Teck Koon, Datuk IG Chandran (Gnanachandran S Ayadurai), Ms Tan Siew Bee and Mr Peter Tay Buan Huat are the Independent Directors.

The Board is of the view that its current composition comprises persons who, as a group, provide the necessary core competencies and that the current Board size is appropriate, taking into consideration the nature and scope of CMMT's operations. The profiles of the Directors are set out on pages 28 to 31 of this Report.

Appointments to the Board

There should be a formal and transparent procedure for the appointment of new directors to the board.

Re-election

All directors should be required to submit themselves for re-election at regular intervals and at least every three years.

The Manager issues formal letters upon appointment of new Directors. Newly appointed Directors are briefed on CMMT's business activities, strategic direction and policies, the regulatory environment in which CMMT operates, the Manager's corporate governance practices, and their statutory and other duties and responsibilities as Directors. Directors are routinely updated on developments and changes in the operating environment, including revisions to accounting standards and laws and regulations affecting

the Manager and/or CMMT. Directors are also encouraged to participate in industry conferences, seminars and training programmes in connection with their duties.

The Manager does not consider it necessary for the Board to establish a nominating committee as it believes that the performance of the Manager, and hence, its Board, is reflected in the long term success of CMMT. Thus, the Board performs the functions that such a committee would otherwise perform, namely, it administers nominations to the Board, reviews the structure, size and composition of the Board, and reviews the independence of Board members.

Directors of the Manager are not subject to periodic retirement by rotation. The composition of the Board is reviewed regularly to ensure that the Board has the appropriate size and mix of expertise and experience. In particular, the Manager strives to ensure that the Board as a whole has the background, experience and knowledge in business, finance and management skills appropriate for CMMT's business activities, and that each Director with his special contribution brings to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made.

The composition of the Board, including the selection of candidates for new appointments to the Board as part of the Board's renewal process, is determined using the following principles:

- The Chairman of the Board should be an Independent Non-Executive Director;
- The Board should comprise Directors with a broad range of commercial experience, including expertise in fund management, property as well as banking and finance.
- At least one-third of the Board should comprise Independent Directors.

The selection of candidates is evaluated taking into account various factors including the current and medium term needs and goals of CMMT, and hence, the Manager, as well as the relevant expertise of the candidates and their potential contributions.

The independence of each Director is reviewed upon appointment, and thereafter annually, by the Board. Reviews of Board performance as appropriate are informal. Renewal or replacement of Board members do not necessarily reflect their contributions to date, but may be driven by the need to position and shape the Board in line with the medium term needs of CMMT and its business.

Chairman and CEO

The roles of Chairman and CEO are separate and the positions are held by two separate persons. This is to ensure an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision making. The division of responsibilities between the

Chairman and the CEO facilitates effective oversight and clear segregation of duties. The Chairman and the CEO are not related to each other and the Chairman is an Independent Non-Executive Director.

The Chairman leads the Board to ensure the effectiveness on all aspects of its role and sets its agenda. He ensures that members of the Board receive accurate, clear and timely information, facilitates the contribution of Non-Executive Directors, encourages constructive relationships between Executive Directors, Non-Executive Directors and management, ensures effective communication with unitholders and promotes a high standard of corporate governance.

The Chairman also ensures that the Board and the management work together with integrity, competency and moral authority, and the Board engages management in constructive debate on strategies, business operations and

enterprise risks.

The CEO has full executive responsibilities over the business direction and operational decisions in managing CMMT.

Board and Board Committee Attendance

The matrix of Board members' participation and attendance records at meetings of the Board and the specialty Board committees during the year are provided below. The participation and attendance records also reflect each Board member's additional responsibilities and special focus on the respective Board committees.

Four (4) Board meetings were held in 2011. The tables contain the attendance record of Directors at Board and Board committee meetings during the year, and details of their memberships in the Board and Board committees.



Dining along the Canal at Level 1 of The Mines

CORPORATE GOVERNANCE

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Board Committee Composition

Board Members	Audit Committee	Executive Committee	Corporate Disclosure Committee
Mr Kee Teck Koon	-	-	C
Mr Lim Beng Chee	-	C	M
Mr Ng Kok Siong	M	M	M
Datuk Mohd. Najib Bin Hj. Abdullah	-	-	-
Datuk IG Chandran (Gnanachandran S Ayadurai)	C	-	-
Ms Tan Siew Bee	M	-	-
Mr Peter Tay Buan Huat	-	-	-
Ms Sharon Lim Hwee Li	-	M	-

Denotes: C – Chairman, M – Member

Meeting Attendance for FY2011

Board Members	Board No. of meetings held: 4	Audit Committee No. of meetings held: 4	Executive Committee No. of meetings held: 4
Mr Kee Teck Koon	4	N.A. ³	N.A. ³
Mr Lim Beng Chee	3	N.A. ³	4
Mr Ng Kok Siong	4	4	4
Mr Goh Soon Yong ¹	1	N.A. ³	1
Datuk Mohd. Najib Bin Hj. Abdullah	4	N.A. ³	N.A. ³
Datuk IG Chandran (Gnanachandran S Ayadurai)	4	4	N.A. ³
Ms Tan Siew Bee	4	4	N.A. ³
Mr Peter Tay Buan Huat	4	N.A. ³	N.A. ³
Ms Sharon Lim Hwee Li	4	N.A. ³	4
Mr Lock Wai Han ²	3	N.A. ³	1

¹ Appointed as a Director of the Manager with effect from 18 August 2011 and subsequently resigned on 1 January 2012.

² Resigned as a Director of the Manager on 18 August 2011.

³ 'N.A.' means 'not applicable'

ACCOUNTABILITY AND ACCESS TO INFORMATION

Supply of Information

The board should in a timely fashion be supplied with information in a form and of a quality appropriate to enable it to discharge its duties.

Financial Reporting

The board should present a balanced and understandable assessment of the company's position and prospects.

Management provides the Board with complete and adequate information in a timely manner. This is done through regular updates on financial results, market trends and business developments. Changes to regulations, policies and accounting standards are also monitored closely. To keep pace with regulatory changes, where these changes have an important and significant bearing on CMMT and its disclosure obligations, the Directors are briefed by management during Board meetings, at specially convened sessions or via circulation of Board papers. Information provided to the Board include explanatory background materials relating to matters to be brought before the Board, budgets, forecasts and management accounts. In relation to budgets, any material variance between projections and actual results are disclosed and explained.

The Secretary of the Manager works with the Chairman and management to ensure that Board papers and agendas are provided to each Director in advance of Board meetings so that they can familiarise themselves with the matters prior to the Board meetings. Senior executives who can provide additional insights into matters to be discussed are requested to also attend the Board meetings so as to be at hand to answer questions. Board meetings are usually half-a-day affairs and include presentations by senior executives, external consultants and experts on strategic issues relating to specific business areas.

The Board has separate and independent access to the Manager's senior management and the Secretary, and vice versa. The Secretary will give the Board necessary assistance and is also responsible for assisting the Chairman in ensuring that Board procedures are followed and that the applicable laws and regulations are complied with.

Under the direction of the Chairman, the Secretary's responsibilities include ensuring good flow of information within the Board and its committees and between senior management and Non-Executive Directors as well as facilitating orientation and assisting with the professional development of the Directors as required. The Secretary attends Board meetings and committee meetings to take minutes.

Where necessary, the Manager will, upon request of the Directors (whether as a group or individually), provide them with independent professional advice, at the Manager's

expense, to enable them to discharge their duties. The Secretary assists the Directors in obtaining such advice. The Manager has implemented quarterly financial reporting for CMMT since inception. Financial results and other price sensitive public announcements are presented in a balanced and understandable format for the assessment of CMMT's performance, position and prospects

DIRECTORS' REMUNERATION AND TRAINING

The Level and Make-up of Remuneration

Levels of remuneration should be sufficient to attract and retain the directors needed to run the company successfully. The component parts of remuneration should be structured so as to link rewards to corporate and individual performance, in the case of executive directors. In the case of non-executive directors, the level of remuneration should reflect the experience and level of responsibilities undertaken by the particular non-executive directors concerned.

Procedure

Companies should establish a formal and transparent procedure for developing policy on executive remuneration and for fixing the remuneration packages of individual directors.

Disclosure

The company's annual report should contain details of the remuneration of each director.

Directors' Remuneration

The remuneration of Directors of the Manager is paid by the Manager, and not by CMMT. The Manager adopts the remuneration policies and practices of its holding company, CMA, which has a remuneration committee that determines and recommends to the CMA board of directors the framework for remuneration, compensation and benefits, which includes the CEO of the Manager. It is hence not necessary for the Manager to have a remuneration committee.

Since CMMT does not bear the remuneration of the Manager's Board, the Manager does not consider it necessary to include a report on remuneration of its Directors (other than as set out below).

The remuneration of Directors for FY2011 is shown in the following table. The CEO does not receive directors' fees. Non-Executive Directors have no service contracts with the Manager. They receive a basic fee, an additional fee for serving on any of the committees and an attendance fee for participation in meetings of the Board and any of the committees and verification meetings. In determining the quantum of such fees, factors such as frequency of meetings, time spent and responsibilities of directors are taken into account. The Chairman and members of the Audit Committee receive additional fees to take into account the nature of their responsibilities and the attendance of the Audit Committee meetings.

Board Members	FY2011 Directors' Fee ¹ (RM)	FP2010 Directors' Fees ² (RM)
Mr Kee Teck Koon	121,000	72,158
Mr Lim Beng Chee ³	103,000	57,641
Mr Ng Kok Siong ³	140,000	70,899
Mr Lock Wai Han ^{3,4}	44,596	42,708
Datuk Mohd. Najib Bin Hj. Abdullah ⁵	58,000	35,450
Datuk IG Chandran (Gnanachandran S Ayadurai)	106,000	61,317
Ms Tan Siew Bee	90,000	48,383
Mr Peter Tay Buan Huat	66,000	41,450
Mr Goh Soon Yong ^{3,6}	28,404	-
Ms Sharon Lim Hwee Li ⁷	-	-

¹ Included additional fees of RM4,000 (local director) and RM6,000 (foreign director) per meeting attendance.

² Included additional fees of RM4,000 (local director) and RM6,000 (foreign director) per meeting attendance. The Directors' fees are applied on a pro-rata basis from 10 June 2010 to 31 December 2010.

³ Fees to Directors who are CMA's nominees are payable to CMA.

⁴ Resigned as a Director of the Manager on 18 August 2011.

⁵ The Director's fee (excluding attendance fee) to Datuk Mohd. Najib Bin Hj. Abdullah is payable to Malaysian Industrial Development Finance Berhad ("MIDF").

⁶ Appointed as a Director of the Manager with effect from 18 August 2011 and subsequently resigned on 1 January 2012

⁷ Ms Lim does not receive a Director's fee but receives remuneration in her capacity as CEO and this expense is borne by the Manager, not CMMT.



The Kuala Lumpur Mayor's Tourism Awards Event in June 2011

Directors' Training

During the year under review, the Directors attended various conferences/programmes to enhance their knowledge and expertise and to keep abreast with the relevant changes in law, regulations and the business environment. In addition to this, the holding company, CMA, in collaboration with external parties, also organised internal training programmes for the Directors. In this regard, the Board will continue to evaluate and determine the training needs of its Directors on an ongoing basis.

The training programmes, conference and seminars attended by the Directors during FY2011 related to, *inter alia*, REITs, corporate leadership and governance, professional development, risk management and financial and tax issues, the details of which are listed below:

Course Title / Organiser	Date
Governance Programme - Board's Responsibility for Corporate Culture by Bursa Securities, Kuala Lumpur	5 May 2011
Asia Pacific Property Conference 2011 by Citigroup Global Market Asia Limited, Singapore	5-6 May 2011
Understanding the Competition Act 2010 and Personal Data Protection Act 2010 by MIDF, Kuala Lumpur	11 Jul 2011
Global Leaders Programme by Business Leadership Centre, Singapore	1-5 Aug 2011
Mergers & Acquisitions - A Practitioner's Guide for Top Level Executives, Singapore	1 Sep 2011
Forbes Asia Conference - Mapping Global Growth, Kuala Lumpur	13 Sep 2011
Retail Global Connexion 2011 by CMA, Singapore	12 Oct 2011

All Directors attended the Mandatory Accreditation Programme ("MAP") as prescribed by Bursa Securities within four (4) months of their appointments ("MAP Requirement"), save for Mr. Goh Soon Yong who resigned as director before the MAP requirement deadline was due. Mr. Goh Soon Yong's resignation took effect on 1 January 2012.

COMMUNICATION WITH UNITHOLDERS

Dialogue Between Companies and Investors

Companies and institutional unitholders should each be ready, where practicable, to enter into a dialogue based on the mutual understanding of objectives.

The Listing Requirements require that a listed entity discloses to the public all material information necessary for informed investing. In line with the disclosure obligations of CMMT, the Board's policy is to inform unitholders, in a timely manner, of all major developments that impact CMMT. A continuous disclosure process is in place to ensure that compliance with such obligations is constantly adhered to.

CMMT believes that it should engage in regular, effective, unbiased and transparent communication with unitholders. The Manager communicates information on CMMT to unitholders and the investing community through announcements that are released to Bursa Securities via Bursa LINK. Such announcements include the quarterly and full-year results, material transactions, and other developments relating to CMMT requiring disclosure under the corporate disclosure policy of Bursa Securities. Communication channels with unitholders are also made accessible via:

- Media and analysts' briefings;
- One-on-one/group meetings or conference calls, investor luncheons, local/overseas roadshows and conferences;
- Annual reports;
- Press releases on major developments of CMMT;
- Notices of, and explanatory memoranda for, extraordinary general meetings (EGMs); and
- CMMT's website at www.capitamallsmalaysia.com (An email alerts option is available to subscribers who wish to be notified of newly posted announcements, press releases, presentations and publications).

With the majority of units in CMMT held by institutional investors, the Manager considers meetings with local and foreign fund managers an integral part of investor relations. During FY2011, the Manager met with institutional investors from Malaysia, Singapore and Hong Kong and held conference calls with investors from Japan, Canada and various European countries. These meetings and road shows with investors enabled the Manager to update potential and current unitholders on CMMT's significant developments and its medium to long term strategies. CMMT also participates in various local and overseas conferences as part of its efforts to build interest in the Malaysia REIT market. The Manager will continue to pursue opportunities to educate and keep retail investors informed of the latest developments in the Malaysia REIT industry, through relevant seminars and conferences.

Unitholders and potential stakeholders have 24-hour access to CMMT's website for information on CMMT's major developments, property descriptions, announcements and other corporate information.

CMMT's unit price information (15 minutes lag-time) is also made available on the website. In addition, the public can pose questions via a dedicated 'Ask Us' email address, and have their queries addressed accordingly. Also available on the website is an archive of CMMT's announcements, press releases, annual reports and operational details. The latest information is posted on the website as soon as it is released to the Bursa Securities and the media.

All unitholders are sent a copy of CMMT's annual report. As and when an EGM of the unitholders is to be held, each unitholder is sent a copy of the circular to unitholders which contains details of the matters to be proposed for the unitholders' consideration and approval.

Notices for the general meetings of unitholders setting out all items of business to be transacted at the general meeting are also announced on Bursa LINK and advertised in the newspapers. Members of the Board, the Manager's senior management and the external auditors of CMMT are in attendance at such general meetings, and unitholders are given the opportunity to air their views and ask questions regarding the matters to be tabled at the general meetings. A unitholder is allowed to appoint one proxy, and in certain cases, two proxies, to attend and vote at the general meetings in his/her stead.

ACCOUNTABILITY AND AUDIT

Internal Control

The board should maintain a sound system of internal control to safeguard shareholders' investment and the company's assets.

The Manager has put in place a system of internal control and a set of procedures and processes to safeguard the assets of CMMT, interest of unitholders as well as to manage risk.

Relationship with Auditors

The board should establish formal and transparent arrangements for maintaining an appropriate relationship with the company's auditors.

The Board has established a formal and transparent arrangement for maintaining an appropriate relationship with the external auditors and internal auditors of CMMT. CMMT's auditors report to members of the Board on their findings, which are included as part of CMMT's financial reports with respect to each year's audit on the statutory financial statements. From time to time, the auditors highlight matters that require attention to the Board of Directors.

OTHERS

Dealings with Related Parties

Review Procedures for Related Party Transactions

The Manager has established internal control procedures to ensure that all transactions involving the Trustee and a related party of the Manager (Related Party Transactions) are undertaken in compliance with the REITs Guidelines, the Deed and the Listing Requirements on an arm's length basis and on normal commercial terms, which are generally no more favourable than those extended to unrelated third parties. The Manager has adopted a set of approval/authority limits when dealing with related parties as follows:

- Transactions (either individually or as part of a series or if aggregated with other transactions involving the same related party during the same financial year) equal to or exceeding RM250,000 in value but below 0.25% of the total asset value of CMMT will be subject to review of the Audit Committee; and
- Transactions (either individually or as part of a series or if aggregated with other transactions involving the same related party during the same financial year) equal to or exceeding 0.25% but below 5.0% of the total asset value of CMMT will be subject to review and approval of the Audit Committee.
- Transactions (either individually or as part of a series or if aggregated with other transactions involving the same related party during the same financial year) equal to or exceeding 5.0% of the total asset value of CMMT will be subject to review and approval of the Audit Committee which may as it deems fit request advice on the transaction from independent sources or advisors.
- Transactions for the appointment or renewal of any delegate or service provider who is a related party to the Manager must be approved by the Independent Directors.

Where matters concerning CMMT relate to transactions entered into, or to be entered into, by the Trustee for and on behalf of CMMT with a related party of the Manager, the Trustee is to consent if such transactions are conducted on normal commercial terms, and are not prejudicial to CMMT and the unitholders, and are in accordance with the relevant provisions of the REITs Guidelines, the Deed and the Listing Requirements.

In dealing with any Related Party Transactions, it is the Manager's policy that all related party transactions carried out by or on behalf of CMMT should be:

- Carried out on an arm's length basis and on normal commercial terms.
- In the best interest of unitholders of CMMT.
- Adequately disclosed to the unitholders of CMMT.
- In relation to a real estate transaction:
 - o Consented by the Trustee;
 - o Consistent with the investment objective and strategy of CMMT; and

- o Transacted at a price that is equivalent to the value stated in the valuation report.

The acquisition/disposal may be transacted at a price other than as per the valuation report PROVIDED THAT (a) the acquisition price is not more than 110% of the value assessed in the valuation report; (b) the disposal price is not less than 90% of the value assessed in the valuation report; and (c) the Trustee provides written confirmation that the transaction is based on normal commercial terms, at arm's length, and not prejudicial to unitholders' interest.

The Manager and Trustee must determine whether the prior approval of unitholders by way of an ordinary resolution is required. Where the transaction value with related parties in relation to a real estate transaction (a) is equal to or greater than 5% of the total asset value of CMMT (after acquisition), the prior approval of the unitholders by way of an ordinary resolution is required; or (b) does not exceed 5% of the total asset value of CMMT (after acquisition) the Trustee must provide a written confirmation that the transaction is based on normal commercial terms, at arm's length, and not prejudicial to the unitholders' interests.

Role of the Audit Committee for Related Party Transactions

All Related Party Transactions are subject to regular periodic reviews by the Audit Committee. The Manager's internal control procedures are intended to ensure that Related Party Transactions are conducted at arm's length and on normal commercial terms and are not prejudicial to unitholders' interests. The Manager maintains a register to record all Related Party Transactions which are entered into by CMMT (and the basis, including the quotations obtained to support such basis, on which they are entered into). The Manager then incorporates into its internal audit plan a review of all Related Party Transactions entered into by CMMT. The Audit Committee reviews the internal audit reports to ascertain that the guidelines and procedures established to monitor Related Party Transactions have been complied with.

The Audit Committee periodically reviews Related Party Transactions to ensure compliance with the internal control procedures and the relevant provisions of the REITs Guidelines, the Deed and the Listing Requirements. The review includes the examination of the nature of the transaction and its supporting documents or such other data deemed necessary by the Audit Committee. If a member of the Audit Committee has an interest in a transaction, he/she is to abstain from participating in the review and approval process in relation to that transaction.

Details of all Related Party Transactions entered into by CMMT during the financial year are disclosed on page 126 of this Report.

Dealings with Conflicts of Interest

The following procedures have been established to deal with potential conflicts of interest which the Manager (including its Directors, executive officers and employees) may encounter in managing CMMT:

- The Manager will be a dedicated manager to CMMT and will not manage any other REITs or be involved in any other real property business.
- All executive officers of the Manager will be employed by the Manager.
- All resolutions at meetings of the Board of Directors of the Manager in relation to matters concerning CMMT must be decided by a majority vote of the Directors, including at least one Independent Director who does not have any interest, direct or indirect, in the matter which is subject to the resolutions concerned.
- In respect of matters in which CMA and/or its subsidiaries have an interest, direct or indirect, any nominees appointed by CMA and/or its subsidiaries to the Board will abstain from voting.
- If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, the Manager shall be obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CMMT, has a prima facie case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager will have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of unitholders and/or which is in the interests of unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate.
- The Board shall comprise at least one-third of Independent Directors.

The Directors of the Manager are under a fiduciary duty to act in its best interests in relation to decisions affecting CMMT when they are voting as members of the Board. In addition, the Directors and executive officers of the Manager are expected to act with integrity and honesty at all times.

In addition, the Manager and the Trustee have been granted a right of first refusal (ROFR) by CMA where:

- For so long as the Manager shall remain the manager of CMMT and a subsidiary of CMA, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail

property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CMMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:

- o Joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
- o A proposal made exclusively available to CMA and/or its subsidiaries; or
- o A fund or proposed fund managed by CMA and/or its subsidiaries.
- In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund grant to CMMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

RISK ASSESSMENT AND MANAGEMENT OF BUSINESS RISK

Effective risk management is a fundamental part of CMMT's business strategy. Recognising and managing risk is central to the business and to protecting unitholders' interests and value. CMMT operates within overall guidelines and specific parameters set by the Board. Each transaction is comprehensively analysed to understand the risks involved. Responsibility for managing risk lies initially with the operation unit concerned, working within the overall strategy outlined by the Board.

The Manager's focus on risk management recognises that risk management is, prima facie, an issue for management. The risk management framework supports this focus but provides a structured context for those personnel to undertake a half-yearly review of the past performance of, and to profile the current and future risks facing their areas of responsibility.

This risk information is consolidated and used as key input into the corporate strategy sessions attended by management and the Property Manager. Such sessions are held regularly to review CMMT's strategic direction in detail, and include specific focus on the identification of key business and financial risks which could prevent CMMT from achieving

its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the Board on a regular basis. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring and assessing the operation of internal controls the effectiveness and efficiency of the control environment.

The Board generally meets quarterly, or more often if necessary to review the financial performance of the Manager and CMMT against a previously approved budget. The Board also reviews the risks to the assets of CMMT and acts upon any comments by the auditors of CMMT. In assessing business risk, the Board considers the economic environment and the property industry risk. The Board and its Executive Committee review and approve all investment decisions. Management meets regularly to review the operations of the Manager and CMMT and discuss continuous disclosure issues.

The Manager has determined that significant risk for CMMT will most likely arise when making property investment decisions. Accordingly, the Manager has established procedures to be followed when making such decisions. In accordance with this policy, the Board requires comprehensive due diligence to be carried out in relation to the proposed investment and a suitable determination is made as to whether the anticipated return on investment is appropriate, having regard to the level of risk.

A comprehensive risk register, which has been adapted based on Malaysia's business environment, will be reviewed by the Audit Committee. The approved risk register shall be adopted by CMMT in FY2012 and shall be reviewed annually.

DEALINGS IN SECURITIES

The Manager adopts best practices and issues guidelines to its Directors and employees which prohibit dealings in CMMT's units while in possession of material unpublished price-sensitive information. Under these guidelines, the Directors and employees of the Manager are prohibited from dealing in CMMT's units during the period commencing on and from 30 calendar days prior to the targeted date of announcement of CMMT's quarterly results to Bursa Securities, up to one full market day after the announcement of CMMT's quarterly results. In addition, if any of such affected persons deal in CMMT's units during the closed periods under the Listing Requirements, they are required to comply with the conditions as set out in Paragraphs 14.08 and 14.09 of the Listing Requirements respectively. They are also made aware of the applicability of the insider trading laws at all times, which may impose stricter requirements than the Manager's guidelines.

WHISTLE-BLOWING

The Audit Committee has put in place procedures to provide employees of the Manager with well defined and accessible channels to report on suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager, pursuant to which the independent investigation of any reports by employees and appropriate follow up action. The aim of the whistle-blowing policy is to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly, and to the extent possible, shall be protected from reprisal. On an ongoing basis, the whistle-blowing policy is covered during staff training to promote fraud awareness.



Ground Floor at the Extension Wing of Gurney Plaza

STATEMENT ON INTERNAL CONTROL

INTRODUCTION

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any given publicly listed company to include in its annual report a 'statement about the state of internal control of the listed issuer as a group.' Although CMMT is a REIT, and it is not required to comply with Paragraph 15.26(b) of the Listing Requirements, the Board has voluntarily adopted the relevant corporate governance disclosure under this section of the Listing Requirements.

BOARD'S RESPONSIBILITY

The board should maintain a sound system of internal control to safeguard shareholders' investment and the company's assets.

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of internal controls and risk management as set up by the Manager for CMMT. The Board is responsible for the adequacy and integrity of the system of internal controls and risk management. It is an essential part of the Board's responsibilities to identify principal risks, ensure that appropriate systems and policies are in place to manage these risks and to review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that a sound system of internal control can reduce but cannot eliminate the possibility of human error, control processes being deliberately circumvented by employees and others, management overriding controls and the occurrence of unforeseen circumstances. A sound system of internal control therefore provides a reasonable but not absolute assurance that CMMT will not be hindered in a) achieving its business objectives or b) in the orderly and legitimate conduct of its business by circumstances which may reasonably be foreseen. A system of internal control cannot however provide protection with certainty against CMMT failing to meet its business objectives or all material errors, losses, fraud or breaches of laws and regulations.

In order to mitigate any potential loss of value of unitholders' investment in CMMT, the Board has established strategies and procedures in identifying principal risks when making property investment decisions for CMMT. The Board also considers the changes during the period under review, in particular any significant business, operational, financial, compliance and other risks affecting CMMT's objectives, to ensure that there are appropriate policies and processes to manage any such potential risk when making property investment decisions and to consider CMMT's ability to respond to such changes.

In line with the expected updates to the Statement of Internal Control - Guidelines for Directors of Public Listed Companies (not yet in force) which reflects the various amendments to the Code and the Listing Requirements, the Board regularly reviews and intends to define a process to be adopted for its review of the effectiveness of risk management and internal control which shall encompass both the scope and frequency

of the reports it receives and reviews during the year. It is intended that any key risk or significant control failings or weaknesses shall be identified and discussed in these reports including the impact they have had or may have on CMMT and the actions to rectify them.

Thus far, Management has openly communicated with the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

KEY INTERNAL CONTROL PROCESSES

Identifying principal risks and ensuring the implementation of appropriate systems to manage these risks.

The Manager has put in place the following systems of internal control and a set of procedures and processes to safeguard the assets of CMMT, interest of unitholders as well as to manage risk:

- An operational manual is maintained to provide a structure and framework in managing and assessing risk which includes, amongst others, policies and procedures for the acquisition of property, financial and operational reporting, and continuing listing and compliance obligations. The operational manual is subject to periodic review;
- The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel in order to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board;
- Internal control procedures are established to ensure that related party transactions are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Deed and are carried out on an arm's length basis and on normal commercial terms, which are in the best interest of CMMT's unitholders. The Manager incorporates into its annual internal audit plan a review of all related party transactions. These established procedures are further explained in page 43;
- Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on page 44. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CMMT are to be executed

STATEMENT ON INTERNAL CONTROL

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on terms that are the best available to CMMT and which are no less favourable to CMMT than on arm's length transactions between independent parties; and

- The Audit Committee has put in place a whistle blowing policy to provide employees of the Manager and CMMT with procedures and accessible channels to report suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager and for independent investigation of any reports by employees and appropriate follow up action. This whistle blowing policy has been established to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals.
- The Manager procures internal audit services from CMA. The internal audit function reports directly to the Audit Committee its findings and is independent from the Manager's management team. The principal role of the internal audit function is to carry out reviews using a risk-based approach. The reviews aim to assess the adequacy and effectiveness of the system of internal controls of CMMT in relation to its business processes. Significant control lapses and/or deficiencies noted from the reviews will be documented and communicated to Management for review and corrective actions. The internal audit function reports to the Audit Committee all significant non-compliance, internal control weaknesses and actions taken by management to resolve the audit issues identified.
- The scope of the internal audit function for FY2011 entailed the following:
 - o Carried out scheduled audit assignments in accordance with the 2011 annual internal audit plan approved by the Audit Committee;
 - o Reported to the Audit Committee on key findings and agreed management's actions;
 - o Updated the Audit Committee on the implementation status of agreed management's actions on a quarterly basis;
 - o Reviewed related party transactions and presented the findings of the review to the Audit Committee on a half-yearly basis;
 - o Investigated various matters when required and as directed by the Audit Committee; and
 - o Prepared the 2012 annual internal audit plan for submission to the Audit Committee for approval.
- The Audit Committee reviews, monitors and evaluates the effectiveness and adequacy of CMMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and management. The review includes reviewing written reports from the internal and external auditors,

to ensure that where deficiencies in internal controls have been identified, appropriate and prompt remedial action is taken by management. The Audit Committee also convenes meetings with external auditors, internal auditors, or both without the presence of management. In addition, the Audit Committee reviews the adequacy of the scope, functions and competency of the internal audit function. The Audit Committee also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines.

- The Board reviews and approves, *inter alia*, the following reports from management, upon recommendation of the Audit Committee and Executive Committee, on a periodic basis:
 - o CMMT's quarterly financial results and major variance explanation against the approved budget for the relevant period;
 - o Status update of major asset enhancement works carried out on the properties as planned;
 - o Status update of investor relations matters;
 - o Annual budget of each property and of CMMT;
 - o Status update of treasury matters including debt profile, maturity and interest rate management; and
 - o Status update of other operational matters.

Based on these reviews, the Board opined, with the concurrence of the Audit Committee, that there are adequate internal controls in place within CMMT addressing financial, operational and compliance risks.



Sungei Wang Plaza's Atrium

RISK AND CAPITAL MANAGEMENT

RISK MANAGEMENT

Effective enterprise-wide risk management is a fundamental part of the Manager's business strategy for CMMT and its subsidiary (CMMT Group). Potential risks are identified and controls to mitigate these risks are established to protect unitholders' interests and the value of the CMMT Group. The key risks and control measures are described below.

Operational Risk

To mitigate and manage operational risks, the Manager has integrated risk management into the day-to-day activities across all functions. Risk management includes the establishment of planning and control systems and guidelines, information technology control systems, and operational reporting and monitoring procedures involving the Executive Committee and The Board. The operational risk management system is regularly monitored and examined to ensure effectiveness.

All risk management frameworks are designed to ensure that the appropriate processes and procedures are in place to prevent, manage and mitigate any operational risk.

Investment Risk

The main sources of growth for CMMT are the acquisition of properties and asset enhancement initiatives. The risks involved in such investment activities are managed through a rigorous set of investment criteria which includes yield accretion, market catchment, rental sustainability, growth potential and fit within CMMT's portfolio. The assumptions underlying financial projections are carefully reviewed and a sensitivity analysis is conducted on key variables.

The potential risks associated with proposed projects and the issues that may prevent their smooth implementation or projected outcomes are identified at the evaluation stage. This enables the Manager to determine actions that need to be taken to manage or mitigate risks as early as possible.

Interest Rate Risk

CMMT Group's exposure to changes in interest rates relates primarily to interest-bearing borrowings. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates. To reduce CMMT Group's exposure to increases in interest rates, the Manager has locked in a proportion of CMMT's borrowings at fixed interest rates. As at 31 December 2011, 69.2% of CMMT's borrowings are based on fixed rates. There is no immediate refinancing risk as the tranches of CMMT's term loan have tenures ranging from four to seven years.

Currency Risk

As the assets of CMMT Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. CMMT borrows in Malaysian Ringgit from domestic banks.

Credit Risk

Credit risk is the potential earnings volatility caused by tenants' inability and/or unwillingness to fulfill their contractual lease obligations, as and when they fall due. There is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, CMMT also has vigilant monitoring and debt collection procedures. Debt turnover of CMMT Group as at 31 December 2011 was approximately nine days (FP2010: 10 days).

Liquidity Risk

The Manager actively monitors CMMT Group's cash flow position to ensure that there are sufficient liquid reserves in terms of cash and credit facilities to finance CMMT's operations. The Manager diligently monitors and observes bank covenants for borrowings.

Financing Risk

The health and sentiments of the debt markets in Malaysia directly affects CMMT as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives or to refinance the existing borrowings.

CMMT will continue to manage its capital structure proactively by spreading out its debt due for refinancing to a manageable size and maintaining an optimal gearing level.

Legal and Compliance Risk

In line with the compliance requirements as stipulated in Chapter 3 of the REITs Guidelines and the reporting requirements by the SC under Section 298 of the Capital Markets and Services Act 2007, the Manager has in place a compliance management system to ensure that all relevant laws and regulations are complied and adhered to. A comprehensive risk register, which has been adapted based on Malaysia's business environment, will be reviewed by the Audit Committee. The approved risk register shall be adopted by CMMT in FY2012 and shall be reviewed annually.

Human Resource Risk

A key challenge in the retail property industry is talent attraction, retention and development as there is a scarcity of individuals with the required skill-sets and competencies. In particular, CMMT's success is significantly dependent on the efforts, abilities and continued performance of the Manager's senior management team and certain key senior personnel. The resignation or loss of any of these individuals, or of one or more of the Manager's other key employees, could have a material adverse effect on CMMT's business, results of operations and financial condition. However, the Manager has formulated robust succession planning and talent management strategies to ensure that CMMT's current and future human capital needs are met.

RISK AND CAPITAL MANAGEMENT

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CAPITAL MANAGEMENT

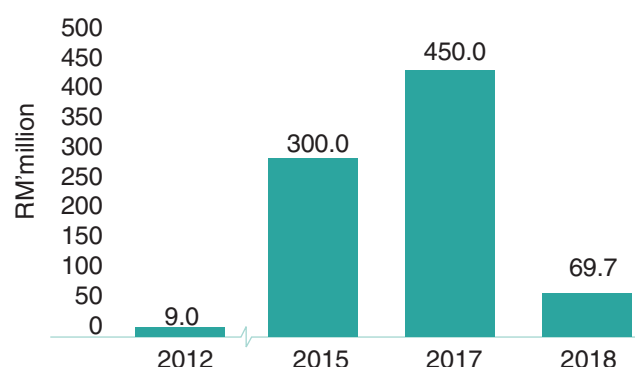
The Manager continues to rigorously monitor the cash position and borrowings level of CMMT Group with the view of strengthening its capital structure and competitive position.

As at 31 December 2011, CMMT Group had available banking credit facilities of RM950.7 million and a standby interest rate swap line of up to RM90.0 million. CMMT Group had drawn down RM819.7 million for the acquisition of properties, RM9.0 million for the funding of capital expenditure and RM4.2 million as bank guarantee for utilities, leaving an unutilised credit limit of RM117.8 million.

The total borrowings of CMMT Group as at 31 December 2011, excluding a bank guarantee, was RM828.7 million, which equates to a healthy gearing level at 28.7%. The average cost of debt for CMMT Group for FY2011 was approximately 4.7% per annum.

Debt Maturity Profile

The debt maturity profile for CMMT Group as at 31 December 2011 was as follows:



The Manager will continue to adopt a rigorous and focused approach to capital management. The Manager's capital management strategy involves adopting and maintaining an appropriate aggregate leverage level to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure or acquisitions.

Cash Flows And Liquidity

The Manager takes a proactive role in monitoring its cash and liquid reserves to ensure adequate funding is available for distribution to the unitholders as well as to meet any short-term liabilities.

Cash and Cash Equivalent

As at 31 December 2011, the cash and cash equivalents of CMMT Group stood at RM115.4 million, a decrease of RM12.0 million compared with FP2010. The RM12.0 million cash reduction was mainly the result of an RM557.9 million cash outflow for investing activities, which was partially offset by cash inflows of RM370.5 million and RM175.3 million from financing and operating activities respectively.

Operating Activities

CMMT Group's operating net cash flow for FY2011 was RM175.3 million, an increase of RM43.7 million over the preceding year. This was primarily contributed by new acquisitions during the year, namely Gurney Plaza Extension in Penang and East Coast Mall in Kuantan, and modest growth in revenue across the other malls.

INVESTING ACTIVITIES

During the year, CMMT Group acquired Gurney Plaza Extension and East Coast Mall for a total acquisition cost of RM533.2 million, of which RM532.7 million was paid in FY2011. The acquisitions further strengthened CMMT's scale in terms of asset valuation, market capitalisation and free float as well as provided geographic and income diversification. In addition, CMMT Group invested RM39.8 million in AEI and regular capital expenditure throughout the year, which resulted in a cash outflow of RM27.8 million, with the balance to be paid in the next financial year. The impact of this cash outflow was partly mitigated by interest income of RM3.1 million as a result of active cash management.

FINANCING ACTIVITIES

To part finance the acquisition of Gurney Plaza Extension a term loan facility of RM69.7 million was obtained from a local bank. At the same time a standby revolving credit facility of RM20.0 million was obtained for working capital purposes. In 4Q 2011, additional revolving credit of RM9.0 million was drawn down for the funding of capital expenditure. During the year, CMMT Group paid RM37.5 million in borrowing costs and distributed RM144.1 million to its unitholders. CMMT also completed two private placements to finance the acquisitions of Gurney Plaza Extension and East Coast Mall. It issued 144,859,000 new units in March and 261,904,000 new units in November, which raised total gross proceeds of RM483.6 million, of which RM7.4 million was paid out as placement related expenses.

ACCOUNTING POLICIES

The financial statements have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Financial Reporting Standards (FRS) and accounting principles generally accepted in Malaysia. These financial statements also comply with the applicable disclosure provisions of the Listing Requirements.

HUMAN CAPITAL



Staff Team Building Event

Our people are our strength. With their passion, professionalism, talent and commitment, our people are the key driver of CMMT's success, growth and sustainability. We adopt an integrated human capital strategy to attract, groom and retain our team.

TALENT MANAGEMENT STRATEGY

The Manager actively seeks outstanding talent both internally and externally to strengthen the management's bench strength and fuel future expansion in Malaysia. Promising individuals are recruited at different stages in their careers, from fresh graduates to young, mid-career professionals and industry veterans. Robust succession planning and talent management strategies are in place to ensure that CMMT's current and future human capital needs are met.

The Manager is dedicated to continuous staff development and life-long learning. To increase employees' exposure, cross-functional development is encouraged and employees are given the opportunity to rotate to different functions at different malls and cities. The Manager offers comprehensive training and development programmes for staff at all levels to enable employees to gain the relevant knowledge and competencies to perform at their best. This includes sponsorship of diplomas, degrees, masters and executive development programmes, as well as overseas study visits, which is an important development tool for staff to gain exposure to new retail trends and mall management concepts in different parts of the world.

At the core of each development programme is the local orientation programme for new hires. Many new hires attend a five to 10 days immersion programme organised by CMA in Singapore. Such programmes provide new hires with insights of the Manager's business operations, strategies,

core values and management philosophy. Together with CapitaLand Institute of Management and Business (CLIMB), the Manager holds leadership and management programmes for high potential individuals to sharpen their management, leadership and business skills.

In addition, local training providers are engaged to provide employees with a wide range of professional and personal development courses in areas such as communication, presentation, finance, management and leadership development. E-campus was launched in 2011 to provide employees with a wider opportunity to participate in on-line training at their convenience.

COMPETITIVE COMPENSATION AND BENEFITS

The Manager's compensation process and policy reinforces its corporate philosophy to attract and retain the best talent as well as to motivate high achievers. Employees are motivated and rewarded with comprehensive and competitive compensation and benefits packages which reflect their performance and contribution to CMMT. The remuneration scheme includes both short-term cash bonuses and long-term equity-based reward plans such as restricted shares for key managers. Regular benchmarking across markets and innovation in compensation strategies ensure that the Manager remains competitive and continues to attract and retain talent.

PEOPLE ENGAGEMENT PROGRAMME

The Manager believes that it is important to cultivate an open work culture that facilitates communication and teamwork whilst promoting an open exchange of ideas. In line with this staff engagement strategy, senior management conducts regular staff communication sessions to keep staff abreast of key financial results and strategic business thrusts with a view to encourage staff to pose questions and articulate their views and ideas. In addition, teambuilding activities and brainstorming workshops are regularly organised to foster open communication and team spirit in a fun and informal way.

DIVERSITY AND STAFF WELFARE

The Manager is committed to creating a culture that embraces diversity and fosters inclusion and to the total welfare of its employees. Total welfare initiatives in 2011 included outdoor recreational and team building activities such as badminton tournaments, bowling tournaments, futsal competitions and offsite staff gatherings. Such activities promote team bonding and work-life balance. Similarly, a series of cultural festive celebrations were organised, including a *buka puasa* dinner, several Chinese New Year *yee sang* (prosperity) tossing ceremonies and a Deepavali celebration dinner to promote mutual respect and a harmonious working environment among the different ethnic groups within the organisation.



Seminar for Tenants and Staff



Staff Communication Session



Staff Team Building Event



Staff Communication Session

INVESTOR AND MEDIA RELATIONS

We believe that investors reward organisations that are transparent. To that effect, we engage the investment community and media on a regular basis and make available to stakeholders timely, material and accurate information pertaining to CMMT's performance, prospects and business activities.

INVESTOR AND MEDIA ENGAGEMENT

An effective investor and media relations strategy is vital in order to bridge the information gap between management and investors, analysts, brokers and the media, and thus facilitate the fair valuation of CMMT's units.

CMMT's investment proposition and performance is communicated through various mechanisms, such as news releases, its website, media and analyst briefings, one-on-one meetings, conferences, road shows, site visits and email alerts. Briefing sessions are conducted for analysts, investors and the media on a half yearly basis for quarterly results and on an ad hoc basis for material transactions and developments relating to CMMT. Announcements, press releases, presentations, circulars and annual reports are uploaded to both CMMT's and Bursa Securities' websites. Real-time information relating to CMMT's unit price performance is also available on CMMT's website. The general public can also post questions to CMMT via an 'Ask Us' email and queries are answered accordingly.

TRADING PERFORMANCE

	FY2011	FP2010
Opening Market Price (RM per unit)	1.120	0.985
Highest Traded Price (RM per unit)	1.510	1.140
Lowest Traded Price (RM per unit)	1.060	0.970
Closing Market Price (RM per unit)	1.440	1.120
Average Closing Price (RM per unit)	1.228	1.071
Total Trading Volume (million units)	191.8	196.1
Average Daily Trading Volume (million units)	0.783	1.720
Capital Appreciation ¹	28.6%	14.3%
Annual Total Return	35.6% ²	20.8% ³
Average Total Return for One Year or Since Inception if Shorter	35.6% ²	20.8% ³
Units in Circulation ('000)	1,762,652	1,350,000
Market Capitalisation ⁴ (RM'000)	2,538,219	1,512,000

¹ For FY2011, based on the opening price of RM1.12 on 3 January 2011 and the closing price of RM1.44 on 30 December 2011. For FP2010, based on the initial public offering unit price of RM0.98 and the closing price of RM1.12 on 30 December 2010.

² Summation of the distribution yield (annualised) and capital appreciation for FY2011.

³ Summation of the total distribution yield (annualised) for FP2010 and capital appreciation since CMMT's listing date to 30 December 2010.

⁴ For FY2011, as at 30 December 2011. For FP2010, as at 30 December 2010.

Mall tours are conducted occasionally for analysts and investors who are keen to visit CMMT's properties to further enhance their understanding of the respective mall's market positioning, tenant mix and operations, as well as of any past or planned AELs.

UNIT PRICE PERFORMANCE

CMMT's unit price performed well in 2011, opening at RM1.12 on 3 January 2011 and closing at RM1.44 on 30 December 2011, which represents a 28.6% gain. At the end of 2011, CMMT's unit price was trading at a 30.9% premium above its NAV (after income distribution) of RM1.10.

During the year, CMMT's trading volume averaged 0.78 million units per day. During FY2011, CMMT's unit price performance was in line with its performance benchmarks, namely the FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) and FTSE Bursa Malaysia EMAS Index.

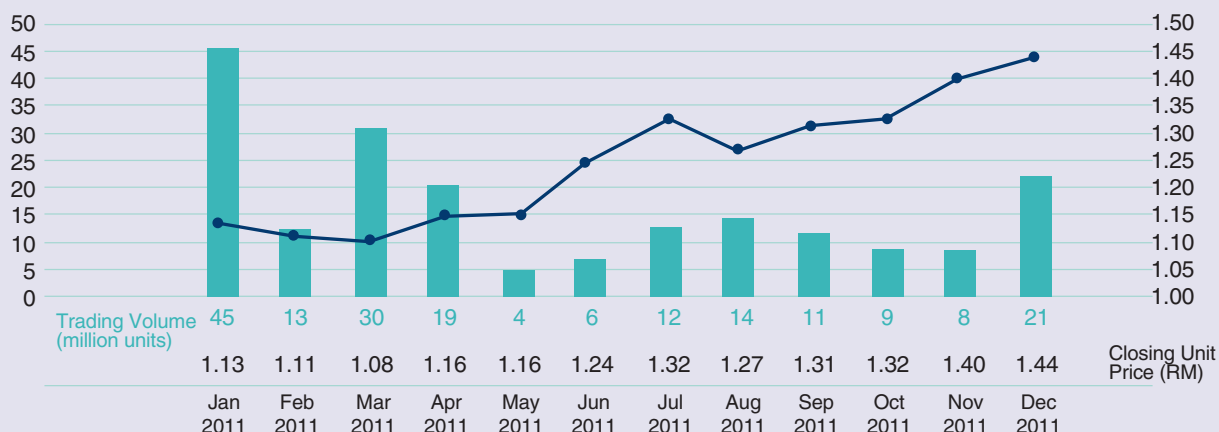
2011 INVESTOR AND MEDIA RELATIONS CALENDAR

Date	Event
24 Jan	Analyst briefing on 4Q FP2010 results
28 Feb to 1 Mar	Engagement with institutional investors, Singapore
7 to 8 Mar	Engagement with institutional investors, Hong Kong
5 May	Citibank Asia Pacific Property Conference, Singapore
15 Jun	Analyst briefing on East Coast Mall acquisition
28 Jun	Analyst visit to East Coast Mall
12 Jul	Media briefing on 2Q FY2011 results
13 Jul	Analyst briefing on 2Q FY2011 results
23 Jul	Asian Investment Conference & Exhibition 2011, Singapore
25 to 26 Jul	Engagement with institutional investors, Hong Kong
27 Jul	Engagement with institutional investors, Kuala Lumpur
28 to 29 Jul	Engagement with institutional investors, Singapore
16 Aug	CIMB ASEAN REIT Day, Singapore
13 Oct	Analyst briefing on 3Q FY2011 results
10 to 13 Oct	Media familiarisation tour, Asia Pacific Retailers Conference & Exhibition (APRCE) 2011, Singapore
14 Oct	Investor visit to East Coast Mall
13 Dec	Media appreciation night, Kuala Lumpur

INVESTOR AND MEDIA RELATIONS

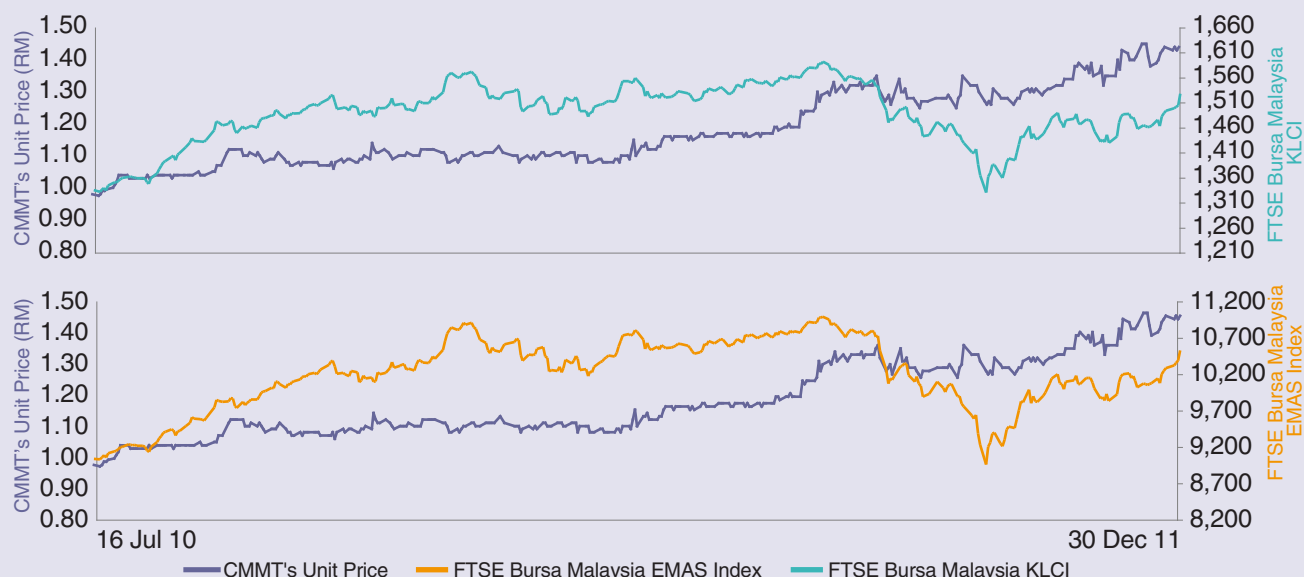
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CMMT's Monthly Trading Performance in 2011

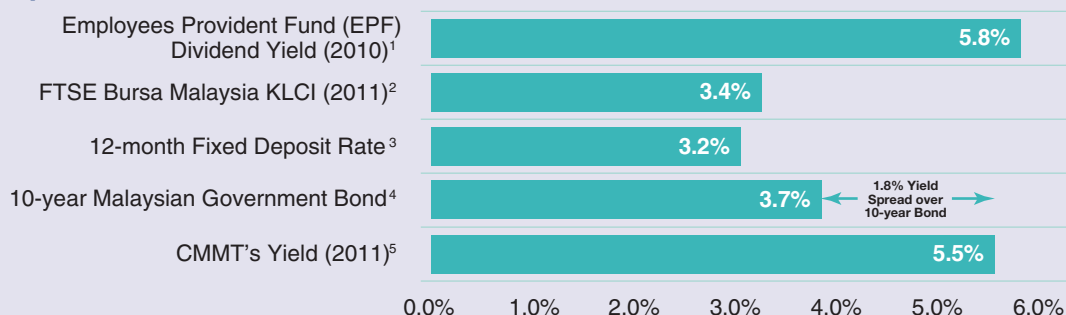


CMMT's Unit Price Versus Performance Benchmarks

16 July 2010 (Listing Date) to 30 December 2011



Comparative Yields



¹ Employee Provident Fund (EPF) Dividend Yield for 2010, as announced on 20 February 2011 (Source: EPF website)

² Dividend Yield of FTSE Bursa Malaysia KLCI as at 31 December 2011 (Source: Bloomberg)

³ Average 12-month Fixed Deposit Rate (RM) as at 31 December 2011 (Source: Bloomberg)

⁴ 10-year Malaysian Government Bond as at 31 December 2011 (Source: Bloomberg)

⁵ Based on the DPU of 7.87 sen for FY2011 and the closing price of RM1.44 on 30 December 2011

Unitholders' Enquiries

If you have any enquiries or would like to find out more about CMMT, please contact:

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Website: www.capitamallsmalaysia.com

CORPORATE SOCIAL RESPONSIBILITY



My Home Sweet Home Project at Ozanam Home, Petaling Jaya, in July 2011

‘Doing well by doing good’ is at the foundation of corporate social responsibility (CSR) and we are firm believers in this mantra. We are dedicated to being a responsible corporate citizen by operating in an economically, socially and environmentally sustainable manner whilst balancing stakeholders’ interests.

As CSR encompasses the triple bottom line ‘people, planet and profit,’ many of its facets are covered throughout this annual report. In this section, the Manager’s efforts in philanthropy and volunteerism, as well as environment, health and safety, are described.

PHILANTHROPY AND VOLUNTEERISM

In Malaysia, shopping malls are not simply places to shop; with their air conditioned comfort and food and beverage and entertainment/lifestyle options, they often serve as *de facto* community centres or town squares - destinations for families and friends to spend significant amounts of their leisure time. In any business, it is important to engage and give back to the community; given the central role of malls in Malaysians’ lives, this is even more important in the context of CMMT’s business. As such, the Manager partners with various organisations to hold civic and community events within CMMT’s malls. The Manager also promotes volunteerism by organising humanitarian events that staff can volunteer in and providing three days of volunteer leave per year to each employee.

As part of its philanthropic efforts, CMMT focuses on the ‘next generation’. In 2011, CMMT, in conjunction with CMA and CapitaLand Hope Foundation, the philanthropic arm of CapitaLand, organised three major philanthropic initiatives – ‘My Home Sweet Home’, ‘Rainbow Project’ and

‘My Schoolbag’. As a result of these initiatives, more than RM188,000 was donated to children-orientated charities, which benefited close to 650 underprivileged youngsters in Malaysia.

For My Home Sweet Home, CMMT approximately donated RM62,000 and approximately 100 staff volunteered to help with the refurbishment of Yayasan Sunbeams Home in Cheras, Ozanam Home in Petaling Jaya and The Children’s Protection Society (CPS) in Penang.

The Rainbow Project was a fundraising initiative in support of two children’s homes under the Budimas Charitable Foundation - Persatuan Kebajikan Darul Najjah in Kuala Lumpur and Persatuan Kebajikan Anak-Anak Yatim Islam Perempuan in Penang. The fundraising drive took place at Gurney Plaza, Sungei Wang Plaza and The Mines, and CapitaLand Hope Foundation matched the funds donated by the public ringgit-for-ringgit.

In December 2011, My Schoolbag was launched to donate new school bags with stationery, school shoes and daily necessities to underprivileged children. More than RM100,000 was donated by CapitaLand Hope Foundation to underprivileged children from many shelter homes in Kuala Lumpur, Selangor and Penang. My Schoolbag took place at the malls and over 100 staff volunteered for the event.

In addition to these pan-CMMT philanthropic events, mall-specific humanitarian initiatives were also organised. In 2011 underprivileged children from various homes were treated to character shows, meals and goody bags. In January 2011, the team at The Mines invited 170 underprivileged children from four shelter homes, namely Yayasan Sunbeams Home, Rumah Keluarga Kami, Shelter Home for Children and Pertubuhan Kebajikan Yesuvin Mahligai, to celebrate Chinese New Year together with the Looney Tunes characters. In May 2011, 40 underprivileged children from Yayasan Sunbeams Home were invited for a special movie screening of 'Kung Fu Panda 2' and met the movie's mascot at TGV Cinemas, The Mines. Also in May 2011, volunteers from Sungei Wang Plaza Management Corporation, together with the characters Ultraman Mebius and Ultraman Cosmos, visited 23 underprivileged children from Agathians Shelter, Petaling Jaya.

On 23 July 2011, over 30 volunteers from Gurney Plaza assisted with refurbishment works at the extension building

of the CPS, a non-profitable organisation catering to the needs of 31 underprivileged children. In conjunction with the Mid Autumn Festival, 35 underprivileged children from Rumah Charis were invited to attend a reunion dinner at Moon Palace Restaurant, The Mines, and each was presented with a goody bag containing mooncakes, lanterns and stationery.

Sungei Wang Plaza's philanthropic activities are spearheaded by the Sungei Wang Plaza Management Corporation team. During Chinese New Year, volunteers from Sungei Wang Plaza Management Corporation visited two rest homes for the elderly, Rumah Sejahtera and Rumah Orang Tua Bentong. Residents were provided with ang pows, goody bags and groceries as well as a live Wushu performance by the Wushu Federation of Kuala Lumpur. In March 2011, together with Tzu Chi (the Buddhist Relief Foundation), Sungei Wang Plaza organised the 'Send Love to Japan' fundraising campaign in aid of victims of Japan's devastating earthquake and tsunami.



My Schoolbag Project at Gurney Plaza



My Schoolbag Project at Sungei Wang Plaza

ENVIRONMENT, HEALTH AND SAFETY

The Manager recognises that the environment and the economy are interdependent and is committed to adopting environmentally sustainable practices and policies. Emphasis is placed on reducing the consumption of electricity and water through utilities conservation, equipment and system efficiencies, pollution minimisation and green technology initiatives. The health and safety of shoppers, tenants, staff and vendors are also a priority, and safety is continually assessed using a hazard identification risk assessment approach.

In 2011, all CMMT's malls successfully renewed their ISO14001 and OHSAS18001 certifications and energy audits were conducted in The Mines and Gurney Plaza. One energy conservation initiative undertaken in 2011 was the upgrading of standard T8-tube fluorescent lights to T5-tube lights at the car park in The Mines. This initiative resulted in a reduction in the energy consumption at the mall. Similar works are progressively planned for all other malls.

Underground water and rainwater harvesting systems were installed at Gurney Plaza and The Mines to provide the cooling towers and the toilets/urinals with an alternative water source. This initiative resulted in more efficient use of water and a reduction in potable water consumption.

Water efficient fittings (Water Efficiency Labeling and Standards rated) continued to be installed in the toilets of all malls across the portfolio during 2011. Utility sub-meters were also installed to track water consumption and to allow for the fast identification of any leaks.

Continuing on from 2010, activated carbon filters, ultra violet bacteria eradication light and silencers were progressively

installed in exhaust systems across the malls as and when new tenants renovated their shops in order to minimise air and noise pollution.

In 2011, a refuse recycling programme was implemented at Gurney Plaza. Refuse such as paper, plastic, glass and metal was collected, sorted and weighed, in order to monitor the amount of refuse being recycled, and then sent to recycling centres. Tenants were encouraged to participate and were educated through series of briefing and circulars. This programme will be rolled out progressively to all other malls.

On 26 March 2011, Gurney Plaza, The Mines and Sungei Wang Plaza participated in the global 'Earth Hour' campaign organised by World Wildlife Fund (WWF) to combat global warming. Each mall's façade, signage and other non essential lights were switched off for up to 10 hours to promote awareness on energy conservation among shoppers, tenants and staff.

On 23 December 2011, Gurney Plaza was awarded Green Mark Gold certification for energy and water efficiency by the Building and Construction Authority (BCA) under the Ministry of National Development of Singapore. BCA Green Mark is a green building rating system to evaluate a building for its environmental impact and performance. Endorsed by the National Environment Agency of Singapore, it provides a comprehensive framework for assessing the overall environmental performance of new and existing buildings to promote sustainable design, construction and operations practices in buildings.



My Schoolbag Project at The Mines



Upgraded Roof at The Mines

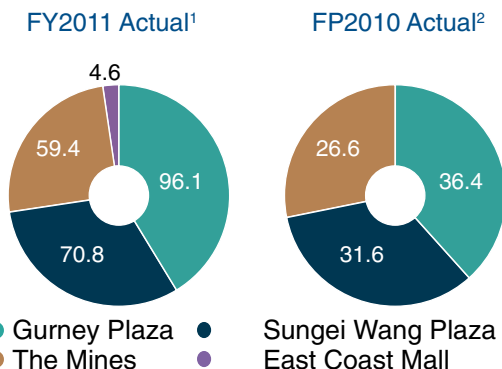
GROWING PORTFOLIO

- TOTAL NLA OF OVER 2.4 MILLION SQ FT
32% INCREASE
- TOTAL VALUATION OF OVER 2.8 MILLION
30% INCREASE
- TOTAL OF 1,306 LEASES
30% INCREASE



FINANCIAL REVIEW

GROSS REVENUE



FY2011 Actual¹ vs Forecast³

Gross Revenue by Property	FY2011		Variance	
	Actual ¹ RM million	Forecast ³ RM million	RM million	%
Gurney Plaza	96.1	95.0	1.1	1.2
Sungei Wang Plaza	70.8	70.3	0.5	0.7
The Mines	59.4	58.3	1.1	1.9
East Coast Mall	4.6	-	4.6	N.M
Total	230.9	223.6	7.3	3.3

Gross revenue for FY2011 was RM230.9 million, an increase of RM136.3 million or 144.0% compared to FP2010. Of the RM136.3 million increase, RM116.5 million was mainly a result of FP2010 being 6.5 months less than FY2011 as CMMT's business operations commenced on 14 July 2010. In addition, RM15.2 million and RM4.6 million of the increase in gross revenue in FY2011 were the effects of the acquisitions of Gurney Plaza Extension and East Coast Mall respectively.

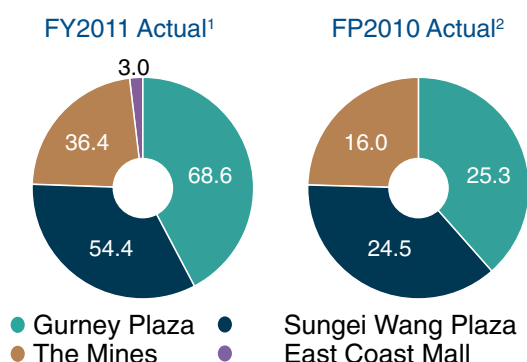
Gross revenue for FY2011 was RM230.9 million, an increase of RM7.3 million or 3.3% over the forecast for that year. RM0.6 million and RM4.6 million of the increase were contributed by the newly acquired Gurney Plaza Extension and East Coast Mall respectively. The balance was contributed by strong gross turnover rental income and higher income generated from atrium spaces during FY2011 for the existing portfolio.

¹ FY2011 Actual refers to the financial results reported for the financial year 1 January to 31 December 2011. The results include the impact of Gurney Plaza Extension, which was acquired on 28 March 2011, and East Coast Mall, which was acquired on 14 November 2011.

² FP2010 Actual refers to the financial results reported for the financial period from 14 July to 31 December 2010.

³ FY2011 Forecast refers to the profit forecast for the financial year 1 January to 31 December 2011 as disclosed in CMMT's circular to unitholders dated 23 February 2011. The profit forecast pertains to the existing portfolio for the full year as well as Gurney Plaza Extension for the period 28 March 2011 to 31 December 2011 and does not include East Coast Mall.

NET PROPERTY INCOME



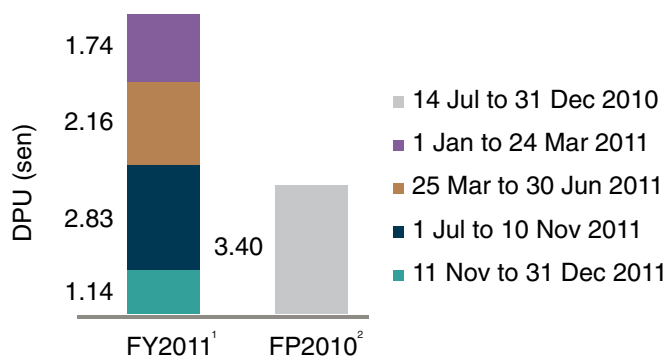
FY2011 Actual¹ vs Forecast³

Net Property Income by Property	FY2011		Variance	
	Actual ¹ RM million	Forecast ³ RM million	RM million	%
Gurney Plaza	68.6	70.3	(1.7)	(2.4)
Sungei Wang Plaza	54.4	54.1	0.3	0.6
The Mines	36.4	35.4	1.0	2.8
East Coast Mall	3.0	-	3.0	N.M
Total	162.4	159.8	2.6	1.6

Net property income for FY2011 was RM162.4 million, an increase of RM96.6 million or 146.7% over FP2010. Of the RM96.6 million increase, RM14.6 million and RM3.0 million were the effects of the acquisitions of Gurney Plaza Extension and East Coast Mall respectively. The balance RM79.0 million of the variance was mainly a result of the impact of the 6.5 month period in FP2010.

Net property income for FY2011 was RM162.4 million, an increase of RM2.6 million or 1.6% over the forecast. Gurney Plaza reported a drop in net property income by RM1.7 million in FY2011 mainly due to higher maintenance and marketing expenses incurred in conjunction with the opening and operating of new shops on the 5th and 6th floors in Q4 2011. In general, CMMT's properties incurred higher utilities and reimbursable staff costs as well as higher costs for preventive maintenance of major mechanical and electrical equipment in FY2011. Despite the above, the modest growth in gross revenue as well as the positive impact of RM3.0 million contributed by East Coast Mall resulted in a better net property income for FY2011 for the portfolio as compared to the forecast.

DISTRIBUTIONS

FY2011 Actual¹ vs Forecast³

Period	FY2011		Variance
	Actual ¹ DPU Sen	Forecast ³ DPU Sen	%
1Q 2011	1.90	1.84	3.3
2Q 2011	2.00	1.85	8.1
3Q 2011	1.98	1.88	5.4
4Q 2011	1.99	1.89	5.3
FY2011	7.87	7.46	5.5

FINANCIAL POSITION

The balance sheet of CMMT and its subsidiary (CMMT Group) continues to reflect significant asset growth and strong capital base. CMMT Group's unitholders' funds at 31 December 2011 was RM1,951.8 million, an increase of RM516.9 million from 31 December 2010. The increase in unitholders' funds was mainly related to the issuance of CMMT units in connection with the acquisitions of Gurney Plaza Extension and East Coast Mall, as well as part payment of management fee.

The total assets for CMMT Group were RM2,906.7 million at 31 December 2011 compared to RM2,278.2 million at 31 December 2010. The growth of RM628.5 million was primarily derived from the acquisitions of Gurney Plaza Extension (RM218.6 million) and East Coast Mall (RM314.6 million) in March 2011 and November 2011 respectively, capitalisation of capital expenditure of RM39.8 million and fair value gain of investment properties of RM68.9 million.

CMMT Group's cash and cash equivalents at 31 December 2011 decreased by RM12.0 million during 2011 to RM115.4 million. The cash and cash equivalents as at 31 December 2011, amongst others, included a newly drawn down revolving credit of RM9.0 million, to fund ongoing asset enhancement initiatives at Gurney Plaza and The Mines, and the balance of proceeds of approximately RM10.3 million from the private placement for the acquisition of East Coast Mall. In 2011, CMMT paid RM144.1 million in income distributions to its

For FY2011, CMMT declared a distribution per unit (DPU) of 7.87 sen. During the financial year, CMMT made three income distributions to unitholders, totaling RM98.2 million or 6.73 sen per unit, which comprised two advance income distributions in relation to acquisitions of (i) Gurney Plaza Extension, for the period 1 January to 24 March 2011 (1.74 sen per unit), and (ii) East Coast Mall, for the period 1 July to 10 November 2011 (2.83 sen per unit). CMMT also distributed its half yearly income distribution of 2.16 sen per unit, for the period 25 March to 30 June 2011, and will distribute its final income distribution of 1.14 sen per unit, for the period 11 November to 31 December 2011, to unitholders in March 2012. This represents a 100.0% payout of CMMT's FY2011 distributable income of RM118.3 million.

In FP2010, CMMT declared a DPU of 3.40 sen per unit for the period from 14 July to 31 December 2010, which was a 100.0% distribution payout. This distribution was paid in February 2011.

The DPU of 7.87 sen for FY2011 represented an increase of 8.4% over the annualised DPU of 7.26 sen for FP2010. The DPU of 7.87 sen for FY2011 outperformed the forecast of 7.46 sen for the same period by 5.5%. Organic growth in the existing malls coupled with new acquisitions underpinned CMMT's revenue base in FY2011. In addition, prudent capital management and active cash management contributed to savings in finance costs and an increase in interest income which in turn improved CMMT's DPU.

unitholders, which included CMMT's first income distribution of RM45.9 million for FP2010. In addition, total capital expenditure (a combination of regular capital expenditure and asset enhancement initiatives) incurred and paid during the year was approximately RM27.8 million, an increase of RM24.1 million compared to FP2010.

At 31 December 2011, CMMT Group had available banking credit facilities of RM950.7 million and a standby interest rate swap line of up to RM90.0 million. For the year ended 31 December 2011, RM832.9 million banking credit facilities remained outstanding, of which RM819.7 million was under term loan facilities related to the acquisition of properties, RM9.0 million was a revolving credit facility for the funding of capital expenditure and the balance of RM4.2 million was a bank guarantee facility for utilities. The average cost of debt was 4.7% and the average term to maturity (excluding bank guarantee facility) was 5.2 years. Of the four properties within the portfolio, Sungei Wang Plaza and East Coast Mall remain unencumbered as at the issuance date of this report.

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate

INVESTMENT PROPERTIES AND CAPITAL EXPENDITURE

The valuation of CMMT's portfolio increased by RM638.0 million from RM2,143.0 million at 31 December 2010 to RM2,781.0 million at 31 December 2011, which represents a fair value gain of RM638.9 million after accounting for acquisition costs of RM533.2 million for Gurney Plaza Extension and East Coast Mall, capital expenditure of RM39.8 million and the reversal of certain acquisition charges of RM3.9 million in FY2011.

CMMT incurred RM29.8 million in AEI-related expenditure for Gurney Plaza and The Mines and RM10.0 million in regular capital expenditure across the portfolio during the year. Maintenance costs were normal expenses incurred for the upkeep of the buildings.

Valuations and Property Yield

CMMT Portfolio	Valuation ¹ 31 Dec 2011 RM million	Valuation ¹ 31 Dec 2010 RM million	Increase (Decrease) RM million	Valuation 31 Dec 2011 RM per sq ft NLA ²	Property Yield ³		Cap Rate ⁴	
					Forecast (%)	Actual (%)	31 Dec 2011 (%)	31 Dec 2010 (%)
Gurney Plaza	1,100	856	244	1,261	6.6	6.6	7.00	7.00
Sungei Wang Plaza	792	745	47	1,769	7.2	6.9	7.00	7.50
The Mines	559	542	17	779	6.4	6.5	7.25	7.50
East Coast Mall	330	-	330	747	6.9	7.0	7.50	-
CMMT Portfolio	2,781	2,143	638	1,122	6.8	6.7	-	-
Less: acquisitions ⁵			(533)					
Less: additions ⁶			(36)					
FY2011 Fair Value Gain			69					

1 Based on the independent valuations of Gurney Plaza, a significant interest in Sungei Wang Plaza, The Mines and East Coast Mall as at 31 December 2011 and 31 December 2010, commissioned by the Trustee.

2 NLA – Net Lettable Area

3 Property yield is calculated by dividing the NPI or annualised NPI for the year by the independent valuation of the property. Forecast property yield is derived from the 2010 valuation and budgeted capital expenditure and AEIs for the forecast year 2011 based on CMMT's initial public offering prospectus dated 28 June 2010 and the circular dated 23 February 2011. For East Coast Mall, the valuation forecast includes initial capital expenditure to be incurred.

4 Cap rate refers to the reversionary capitalisation rate adopted by the independent valuers to derive the market values of each property.

5 This refers to the acquisitions of Gurney Plaza Extension and East Coast Mall which took place during FY2011.

6 Additions refer to AEI and regular capital expenditure incurred during the financial year as well as the reversal of acquisition charges of RM3.9 million relating to the registration fee previously provided for the transfer of Gurney Plaza's land title which was no longer required.

UTILISATION OF PROCEEDS RAISED FROM THE ISSUANCE OF NEW UNITS

Gurney Plaza Extension Acquisition

To part finance the acquisition of Gurney Plaza Extension, on 28 March 2011, 144,859,000 new units in CMMT were issued and placed to investors at a price of RM1.06 per unit. RM153.6 million was raised from the placement exercise. The status of the utilisation of gross proceeds as at 31 December 2011 is shown in the table below.

Purpose	Proposed Utilisation	Actual Utilisation	Intended Timeframe for Utilisation	Deviation	
	RM'000	RM'000		RM'000	%
Purchase consideration	145,250	145,250	-	-	-
Placement expenses	3,397	2,919	-	(478)	(14.1)
Incidental costs on acquisition	4,158	3,602	-	(556)	(13.4)
Transaction costs on borrowings	745	561	-	(184)	(24.7)
Total	153,550	152,332		(1,218)¹	(0.8)

¹ The balance of unutilised proceeds of RM1.2 million raised from the private placement will be utilised for future working capital of the existing portfolio.

East Coast Mall Acquisition

To fully fund the acquisition of East Coast Mall, on 14 November 2011, RM330.0 million was raised from the issuance and private placement of 261,904,000 new units in CMMT at a price of RM1.26 per unit. The status of the utilisation of gross proceeds as at 31 December 2011 is shown in the table below.

Purpose	Proposed Utilisation	Actual Utilisation	Intended Timeframe for Utilisation	Deviation	
	RM'000	RM'000		RM'000	%
Purchase consideration	310,000	310,000	-	-	-
Placement expenses	7,161	5,691	-	(1,470)	(20.5)
Incidental costs on acquisition	4,839	4,615	Within 1 year	(224)	(4.6)
Initial capital expenditure	4,000	2,433	Within 1 year	(1,567)	(39.2)
Working capital	4,000	-	Within 1 year	(4,000)	N.M.
Total	330,000	322,739		(7,261)¹	(2.2)

¹ Pending utilisation and receipt of invoices.
N.M. Not meaningful.

OPERATIONS REVIEW

ASSET ENHANCEMENT INITIATIVES

Asset enhancement initiatives continued to be one of CMMT's growth drivers. During the year in review, CMMT invested approximately RM29.8 million in asset enhancement initiatives and RM10.0 million in regular capital expenditure.

Gurney Plaza underwent three major asset enhancements in 2011. These included the conversion of certain car park spaces on the 5th and 6th floors to retail units to provide a seamless shopping experience through all levels of the mall, reconfiguration of units in Basement 1 into smaller and higher yielding units, and extension of lease lines for units at the mall's main entrance. As part of continuous efforts to improve the shopping experience at Gurney Plaza and reinforce its positioning as Penang's premier lifestyle shopping mall, we have embarked upon an interior refurbishment programme starting at the main atrium. These works increased Gurney Plaza's net lettable area by approximately 25,000 square feet and are expected to give CMMT incremental annual net property income ("NPI") of approximately RM2.4 million a year.

At The Mines, the roof system was upgraded, a new water reticulation system was installed and common floor areas were retiled.

At Sungei Wang Plaza, the car park exhaust system was upgraded, a new auto-pay and parking guidance system was installed, the CCTV system was upgraded to further improve the security of the carpark and renovation works to reposition the 6th floor commenced.

LEASE RENEWALS AND NEW LEASES

On a portfolio basis, renewal rental rates (first year rental of the renewed term) for CMMT's portfolio increased by 5.6% compared to preceding rates (last year rental of the preceding term).

LEASE EXPIRY PROFILE

Tenants are typically on a three year tenancy term. The portfolio lease expiry remained well spread out as at 31 December 2011 with 23.0% and 28.7% of tenancies by gross rental income due for renewal in 2012 and 2013 respectively. 394 leases are due to expire in 2012.

Portfolio - Lease Expiry Profile (as at 31 December 2011)

Year	Number of Leases	By Net Lettable Area ¹ (%)	By Gross Rental Income (%)
2012	394	21.7	23.0
2013	407	24.6	28.7
2014 and beyond	505	53.7	48.3

Portfolio - Lease Expiry Profile for 2012 (as at 31 December 2011)

Property	Number of Leases	By Net Lettable Area ¹ (%)	By Gross Rental Income (%)
Gurney Plaza	93	6.5	7.4
Sungei Wang Plaza	136	4.1	6.8
The Mines	120	8.4	7.1
East Coast Mall	45	2.7	1.7
Total	394	21.7	23.0

¹ Based on total committed area as at 31 December 2011

Portfolio - Summary of Renewals / New Leases excluding newly created and reconfigured units (as at 31 December 2011)

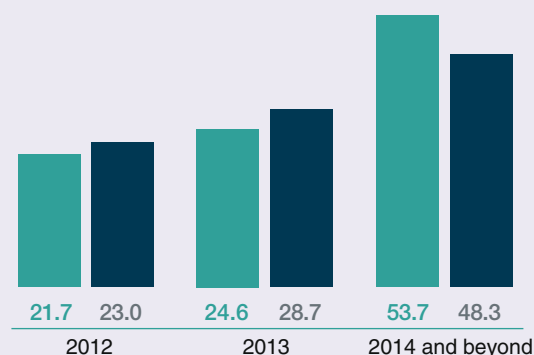
Property	Number of Renewals/ New Leases	Retention Rate (%)	Net Lettable Area ¹		Change in Rental Rates ² (%)
			Area (sq ft)	Percentage of Mall (%)	
Gurney Plaza	143	73.7	483,364	55.4	5.1
Sungei Wang Plaza	115	74.0	213,888	47.8	6.9
The Mines	172	68.5	197,301	27.5	5.0
East Coast Mall	-	-	-	-	-
Total	430	71.7	894,553	43.9	5.6

¹ Based on the total committed area as at 31 December 2011.

² Change in the current rental rates versus the preceding rental rates.

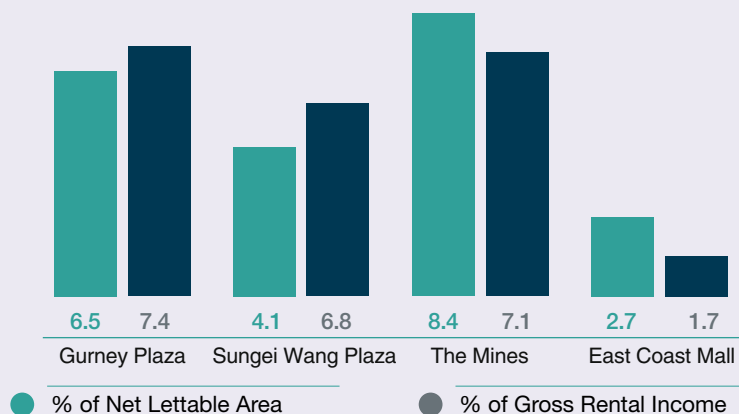
Portfolio - Lease Expiry Profile (%)

(as at 31 December 2011)



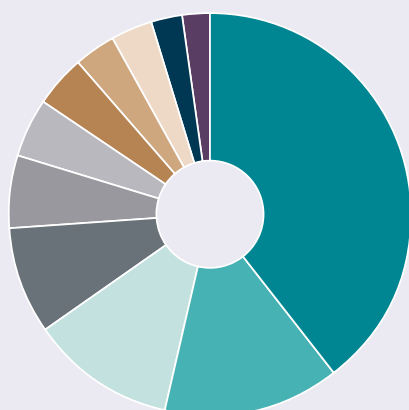
Portfolio - Lease Expiry Profile for 2012 (%)

(as at 31 December 2011)



Portfolio - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2011)

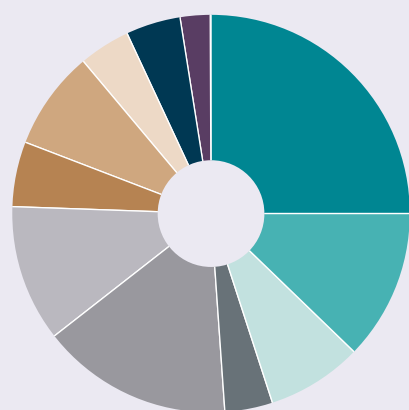


Fashion/ Accessories	: 38.6%
Food & Beverages	: 15.1%
Beauty/ Health	: 10.9%
Services	: 7.4%
Departmental Store	: 7.6%
Leisure & Entertainment/ Sports & Fitness	: 5.8%

Electronics/ I.T.	: 3.9%
Supermarket/ Hypermarket	: 2.8%
Gift/ Specialty/ Books/ Hobbies/ Toys/ Lifestyle	: 3.1%
Houseware/ Furnishings	: 2.3%
Others	: 2.5%

Portfolio - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2011)



Fashion/ Accessories	: 25.2%
Food & Beverages	: 12.2%
Beauty/ Health	: 7.8%
Services	: 3.8%
Departmental Store	: 15.5%
Leisure & Entertainment/ Sports & Fitness	: 11.3%

Electronics/ I.T.	: 5.1%
Supermarket/ Hypermarket	: 8.2%
Gift/ Specialty/ Books/ Hobbies/ Toys/ Lifestyle	: 4.1%
Houseware/ Furnishings	: 4.5%
Others	: 2.3%

OPERATIONS REVIEW

TOP 10 TENANTS

CMMT's gross rental income is well distributed within its portfolio of 1,306 leases. Collectively, the 10 largest tenants accounted for about 16.9% of the portfolio gross rental income.

TRADE SECTOR ANALYSIS

CMMT's portfolio is well diversified and relies on many different trade sectors for rental income. As at 31 December 2011, fashion remained the largest contributor to gross rental income at 38.6% of the total portfolio. The food and beverage trade was the second largest contributor in terms of rental income at 15.1%, and occupied 12.2% of the total net lettable area.

Portfolio - 10 Largest Tenants by Total Gross Rental (as at 31 December 2011)

Tenant	Trade Sector	By Gross Rental Income (%)	Expiry Date ¹
Parkson	Departmental Store	7.6	19 Jun 2014 to 02 Aug 2016
Factory Outlet Store (F.O.S)/ F.O.S Kids & Teens	Fashion/Accessories	1.8	30 Apr 2013 to 31 Dec 2014
Giant	Supermarket/Hypermarket	1.6	15 Oct 2014 to 02 Jan 2015
Padini Concept Store	Fashion/Accessories	1.0	30 Apr 2014 to 31 Dec 2014
KFC	Food & Beverages	0.9	30 Apr 2012 to 30 Apr 2014
Voir Gallery	Fashion/Accessories	0.9	18 Mar 2012 to 14 Jan 2015
SUB	Fashion/Accessories	0.9	31 Mar 2014 to 31 Dec 2014
McDonald's	Food & Beverages	0.8	20 Feb 2012 to 19 Dec 2014
Carrefour	Supermarket/Hypermarket	0.7	31 Oct 2013
Nichii	Fashion/Accessories	0.7	14 Sep 2014 to 2 Nov 2014

¹In cases where leases have more than one expiry date (i.e. the tenants have several leases), lease expiry dates are shown as a range

Portfolio - Trade Sector Analysis (as at 31 December 2011)

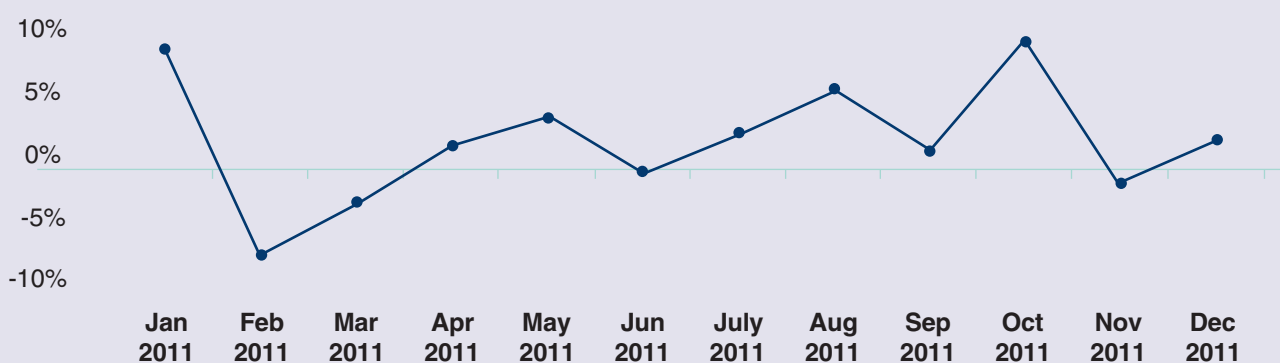
Trade Sector	By Net Lettable Area ¹ (%)	By Gross Rental Income (%)
Fashion/Accessories	25.2	38.6
Food & Beverages	12.2	15.1
Beauty/Health	7.8	10.9
Services	3.8	7.4
Departmental Store	15.5	7.6
Leisure & Entertainment/Sports & Fitness	11.3	5.8
Electronics/I.T.	5.1	3.9
Supermarket/Hypermarket	8.2	2.8
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.1	3.1
Houseware/Furnishings	4.5	2.3
Others	2.3	2.5

¹Based on total committed area as at 31 December 2011.

SHOPPER TRAFFIC

Shopper traffic for the portfolio slightly increased by approximately 1.5% from 49.4 million in 2010 to 50.1 million in 2011 whilst vehicular traffic decreased slightly from 5.7 million in 2010 to 5.6 million in 2011. Shopper traffic and vehicular traffic statistics exclude East Coast Mall.

Shopper Traffic - Month-on-Month Changes in 2011 vs 2010 (%)



Biz+ Series 'Visual Vibe of Retailing – Effective Visual Merchandising' in September 2011

MARKETING AND PROMOTIONS



Looney Tunes Character Appearance at The Mines

We continue to engage our tenants and shoppers through our promotional activities and theme-based events. Through these activities, we aim to further increase our shopper traffic which in turn will contribute to our tenants' sales.

GURNEY PLAZA, PENANG

Gurney Plaza is positioned as Penang's premier lifestyle shopping mall and the team strengthens this positioning by hosting and organising mall-centered events that cater to the interests of both locals and tourists.

Some of the notable events held at Gurney Plaza include the Penang State's Body Building Championship, 'Mr. Penang 2011', 'Ms Malaysia Beauty Pageant 2011' and the '2nd Malaysia International GUPPY & BETTA Charity Competition' which was held for the 2nd consecutive year at Gurney Plaza.

In April 2011, the thematic fair 'Fashionista' was organised to showcase the spring/summer 2011 collections of local and international brands such as Carlo Rino from Malaysia, Esprit from USA, Quiksilver and Roxy from Australia and Desigual from Spain.

On 9 September 2011, a two-day Korean-POP competition was organised together with the Korea Tourism Organisation. The event was launched by the Penang State Chief Minister Y.A.B Tuan Lim Guan Eng in conjunction with the Korean

Products Fair. The event garnered tremendous publicity and the Korean Broadcasting System (KBS) staged a 'live' broadcast of the event.

Gurney Plaza is also a popular stopover for many meet-and-greet sessions with local and international celebrities. Celebrities that visited Gurney Plaza in 2011 included Anthony Neely, Gary Chaw, Ron Ng, Kate Tsui, Charmaine Sheh, Justin Lo, Aaron Yan and Bernice Liew. In conjunction with their appearances, shopper traffic at the mall increased by more than 20% versus the equivalent day in the preceding year's calendar.

Various festive and family-orientated events were also organised at Gurney Plaza, including a character appearance from the movie 'The Smurfs' during the Hari Raya and Merdeka celebrations. To celebrate Christmas and New Year, the musical show 'A Tale of the Winter Christmas Globe at Gurney Plaza' was held at the main atrium. Featuring an Australian cast, the show was a hit with families and the artificial giant Christmas snow globe displayed at the entrance of Gurney Plaza added to the magical feel of Christmas.

MARKETING AND PROMOTIONS

SUNGEI WANG PLAZA, KUALA LUMPUR

Positioned as a one-stop shopping mall 'for all kinds of everything', Sungei Wang Plaza's vibrant marketing and promotional activities are organised through Sungei Wang Plaza's Management Corporation.

Key events held in Sungei Wang Plaza in 2011 included 'Springtime Expression', which comprised a series of activities including wushu performances, junior wushu competitions and workshops in conjunction with the Chinese New Year celebrations. The event was graced by Mr Koh Chin Han, the Press Secretary for YB Dato' Wira Chor Chee Heung from the Ministry of Housing and Local Government.

In April 2011, a spring/summer fashion show themed 'Breathing Beauty into Life and Sophistication' was organised to showcase the latest designs by local designers including Lester Wong, Michael Ong, William Liew, William Ooi and Kenneth Hoong. Besides showcasing traditional songket designs and elegant cheongsams, it also showcased a combination of smart casual wear.

In June 2011, in conjunction with the mid-term school holidays, the 'Ultraman Mebius Showdown' was held. Ultraman Mebius and Ultraman Cosmos-themed events included meet-and-greet sessions as well as a movie screening, merchandise fair and colouring contest.

Other memorable events held at Sungei Wang Plaza included 'Jumbo Queen 2011', an iconic beauty pageant for plus-sized women and '1Malaysia Aidilfitri', which involved dance performances by the famous Swatari Dance Troupe and a buka puasa event attended by celebrities such as Ziana Zain, Jaclyn Victor and Suki Low.

During the month of December 2011, Sungei Wang Plaza hosted a 'Ritzy Glitzy Christmas Ball', with ballroom dance performances, Latin freestyle dance competitions and dance workshops. To end 2011 and usher in 2012, Sungei Wang Plaza hosted a large scale street party and countdown, which featured international and local celebrities.



Ultraman Mebius Showdown in Sungei Wang Plaza



A Tale of the Winter Christmas Globe at Gurney Plaza

MARKETING AND PROMOTIONS

THE MINES, SELANGOR

The Mines, which underwent a major asset enhancement exercise in 2008-2009 and a rebranding exercise in early 2010, is a suburban family-focused shopping mall. In line with the positioning of The Mines, family-orientated events and promotions were the key focus of marketing efforts in 2011.

One of the significant events held at The Mines was the 'Perfect Couple Search' launched in February 2011 in conjunction with Valentine's Day's celebrations. Social media was used to promote this month-long contest and, through Facebook voting, shortlisted couples were invited for a finale on 13 February 2011.

In April 2011, the inaugural 'Super Dancers Competition' was launched at both The Mines and Gurney Plaza, and the event garnered great media publicity in both the Klang Valley and the northern region of Peninsular Malaysia. A popular venue for beauty contests, The Mines hosted the iconic beauty pageant 'My Lovely Mum' in May 2011 for the fourth consecutive year while 'Metro Man Search', which made its debut in 2010, was held in June 2011.

Appearances by popular cartoon and movie characters remained an important part of the 2011 events calendar of The Mines due to their family appeal. The Looney Tunes characters, Tweety, Sylvester and Bugs Bunny made a special appearance at the mall during the Chinese New Year celebrations. Other appearances included characters from the movie 'HOP', 'Worlds of Fantasy' by Disney on Ice as well as Mumble and Erik from the animated movie, 'Happy Feet 2'.

Prominent festive celebrations held at The Mines in 2011 included the 'Raya FashioniStar Search' during Hari Raya Aidilfitri, 'Eco Lantern Making Contest' in conjunction with the Mid-Autumn Festival and the 'Flora Diwali Princess Competition' during the Deepavali celebration. In December 2011, the central atrium of The Mines was transformed into an ice skating rink and ice skating performances were held to entertain its shoppers during the Christmas and New Year festivities.

EAST COAST MALL, Kuantan

The market leader in Kuantan, East Coast Mall is positioned as a modern family lifestyle shopping mall.

Subsequent to CMMT's acquisition of East Coast Mall in November 2011, events were organised to drive shopper traffic to East Coast Mall during the festive season. For the 'Christmas Caroling Walkabout', 70 carolers gathered at the mall to sing Christmas carols. For 'Christmas Thanksgiving Flash Mob', 60 participants performed synchronised dance moves on a spontaneous basis around the mall which pleasantly surprised shoppers. The events, which were a novelty in Kuantan, drew huge crowds to East Coast Mall.



Thanksgiving Flash Mob at East Coast Mall



fun



future



RENEW YOUR EXPERIENCES @ THE MINES

Come discover a whole new temptation at The Mines. Indulge yourself with one of the most unique and desirable shopping experience in town, offering the best in fashion, accessories, consumer electronics, food and entertainment!

Be enthralled by the surroundings that transform the mall into a one-stop shopping paradise for all. Whether you are here for a short or a long stay, The Mines surely fulfills your contemporary lifestyle in every way. If your first visit is yet to come, savor the anticipation with a taste of The Mines.



TENANTS SPEAK



BERJAYA STARBUCKS COFFEE COMPANY SDN BHD

"Starbucks, together with some of our other Berjaya Group businesses, are present in all CMMT malls, and we have seen the positive results of the work and commitment of the CMMT team to enhance the value of their properties. In working with them, we have experienced and testify to their professionalism and integrity. We like the dialogue that takes place with them as together, we are able to fulfil the varied needs of our customers. Our congratulations to the CMMT team for having the vision to foresee the changing trends in mall designs, layout and the expectation of Malaysian shoppers. We look forward to growing this relationship here and in the region."

Eric Khoo
Executive Director



GCH RETAIL (MALAYSIA) SDN BHD

"As a leading retailer in Malaysia, GCH Retail through our brands, Giant, Cold Storage and Guardian, has a strong presence in CMMT malls. As anchors, mini anchors and specialty store tenants in CMMT malls, we work closely with the CMMT team and the open communication that we have has resulted in win-win situations for both us and CMMT. We see the management of CMMT setting the standard for tenants to operate, where the team is consistent and professional in delivering its promises to us as tenants. During challenging projects, we appreciate that CMMT works with us to achieve the best possible results. We look forward to a continuous fruitful relationship as we grow together."

Nick Lee
Property and Projects Director



INFINITY SPORT HOUSE SDN BHD

"Infinity Sport House has been operating at The Mines for many years. Through the years, we have seen the positive changes that CMMT has made to the mall and have experienced the benefits from the major enhancement works carried out. The improved customer profile and footfall to the mall and our shops testify of the improvement that the CMMT team has achieved through active management of the tenant mix and continuous initiatives to improve the mall facilities. CMMT continues to be consistent in their promise to us as tenants to be business partners as they listen to our feedback and work together with us to further ourselves."

Jason Lee
Owner



JUNIOR APPAREL ENTERPRISE SDN BHD

"SUB is proud to be a tenant in the malls owned by CMMT. The CMMT team knows how to manage, operate and enhance their malls to ensure sustainability. We have seen the CMMT team continually strive to improve the tenant mix at each of their properties, making a point of difference in the offerings at each of their malls. The level of professionalism that the CMMT management team practices at every level is commendable. We look forward to continue working hand-in-hand with CMMT as we move towards greater success together."

Hector Yang Ming Wah
Marketing Director



OSIM (M) SDN BHD

“OSIM’s relationship with CMMT has grown through the years since we opened our store in Gurney Plaza when it was managed by CapitaLand many years ago. Working with a team that supports and cares for its tenants like CMMT does, helps us build our brand and grow our business in a challenging industry such as ours. We are focused on developing such long standing mutually beneficial business relationships that provide sustainable growth. We value our partnership with CMMT and look forward to expand our business together.”

Dato’ Tay Sim Kim
Executive Chairman



PADINI HOLDINGS BERHAD

“Having several specialty stores as well being a mini anchor in CMMT malls, the Padini Group is pleased to work with a team that understands our needs as tenants with different formats in the retail business. We like working with the CMMT team as they are professional and trustworthy. One of CMMT’s initiatives which we have benefitted from is the seminars tailored by the team especially for their tenants. This keeps us engaged with CMMT as our landlord and their objectives to provide the platform for us to grow. We believe in the management team of CMMT as a business partner and look forward to continue working together as we expand our business in Malaysia and regionally.”

C Y Cheong
Executive Director



POPULAR BOOK COMPANY (MALAYSIA) SDN BHD

“As Malaysia’s largest bookstore chain with 67 retail stores, Popular adequately distinguishes vibrant and dynamic malls from the norm. A successful mall is a joy to customers, and this is evident from our store in Gurney Plaza, Penang. Our performance there has grown from strength to strength. We are confident that the CMMT team will continue to manage their malls proficiently and further enhance the value of their properties. We are committed to our relationship with CMMT and to strengthening our business partnership as tenant and landlord.”

Lim Lee Ngoh
Executive Director



VALIRAM GROUP

“As Southeast Asia’s leading luxury goods retailer and travel retail specialist, we appreciate the vision, dynamism and know-how of the CMMT management team. We have a few boutiques in Gurney Plaza, Penang, including Coach and our first standalone boutiques in Penang for Omega and Tissot. CMMT understands the nuances and intricacies of running successful malls, and as such we have seen robust performances at our stores at Gurney Plaza. They have a pulse on understanding the needs of their tenants and continuously strive to excite shoppers with their tenant mix, improved mall facilities, and interesting marketing and promotional activities. We look forward to enhancing and building a long term partnership with CMMT.”

Ashvin Valiram
Executive Director

SHOPPERS SPEAK



"Our family relocated to Malaysia more than two years ago and we have been visiting Gurney Plaza at least two to three times a week. I enjoy shopping at Cold Storage which houses a wide range of imported wines, fresh produce, chilled products and groceries. My husband enjoys shopping for sports equipment and essentials and my bookworm kids certainly enjoy MPH bookshop. It is so convenient, spacious and houses many international brands - we don't miss the retail offerings in our country."

**Mdm Sabine Ruehl and family from Germany
at Gurney Plaza**



"Gurney Plaza is like a second home to us. It's our number one hangout spot. We often go for movies at Golden Screens Cinema, spend fun times with friends at Red Box, shop at Charles and Keith and dine at our favourite restaurant which is Secret Recipe. Since the location of Gurney Plaza is very strategic, we come here at least once a week. The new wing also attracted us to visit Gurney Plaza as there are more brands and food and beverage outlets to choose from. Gurney Plaza is the BEST shopping mall in Penang!"

**Ms Nanthini Raj, Mr V Theeban and Ms T Keshika
at Gurney Plaza**



"We are from Sweden and this is our first visit to Malaysia. We have a really a good impression of Sungei Wang Plaza as it offers so many choices. Andreas is into gadgets and bought a camera lens whilst I prefer fashion-related shopping, so Sungei Wang Plaza suits us both. Moreover, prices are reasonable and the retail assistants are very friendly and approachable."

**Ms Klara Tollmar and Mr Andreas Thorstad from Sweden
at Sungei Wang Plaza**



"You can always find something interesting and different in Sungei Wang Plaza, which makes the shopping here a unique and fun experience. The many tailoring shops and hair salons are a real draw as the pricing is fair and the level of workmanship is very good. We were recommended by friends to shop at Sungei Wang Plaza and you should shop here too!"

**Ms Nurathea Ali Warno and Ms Malanee Povakalam
at Sungei Wang Plaza**



"We always look forward to spending our weekends at The Mines as it suits our lifestyle and it has a variety of shops. Our daughter especially likes the Splash Park - it is a great draw for families."

**Ms Chow Suet Li and family
at The Mines**



"We are from Iran and have been staying in Malaysia for four years. We shop at The Mines quite regularly. My wife really enjoys herself shopping with all the fashion outlets here, especially Reject Shop and Effu. My son likes to eat the fast food here, not to mention having fun at the arcade centre too."

**Mr Ali Reza Afshari and family
at The Mines**



"East Coast Mall has a very pleasant environment and the people here are very friendly. We like to visit interesting places and meet different people and to our surprise we discovered this shopping mall. We really enjoyed our shopping here and will definitely visit this mall when we come to Kuantan again for holidays."

**Mr and Mrs Tomazzen from Switzerland
at East Coast Mall**



"We are from Kuala Lumpur and we always come to East Coast Mall whenever we have business trips in Kuantan. We love to visit Parkson and enjoy the shopping after attending to our business affairs. East Coast Mall will be our first choice for shopping in Kuantan as it offers variety of retailers that are similar to Kuala Lumpur."

**Ms Christine Lee and friend
at East Coast Mall**

PORTFOLIO AT A GLANCE

CMMT's portfolio consists of four quality properties that are strategically located in Penang, Kuala Lumpur, Selangor and Kuantan, thus providing investors with geographical diversification within Malaysia. The properties are:

- Gurney Plaza, which includes Gurney Plaza Extension, is located along Gurney Drive in Penang and is a popular destination for both tourists and locals. It is the premier lifestyle shopping mall in Penang and is connected to G Hotel, a modern concept designer hotel.
- Sungei Wang Plaza, which is positioned as a one-stop shopping mall 'for all kinds of everything', is a well-known shopping mall located in Kuala Lumpur's Bukit Bintang shopping precinct. It enjoys strong shopper traffic and is well-known for its specialty stores offering shoppers a wide range of products and services.
- The Mines is located in Selangor's Mines Resort City and is a suburban family-focused shopping mall. It provides shoppers with a complete offering of retail, entertainment and dining options.
- East Coast Mall, which is located in Kuantan, Pahang, is a modern lifestyle shopping mall with established domestic and international retailers. It is a popular destination among the people in Kuantan and regarded as the market leader in Kuantan.

The Manager continues to strive to ensure that each mall under CMMT's portfolio optimises its financial performance, strengthens its market position as the leading mall serving its respective target market, as well as provides the ideal shopping experience for its shoppers. This is achieved through a combination of active tenant remixing, stringent mall maintenance standards, and unique mall-centric marketing and promotional activities.

Knight Frank (Ooi & Zaharin Sdn. Bhd.) is the property manager for Gurney Plaza, CMMT's interest in Sungei Wang Plaza, The Mines and East Coast Mall.

Property Portfolio Summary (as at 31 December 2011)

Property Valuation	RM2,781 million
Net Lettable Area	2,479,277 sq ft
Committed Occupancy Rate	98.6%
Number of Committed Leases	1,306
Total Annual Shopper Traffic ¹	50.1 million

¹ For the year ended 31 December 2011 and excludes East Coast Mall



PORTFOLIO AT A GLANCE

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PORTFOLIO - KEY INFORMATION

	Gurney Plaza	Sungei Wang Plaza	The Mines	East Coast Mall
Gross Floor Area (sqft)	1,317,930	511,103 ¹	1,257,086	996,902 ²
Net Lettable Area (sq ft) (as at 31 December 2011)	872,406	447,800	717,550	441,522
Number of Committed Leases (as at 31 December 2011)	373	372	375	186
Committed Occupancy (as at 31 December 2011)	98.5%	98.2%	98.8%	98.9%
Car Park Lots	1,836	1,298	1,282	1,170
Year of Completion	2001 ³	1977	1997	2008
Acquisition Price (RM million)	1,015.0 ⁴	724.0	530.0	310.0
Market Valuation/ Net Book Value (as at 31 December 2011) (RM million)	1,100.0	792.0	559.0	330.0
Gross Revenue (RM million) (for FY2011)	96.1 ⁵	70.8	59.4	4.6 ⁶
Net Property Income (RM million) (for FY2011)	68.6 ⁵	54.4	36.4	3.0 ⁶
Shopper Traffic in 2011 (million)	14.4	23.9	11.9	N/A
Key Tenants	Parkson, Padini Concept Store, Esprit, Cold Storage, Nichii, Reject Shop, G2000, Golden Screen Cinemas, Quiksilver and Popular Book Store	Parkson, F.O.S, Giant, KFC, McDonald's, Roller Sports World, Fashion City, Green Box Karaoke and SUB	Giant, Challenger IT Megastore, Cobay, Celebrity Fitness, Voir Gallery, Daiso, Ace Hardware, Spices of Malaysia, Courts, TGV Cinemas, Nichii, Mines Bowl, F.O.S, Reject Shop, Kitschen and SenQ	Parkson, Carrefour, GSC, Padini Concept Store, Brands Outlet, F.O.S Kids & Teens, KFC, F.O.S, Wah Chan and East Coast Mall IT Centre

¹ Equal to 47,483 square metres, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza.

² Includes the car park area as gross floor area is defined by the requisite authorities in Kuantan to be inclusive of the car park area.

³ Gurney Plaza was completed in 2001 and Gurney Plaza Extension in 2008.

⁴ Equal to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.

⁵ Includes the contribution from Gurney Plaza Extension, which was acquired on 28 March 2011.

⁶ For the period 14 November 2011 to 31 December 2011.

ACQUISITIONS AND DIVESTMENTS

On 28 March 2011, CMMT acquired Gurney Plaza Extension in Penang from Gurney Plaza Sdn. Bhd. and on 14 November 2011, CMMT acquired East Coast Mall in Kuantan from Astral Realty Sdn Bhd. The two acquisitions further strengthen CMMT's position as the largest diversified 'pure-play' shopping mall real estate investment trust in Malaysia.

Gurney Plaza Extension, which started operations in 2008, is a nine storey retail extension block adjoining Gurney Plaza and is fully integrated with the latter. Its tenant mix complements Gurney Plaza and enhances Gurney Plaza's position as Penang's premier lifestyle mall.

East Coast Mall is a modern four storey lifestyle shopping mall with established domestic and international retailers. Since opening in 2008, it has become a popular destination among the people in Kuantan, and attracts a secondary catchment market from nearby towns in the neighbouring state of Terengganu. As the market leader in Kuantan, East Coast Mall offers CMMT the opportunity to penetrate the retail sector in Kuantan and also provides investors with greater geographical and income diversification.

TITLE PARTICULARS

Gurney Plaza - Title Particulars

Title	No. H.S.(D) 17259, No. PT Lot 5626, Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land comprised in the title: - shall not be affected by any provision of the National Land Code ("Code") limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and - subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and - the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances	- There is a lease of part of the land in favour of Parkson Corporation Sdn. Bhd. registered on 13 October 2004 via presentation no. 0799SC2004029845 for a period of fifteen (15) years commencing from 3 August 2001 to 2 August 2016. - There is a charge on the land in favour of Public Bank Berhad vide presentation no. 0799SC2011034916 registered on 5 October 2011. - A private caveat is lodged by Public Bank Berhad vide presentation no. 0799B2011003675 registered on 24 March 2011.
Endorsements	- An easement in favour of Gurney Plaza over the vehicle ramp of G Hotel to enable, among other things, the visitors of Gurney Plaza to use the vehicle ramp for the purpose of accessing Basements 1 and 2 of Gurney Plaza. - An easement in favour of Gurney Plaza over part of Basement 2 of G Hotel to enable the owner of Gurney Plaza access to the exhaust fan room located on Basement 2 of G Hotel. - An easement in favour of G Hotel over part of Basement 2 of Gurney Plaza to enable G Hotel access to its car parks on Basement 2 of Gurney Plaza. - An easement in favour of G Hotel over part of the al-fresco area located between Gurney Plaza and G Hotel. - An easement in favour of Gurney Plaza in respect of the roadway along the main entrance of G Hotel fronting Gurney Drive. - An easement in favour of G Hotel in respect of the roadway along the main entrance of Gurney Plaza fronting Gurney Drive.

TITLE PARTICULARS

Sungei Wang Plaza - Title Particulars

Title	205 strata titles held under GRN 11043, Lot 1197 Seksyen 0067, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	- The land must be used for commercial building only. - Development on the land must comply with the development order issued by the Commissioner of the City of Kuala Lumpur (known as Datuk Bandar Kuala Lumpur in Malay, it is a body corporate appointed pursuant to Section 4 of the Federal Capital Act 1960 to administer municipal affairs of the City of Kuala Lumpur)
Encumbrances	There is a lease of part of the land to Tenaga Nasional Berhad registered on 31 December 1993 vide presentation no. 21493/1993 for a period of 30 years commencing from 15 March 1993 to 14 March 2023.²
Endorsements	- Easements between Sungei Wang Plaza and Bukit Bintang Plaza vide presentation nos. 15174/2001 and 15175/2001 pursuant to two easement agreements made between the owner of Bukit Bintang Plaza, UDA Holdings Berhad (UDA) and the developer of Sungei Wang Plaza Sdn Bhd (SWPSB). These easements relate to the arrangement between Sungei Wang Plaza and Bukit Bintang Plaza for the exchange of car park areas on terms set out in a car park areas on terms set out in a car park management agreement dated 2 October 2007 between UDA and SWPSB. Pursuant to the two easement agreements between UDA and SWPSB, UDA agreed to grant to SWPSB a right of way over Basements 1 and 2 of Bukit Bintang Plaza and SWPSB in turn agreed to grant to UDA the right of way over Levels 4 and 5 of Sungei Wang Plaza (which form part of CMMT's interest in Sungei Wang Plaza). - Revision on quit rent registered on 1 September 2005 vide presentation no. 8100/2005. - Registration of Sungei Wang Plaza Management Corporation on 21 November 2008 vide presentation no. 1183/2008.

¹ The land title particulars stated in the table is in respect of the master title to Sungei Wang Plaza. The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in Sungei Wang Plaza Management Corporation.

² This lease of part of the land to Tenaga Nasional Berhad is endorsed on the master title to Sungei Wang Plaza.

TITLE PARTICULARS

The Mines - Title Particulars

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority. ¹
Express Conditions	Commercial building
Encumbrances	- There is a charge in favour of Public Bank Berhad, registered vide presentation no. 98340/2010 on 23 September 2010. - A private caveat is lodged by Public Bank Berhad vide presentation no. 33339/2010 registered on 29 June 2010.
Endorsements	- An easement between The Mines and Mines International Exhibition and Convention Centre registered vide presentation no. 117530/2009 on 15 December 2009 pursuant to an easement agreement made between Mutual Streams Sdn Bhd and the owner of Mines International Exhibition and Convention Centre. - Revision on quit rent registered on 5 August 2005 via presentation no. 28686/2005.

¹ The State Authority's consent to transfer the land in favour of the Trustee and charge the land in favour of Public Bank Berhad were obtained on 5 July 2010.

TITLE PARTICULARS

East Coast Mall - Title Particulars

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang
Tenure	Leasehold interest for 99 years expiring on 18 Dec 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	This land shall be used for commercial building only.
Encumbrances	Nil
Endorsements	Nil

PORTFOLIO AT A GLANCE

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Night View of Gurney Plaza's Façade



Night View of Sungei Wang Plaza's Façade



Night View of The Mines's Façade



Night View of East Coast Mall's Façade

GURNEY PLAZA



Day View of Gurney Plaza's Façade

Gurney Plaza is strategically located in the famous Gurney Drive promenade in Penang and approximately three kilometres to the north-west of the city centre of Georgetown, Penang's capital. It is Penang's premier lifestyle shopping mall and a one-stop shopping and entertainment destination catering to both family and tourists arriving in Penang.

Gurney Plaza is a nine storey shopping complex with two levels of basements comprising nine floors of retail space from Basement 1 to the 7th floor and car park spaces at the two basement levels, the 4th to 8th floors and on the rooftop. As Penang's premier shopping mall, it houses various well-known brands for shopping, dining and entertainment.

Gurney Plaza is anchored by Parkson and is the only mall in the state of Penang to carry well-established international brands such as Coach, Rolex, Tissot, Omega, ToyWatch, Cerruti 1881, Pandora, Cache Cache, Dorothy Perkins, Fossil, CK Jeans, M.A.C, Kiehl's and Birkenstock. With many food and beverage outlets located within the mall, Gurney Plaza is also a popular destination for food lovers.

CENTRE MANAGEMENT

Lawrence Teh

Centre Manager

Vanessa Lee

Assistant Leasing Manager

Peter Chan

Marcom Manager

Yeoh Kim Bock

Operations Manager

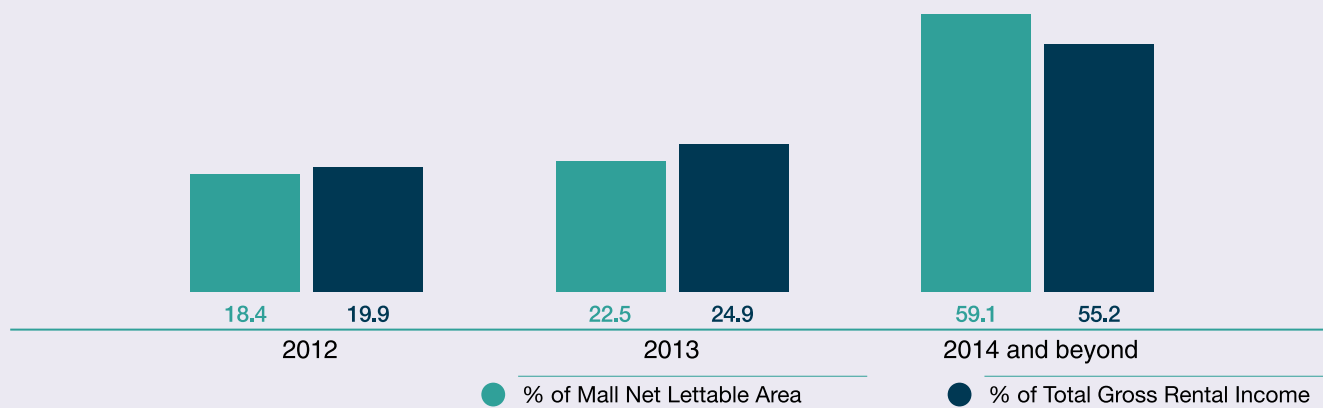
Gurney Plaza Property Information

Title	No. H.S.(D) 17259, No. PT Lot 5626, Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang
Net Lettable Area (as at 31 December 2011)	872,406 sq ft
Number of Committed Leases (as at 31 December 2011)	373
Committed Occupancy (as at 31 December 2011)	98.5%
Car Park Lots	1,836
Market Valuation Conducted by CB Richard Ellis (Malaysia) Sdn Bhd (as at 31 December 2011)	RM1,100.0 million
Gross Revenue (for FY2011 ¹)	RM96.1 million
Net Property Income (for FY2011 ¹)	RM68.6 million
Shopper Traffic in 2011	14.4 million
Key Tenants	Parkson, Padini Concept Store, Esprit, Cold Storage, Nichii, Reject Shop, G2000, Golden Screen Cinemas, Quiksilver and Popular Book Store

¹ Includes the contribution from Gurney Plaza Extension, which was acquired on 28 March 2011.

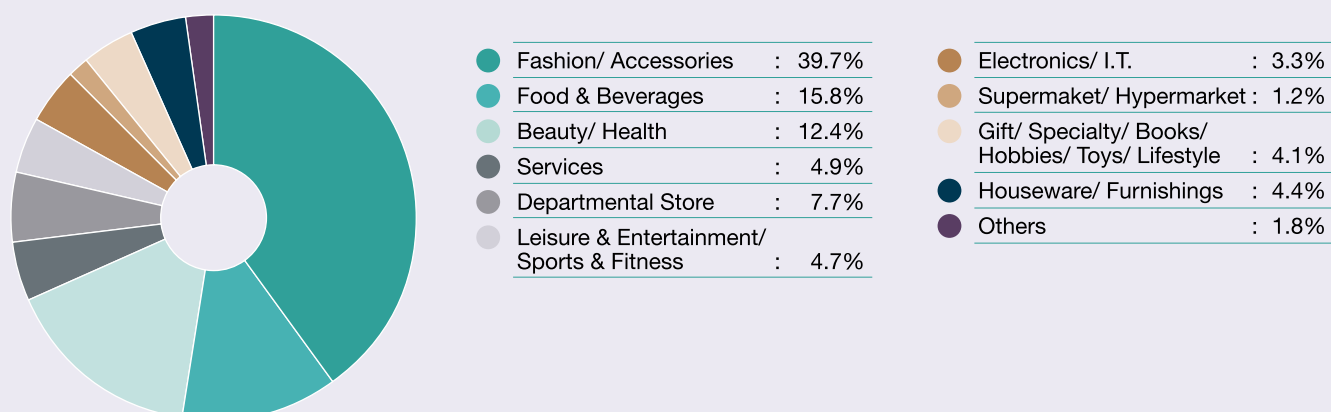
Gurney Plaza - Lease Expiry Profile (%)

(as at 31 December 2011)



Gurney Plaza - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2011)



Gurney Plaza - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2011)



SUNGEI WANG PLAZA



Night View of Sungei Wang Plaza's Façade

Sungei Wang Plaza, which translates as 'the river of gold', opened in 1977. It is one of the most popular shopping centres in Kuala Lumpur's prime shopping and commercial precinct - the 'Golden Triangle' – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi.

A one-stop shopping centre 'for all kinds of everything', Sungei Wang Plaza is also well-known for its unique blend of specialty stores and entertainment outlets that appeal to the mass market. Being strategically located in the Bukit Bintang shopping precinct, it also commands strong patronage from local and international tourists.

Sungei Wang Plaza is an eleven storey retail shopping centre with two basement levels and two elevated levels of car park. The mall is anchored by Parkson Grand and other key tenants within CMMT's strata parcels include F.O.S, Giant, KFC, McDonald's, Roller Sports World, Fashion City and Green Box Karaoke and SUB.

CENTRE MANAGEMENT

Alicia Yuen

Centre Manager

Lynn Chia

Assistant Manager Leasing

Doreen Teh

Marcom Manager

Wong Ying Ying

Operations Manager

Sungei Wang Plaza Property Information¹

Title	205 strata titles held under GRN 11043, Lot 1197 Seksyen 0067, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ²
Net Lettable Area (as at 31 December 2011)	447,800 sq ft
Number of Committed Leases (as at 31 December 2011)	372
Committed Occupancy (as at 31 December 2011)	98.2%
Car Park Lots	1,298
Market Valuation Conducted by PPC International Sdn Bhd (as at 31 December 2011)	RM792.0 million
Gross Revenue (for FY2011)	RM70.8 million
Net Property Income (for FY2011)	RM54.4 million
Shopper Traffic in 2011	23.9 million
Key Tenants	Parkson, F.O.S, Giant, KFC, McDonald's, Roller Sports World, Fashion City, Green Box Karaoke and SUB

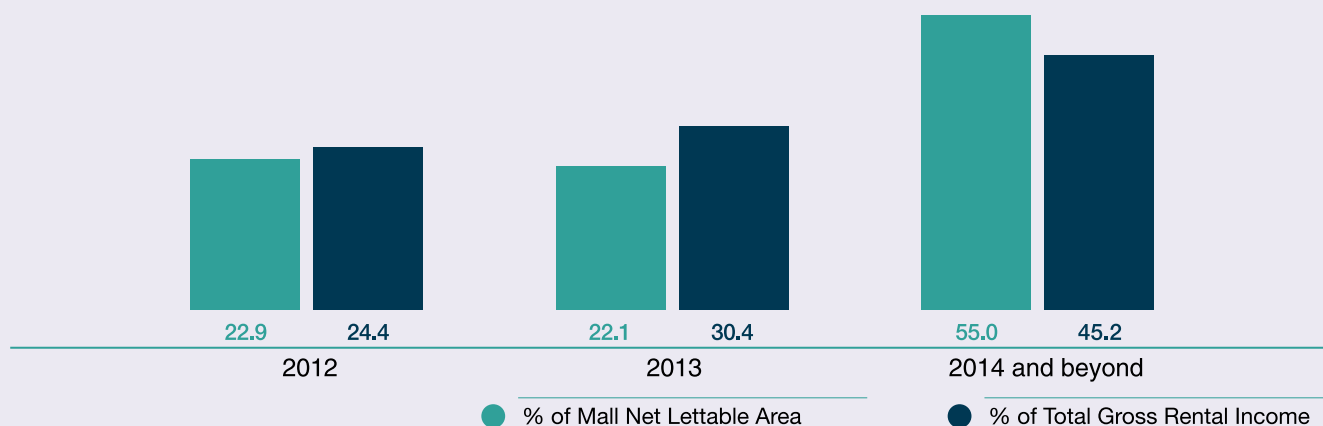
¹ All information in this table and pertaining to the lease expiry profile, top 10 tenants and trade sector analysis pertain to CMMT's interest in Sungei Wang Plaza.

The strata titles to Sungei Wang Plaza have been issued and the management corporation, Sungei Wang Plaza Management Corporation, is responsible for the maintenance and management of common areas within Sungei Wang Plaza, as well as mall-specific marketing and events.

² The land title particulars stated in the table is in respect of the master title to Sungei Wang Plaza. The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).

Sungei Wang Plaza - Lease Expiry Profile (%)

(as at 31 December 2011)



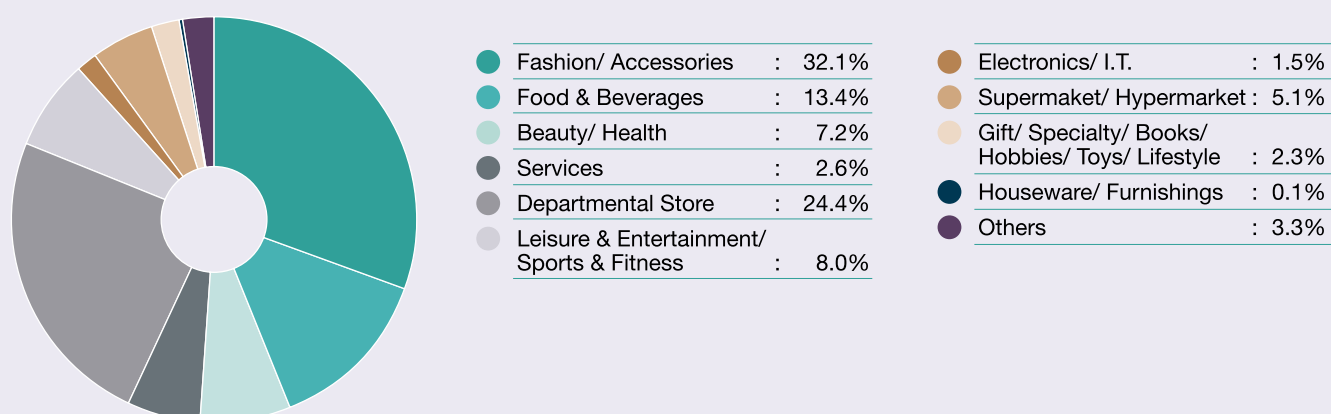
Sungei Wang Plaza - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2011)



Sungei Wang Plaza - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2011)



THE MINES



Evening View of The Mines's Façade

The Mines is located about fifteen kilometres south of Kuala Lumpur City Centre and within one kilometre from the Seri Kembangan town centre. It is a suburban family mall targeted at residents residing in and working in the southern region of Kuala Lumpur and Selangor.

The Mines has five levels of retail and car park area and is well-known for its Venetian-like internal water canal and a wet-and-dry playground located at its rooftop (known as the Splash Park). The Mines underwent a massive asset enhancement exercise in 2008-2009, which transformed it into a modern and fashionable suburban mall with extensive retail offerings catering to all market segments.

The Mines is anchored by Giant with other key tenants including Challenger IT Megastore, Cobay, Celebrity Fitness, Voir Gallery, Daiso, Ace Hardware, Spices of Malaysia, Courts, TGV Cinemas, Nichii, Mines Bowl, F.O.S, Reject Shop, Kitschen and SenQ.

CENTRE MANAGEMENT

Fern Tan

Centre Manager

Janice Chen

Leasing Manager

Alan Cheong

Marcom Manager

Anandan Perumal

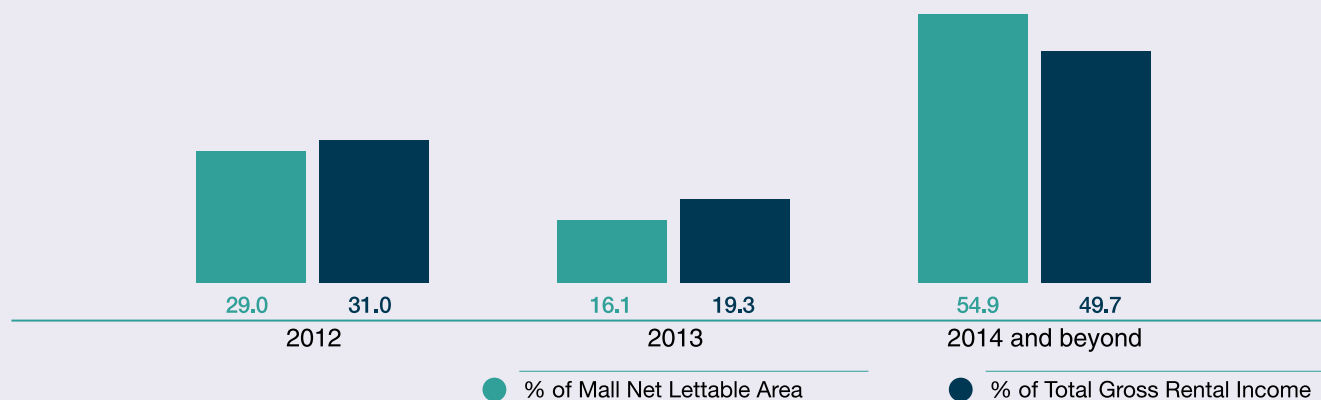
Operations Manager

The Mines Property Information

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor
Net Lettable Area (as at 31 December 2011)	717,550 sq ft
Number of Committed Leases (as at 31 December 2011)	375
Committed Occupancy (as at 31 December 2011)	98.8%
Car Park Lots	1,282
Market Valuation Conducted by PPC International Sdn Bhd (as at 31 December 2011)	RM559.0 million
Gross Revenue (for FY2011)	RM59.4 million
Net Property Income (for FY 2011)	RM36.4million
Shopper Traffic in 2011	11.9 million
Key Tenants	Giant, Challenger IT Megastore, Cobay, Celebrity Fitness, Voir Gallery, Daiso, Ace Hardware, Spices of Malaysia, Courts, TGV Cinemas, Nichii, Mines Bowl, F.O.S, Reject Shop, Kitschen and SenQ

The Mines - Lease Expiry Profile (%)

(as at 31 December 2011)



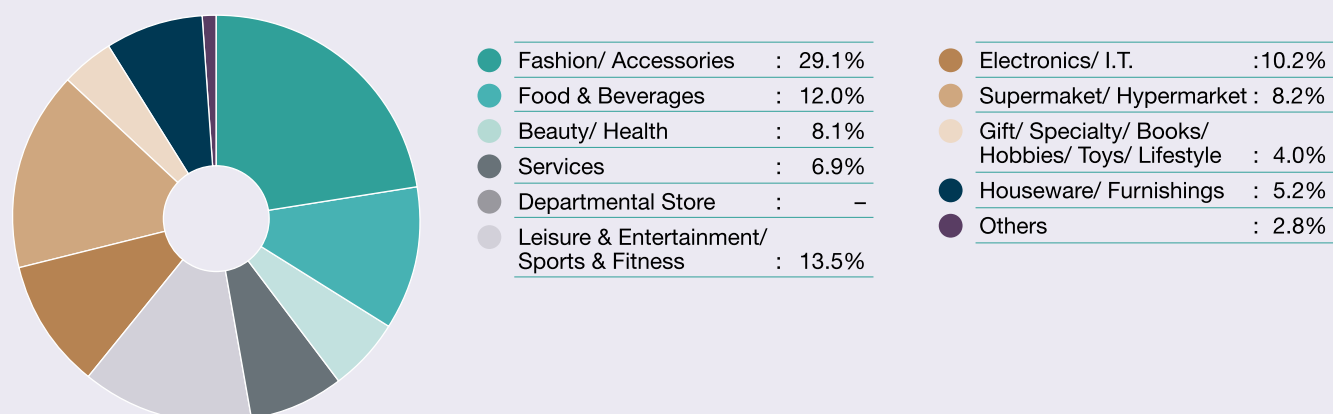
The Mines - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2011)



The Mines - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2011)



EAST COAST MALL



Day View of The East Coast Mall's Façade

East Coast Mall is strategically located in the heart of Kuantan's city centre in Pahang, which is the third largest state in Malaysia by geographical size. It is a modern family lifestyle mall and is part of the Putra Square development, which also comprises Zenith Hotel as well as the Sultan Ahmad Shah International Convention Centre.

The building is a four storey shopping complex with one level of basement and car parks located on the rooftop, third floor and surface level. With an established mix of domestic and international retailers, East Coast Mall is the market leader in Kuantan. Besides local patronage, the mall also attracts shoppers from towns within the neighbouring state of Terengganu.

East Coast Mall is anchored by department store Parkson and Carrefour hypermarket, while other key tenants include Golden Screens Cinema, Padini Concept Store, Brands Outlet, F.O.S Kids & Teens, KFC, F.O.S, Wah Chan and East Coast Mall IT Centre.

CENTRE MANAGEMENT

Chai Wen Yew
Centre Manager

Allan Tay
Assistant Leasing Manager

Alan Cheong
Marcom Manager

Chandrasegaram S Menon
Operations Manager

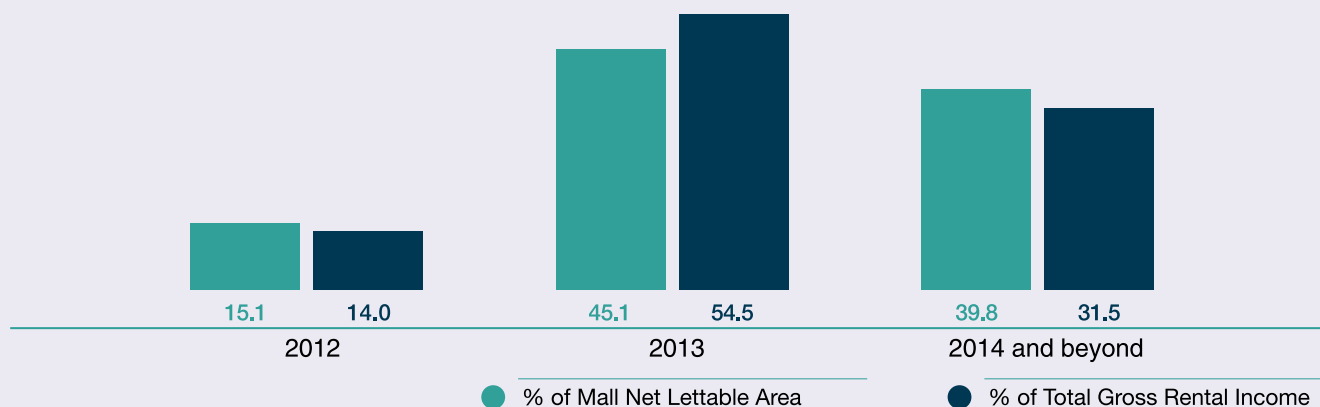
East Coast Mall Property Information

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang
Net Lettable Area (as at 31 December 2011)	441,522 sq ft
Number of Committed Leases (as at 31 December 2011)	186
Committed Occupancy (as at 31 December 2011)	98.9%
Car Park Lots	1,170
Market Valuation Conducted by PPC International Sdn Bhd (as at 31 December 2011)	RM330.0 million
Gross Revenue (for FP2011 ¹)	RM4.6 million
Net Property Income (for FP2011 ¹)	RM3.0 million
Shopper Traffic in 2011	NA
Key Tenants	Parkson, Carrefour, GSC, Padini Concept Store, Brands Outlet, F.O.S Kids & Teens, KFC, F.O.S, Wah Chan and East Coast Mall IT Centre

¹ For the financial period 14 November to 31 December 2011.

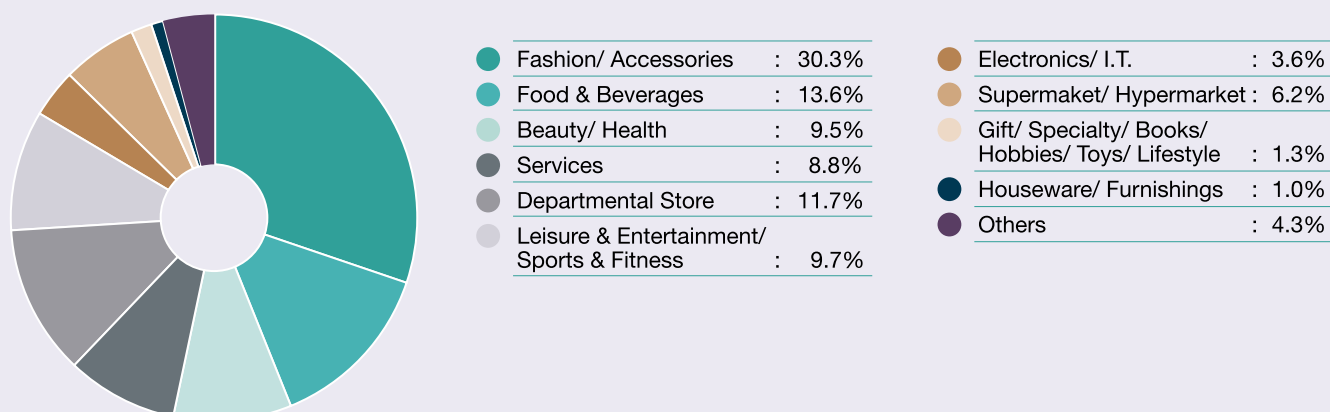
East Coast Mall - Lease Expiry Profile (%)

(as at 31 December 2011)



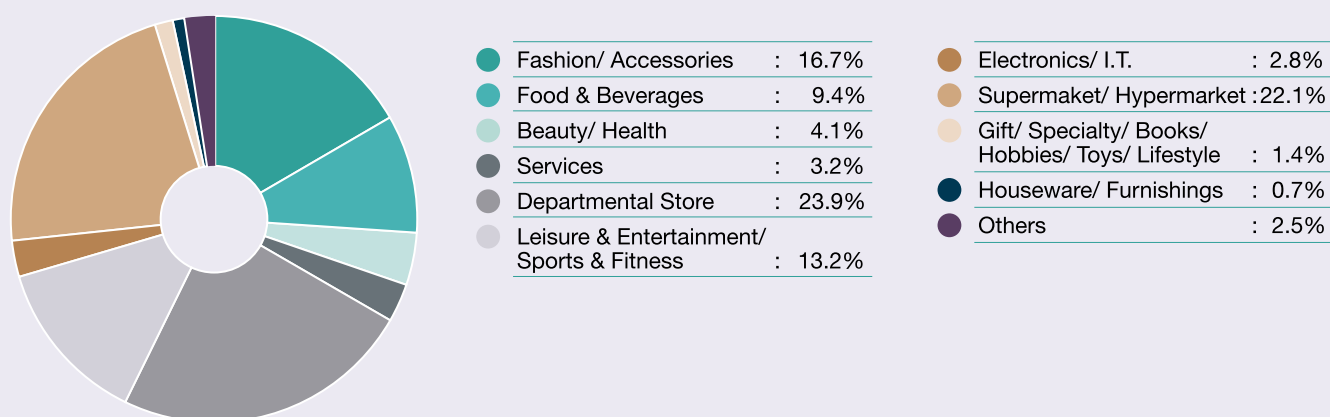
East Coast Mall - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2011)



East Coast Mall - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2011)



PRODUCING RESULTS

- GROSS REVENUE OF
RM230.9 MILLION
- NET PROPERTY INCOME OF
RM162.4 MILLION
- DISTRIBUTABLE INCOME OF
RM118.3 MILLION



FINANCIAL STATEMENTS



Gurney Plaza's Atrium

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93	Trustee's Report	99	Statements of Comprehensive Income
94	Statement by the Manager	101	Statements of Changes in Net Asset Value
95	Statutory Declaration	103	Statements of Cash Flow
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98	Statements of Financial Position		

TRUSTEE'S REPORT

to the unitholders of CapitaMalls Malaysia Trust (Established in Malaysia)

We have acted as Trustee of CapitaMalls Malaysia Trust (CMMT) for the financial year ended 31 December 2011. In our opinion and to the best of our knowledge, CapitaMalls Malaysia REIT Management Sdn. Bhd., the Manager of CMMT, has managed CMMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have also ensured the following:

- (a) the valuation/pricing is carried out in accordance with the Deed and other regulatory requirements; and
- (b) the creation of units is carried out in accordance with the Deed and other regulatory requirements.

We confirm that the income distributions declared and paid during the financial year ended 31 December 2011 are in line with and are reflective of the objectives of CMMT.

For and on behalf of the Trustee,
AmTrustee Berhad



Tan Kok Cheeng
Chief Executive Officer

Date: 17 February 2012

STATEMENT BY THE MANAGER

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CMMT and its subsidiary (the Group). In the opinion of the Directors of the Manager, CapitaMalls Malaysia REIT Management Sdn. Bhd., the financial statements set out on pages 98 to 127 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (the Deed), Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and Financial Reporting Standards in Malaysia so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2011 and of their financial performance and cash flows for the financial year then ended.

In addition, the Directors confirm the following:

SANCTIONS AND/OR PENALTIES

During the financial year there were no sanctions and/or penalties imposed on the Group, its Manager and/or the Directors by any of the relevant regulatory bodies.

MATERIAL CONTRACTS INVOLVING THE GROUP AND SUBSTANTIAL UNITHOLDERS

There are no material contracts involving the Group and substantial unitholders other than the Manager's management fee and other related party transactions disclosed in Note 25 to the financial statements.

OTHER SIGNIFICANT EVENTS

There are no other significant events during the financial year and up to the date of this report.

SIGNIFICANT CHANGES IN THE STATE OF AFFAIRS

There have been no significant changes in the state of affairs of the Trust during the financial year and up to the date of this report other than those disclosed in the financial statements.

CIRCUMSTANCES WHICH MATERIALLY AFFECT THE INTERESTS OF UNITHOLDERS

There are no circumstances which materially affect the interests of unitholders.

CHANGES IN MATERIAL LITIGATION

The Manager is not aware of any pending material litigation since 31 December 2011 up to the date of this report.

MANAGER'S REMUNERATION AND SOFT COMMISSION

The Manager's remuneration is accrued and paid in accordance with the Deed. No fee or commission has been earned by the Manager in managing CMMT other than disclosed in Note 12 to the financial statements.

During the financial year, the Manager did not receive any soft commission (i.e. goods and services) from its broker, by virtue of any transaction conducted by CMMT.

INFORMATION ON DIRECTORS

There are no family relationships among the Directors and/or substantial unitholders. None of the Directors has any conflict of interest with CMMT save for the Directors' interest in CMMT as disclosed in Note 8 to the financial statements. None of the Directors has been convicted of any offences, other than traffic offences, in the past ten years.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 17 February



Kee Teck Koon
Chairman



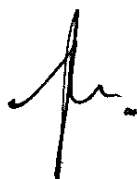
Sharon Lim Hwee Li
Chief Executive Officer

Date: 17 February 2012

STATUTORY DECLARATION

I, Low Peck Chen, the officer of CapitaMalls Malaysia REIT Management Sdn. Bhd., primarily responsible for the financial management of CapitaMalls Malaysia Trust, do solemnly and sincerely declare that the financial statements set out on pages 98 to 127, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur on 17 February 2012.



Low Peck Chen

Before me:



Tingkat Dataran
No: 9, Jalan Tuanku
Abdul Rahman
50100 Kuala Lumpur.

INDEPENDENT AUDITORS' REPORT

to the unitholders of CapitaMalls Malaysia Trust (Established in Malaysia)

REPORT ON THE FINANCIAL STATEMENTS

We have audited the financial statements of CapitaMalls Malaysia Trust (CMMT), which comprise the statements of financial position as at 31 December 2011 of the Group and of CMMT, and the statements of comprehensive income, statements of changes in net asset value and cash flows of the Group and of CMMT for the financial year then ended, and a summary of significant accounting policies and other explanatory notes, as set out on pages 98 to 127.

RESPONSIBILITY OF THE DIRECTORS OF THE MANAGER FOR THE FINANCIAL STATEMENTS

The Directors of the Manager of CMMT are responsible for the preparation and fair presentation of these financial statements in accordance with the Deed dated 7 June 2010, Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to CMMT's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of CMMT's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors of the Manager, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the financial statements have been properly drawn up in accordance with the Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of CMMT as of 31 December 2011 and of their financial performance and cash flows for the financial year then ended.

OTHER REPORTING RESPONSIBILITIES

Our audit was made for the purpose of forming an opinion on the financial statements taken as a whole. The information on the breakdown of realised and unrealised profits or losses included in the statements of changes in net asset value of the financial statements have been compiled by CMMT as required by the Bursa Malaysia Securities Berhad Listing Requirements and is not a required part of the financial statements. We have extended our audit procedures to report on the process of compilation of such information. In our opinion, the information has been properly compiled, in all material respects, in accordance with the Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosures Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, issued by the Malaysian Institute of Accountants and presented based on the format prescribed by Bursa Malaysia Securities Berhad.

INDEPENDENT AUDITORS' REPORT

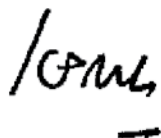
to the unitholders of CapitaMalls Malaysia Trust (Established in Malaysia)

Annual 20
Report 11
CapitaMalls Malaysia Trust

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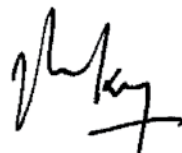
OTHER MATTERS

This report is made solely to the unitholders of CMMT and for no other purpose. We do not assume responsibility to any other person for the content of this report.



KPMG

Firm Number: AF 0758
Chartered Accountants



Foong Mun Kong

Approval Number: 2613/12/12(J)
Chartered Accountant

Petaling Jaya,
Date: 17 February 2012

STATEMENTS OF FINANCIAL POSITION

as at 31 December 2011

	Note	Group 2011 RM'000	Trust 2011 RM'000	2010 RM'000
Assets				
Plant and equipment	3	1,093	1,093	1,097
Investment properties	4	2,781,000	2,781,000	2,143,000
Investment in subsidiary	5	-	*	-
Total non-current assets		2,782,093	2,782,093	2,144,097
Trade and other receivables	6	9,192	9,184	6,692
Cash and cash equivalents	7	115,417	115,417	127,431
Total current assets		124,609	124,601	134,123
Total assets		2,906,702	2,906,694	2,278,220
Equity				
Unitholders' capital	8	1,806,696	1,806,696	1,325,560
Undistributed profit		145,147	145,154	109,396
Total unitholders' funds		1,951,843	1,951,850	1,434,956
Liabilities				
Borrowings	9	815,231	815,231	745,122
Trade and other payables	10	47,186	47,186	23,512
Total non-current liabilities		862,417	862,417	768,634
Borrowings	9	9,000	9,000	-
Trade and other payables	10	83,442	83,427	74,630
Total current liabilities		92,442	92,427	74,630
Total liabilities		954,859	954,844	843,264
Total equity and liabilities		2,906,702	2,906,694	2,278,220
Net assets value (NAV)				
- before income distribution		1,951,843	1,951,850	1,434,956
- after income distribution		1,931,748	1,931,755	1,389,046
Units in circulation ('000)	8	1,762,652	1,762,652	1,350,000
NAV per unit (RM)				
- before income distribution		1.1073	1.1073	1.0629
- after income distribution		1.0959	1.0959	1.0289

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad (formerly known as Accord Arena Sdn. Bhd. and CMMT MTN Sdn. Bhd.).

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF COMPREHENSIVE INCOME

for the financial year ended 31 December 2011

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	Note	Group Year ended 31.12.2011 RM'000	Year ended 31.12.2011 RM'000	Trust 7.6.2010 to 31.12.2010 RM'000
Gross rental income		193,995	193,995	80,129
Car park income		15,029	15,029	6,411
Other revenue		21,863	21,863	8,096
Gross revenue		230,887	230,887	94,636
Maintenance expenses		(19,798)	(19,798)	(9,333)
Utilities		(24,036)	(24,036)	(10,041)
Other operating expenses	11	(24,658)	(24,658)	(9,437)
Property operating expenses		(68,492)	(68,492)	(28,811)
Net property income		162,395	162,395	65,825
Interest income		3,063	3,063	954
Other non-operating income	15	2,305	2,305	-
Fair value gain of investment properties		68,910	68,910	81,347
Net investment income		236,673	236,673	148,126
Manager's management fee	12	(16,286)	(16,286)	(6,506)
Trustee's fee	13	(464)	(464)	(199)
Auditor's fee		(142)	(140)	(100)
Tax agent's fee		(20)	(20)	(21)
Valuation fee		(250)	(250)	(30)
Finance costs	14	(38,707)	(38,707)	(17,319)
Other non-operating expenses	15	(990)	(985)	(14,555)
Total non-operating and trust expenses		(56,859)	(56,852)	(38,730)
Profit before taxation		179,814	179,821	109,396
Tax expense	16	-	-	-
Profit for the financial year/period¹		179,814	179,821	109,396
Other comprehensive income, net of tax		-	-	-
Total comprehensive income for the financial year/period		179,814	179,821	109,396
Less: Distribution adjustments	A	(61,531)	(61,538)	(63,486)
Income available for distribution		118,283	118,283	45,910
Distributable income²		118,258	118,258	45,900

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF COMPREHENSIVE INCOME

for the financial year ended 31 December 2011

	Note	Group Year ended 31.12.2011 RM'000	Trust Year ended 31.12.2011 RM'000	7.6.2010 to 31.12.2010 RM'000
Total comprehensive income for the financial year/period is made up as follows:				
Realised		110,904	110,911	28,049
Unrealised		68,910	68,910	81,347
		179,814	179,821	109,396
Earnings per unit (sen)	17			
- before Manager's management fee		13.09	13.09	8.59
- after Manager's management fee		12.00	12.00	8.10
Distribution per unit (DPU) (sen)				
- for the financial year/period		7.87	7.87	3.40
- annualised		7.87	7.87	7.26
Income distribution ³				
Distribution of 3.40 sen per unit from 14.7.2010 to 31.12.2010			-	45,900
Distribution of 1.74 sen per unit from 1.1.2011 to 24.3.2011			23,490	-
Distribution of 2.16 sen per unit from 25.3.2011 to 30.6.2011			32,289	-
Distribution of 2.83 sen per unit from 1.7.2011 to 10.11.2011			42,384	-
Proposed distribution of 1.14 sen per unit from 11.11.2011 to 31.12.2011 ⁴	27		20,095	-
			118,258	45,900
Note A				
Distribution adjustments comprise:				
Fair value gain of investment properties	4	(68,910)	(68,910)	(81,347)
Manager's management fee payable in units		7,714	7,714	3,127
Listing expenses	15	(2,085)	(2,085)	14,000
Depreciation	3	527	527	294
Amortisation of transaction costs on borrowings	14	920	920	440
Net loss from subsidiary ⁵		7	-	-
Other tax adjustments		296	296	-
		(61,531)	(61,538)	(63,486)

¹ CMMT was established on 7 June 2010 and registered with Securities Commission Malaysia on 9 June 2010. The acquisition by CMMT of the properties was completed on 14 July 2010 and CMMT was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. The comparative financial results reported refer to the financial period from 14 July 2010 to 31 December 2010.

² The difference between income available for distribution and distributable income is due to the rollover adjustment for the rounding effect of DPU.

³ Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.

⁴ The proposed final income distribution will be recognised in the immediate subsequent financial year.

⁵ Net loss from subsidiary relates to the newly acquired entity as set out in Note 5.

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CHANGES IN NET ASSET VALUE

for the financial year ended 31 December 2011

Group	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Unrealised RM'000	Total unitholders' funds RM'000
At 1 January 2011	1,325,560	28,049	81,347	1,434,956
Total comprehensive income for the financial year	-	110,904	68,910	179,814
Increase in net assets resulting from operations	1,325,560	138,953	150,257	1,614,770
Unitholders' transactions				
- Issue of new units	483,550	-	-	483,550
- Units issued as part satisfaction of the Manager's management fee	6,808	-	-	6,808
- Placement expenses	(9,222)	-	-	(9,222)
- Distribution paid to unitholders	-	(144,063)	-	(144,063)
Increase in net assets resulting from unitholders' transactions	481,136	(144,063)	-	337,073
At 31 December 2011	1,806,696	(5,110)	150,257	1,951,843

Note 8

STATEMENTS OF CHANGES IN NET ASSET VALUE

for the financial year ended 31 December 2011

Trust	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Unrealised RM'000	Total unitholders' funds RM'000
At 7 June 2010 (Date of establishment)	-	-	-	-
Total comprehensive income for the financial period	-	28,049	81,347	109,396
Increase in net assets resulting from operations	-	28,049	81,347	109,396
Unitholders' transactions				
- Issue of new units	1,325,560	-	-	1,325,560
Increase in net assets resulting from unitholders' transactions	1,325,560	-	-	1,325,560
At 31 December 2010/1 January 2011	1,325,560	28,049	81,347	1,434,956
Total comprehensive income for the financial year	-	110,911	68,910	179,821
Increase in net assets resulting from operations	1,325,560	138,960	150,257	1,614,777
Unitholders' transactions				
- Issue of new units	483,550	-	-	483,550
- Units issued as part satisfaction of the Manager's management fee	6,808	-	-	6,808
- Placement expenses	(9,222)	-	-	(9,222)
- Distribution paid to unitholders	-	(144,063)	-	(144,063)
Increase in net assets resulting from unitholders' transactions	481,136	(144,063)	-	337,073
At 31 December 2011	1,806,696	(5,103)	150,257	1,951,850

Note 8

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOW

for the financial year ended 31 December 2011

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	Note	Group Year ended 31.12.2011 RM'000	Trust Year ended 31.12.2011 RM'000	7.6.2010 to 31.12.2010 RM'000
Cash flows from operating activities				
Profit before taxation		179,814	179,821	109,396
Adjustments for:				
Manager's management fee payable in units		7,714	7,714	3,127
Depreciation	3	527	527	294
Fair value gain of investment properties	4	(68,910)	(68,910)	(81,347)
Finance costs	14	38,707	38,707	17,319
Interest income		(3,063)	(3,063)	(954)
Listing expenses	15	(2,085)	(2,085)	14,000
Operating profit before changes in working capital		152,704	152,711	61,835
Changes in working capital:				
Trade and other receivables		(2,500)	(2,493)	(6,692)
Trade and other payables		25,128	25,114	76,475
Net cash from operating activities		175,332	175,332	131,618
Cash flows from investing activities				
Acquisition of plant and equipment	3	(523)	(523)	(1,391)
Acquisition of investment properties		(532,659)	(532,659)	(750,000)
Capital expenditure on investment properties		(27,775)	(27,775)	(3,657)
Investment in subsidiary		*	*	-
Interest received		3,063	3,063	954
Net cash used in investing activities		(557,894)	(557,894)	(754,094)
Cash flows from financing activities				
Interest paid		(37,472)	(37,472)	(6,760)
Distribution paid to unitholders		(144,063)	(144,063)	-
Proceeds from issuance of new units		483,550	483,550	21,560
Payment of financing expenses		(561)	(561)	(5,318)
Payment of listing expenses		(9,656)	(9,656)	(9,575)
Proceeds from interest bearing borrowings		78,750	78,750	750,000
Net cash from financing activities		370,548	370,548	749,907
Net (decrease)/increase in cash and cash equivalents		(12,014)	(12,014)	127,431
Cash and cash equivalents at 1 January/ date of establishment		127,431	127,431	-
Cash and cash equivalents at 31 December	7	115,417	115,417	127,431

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad (formerly known as Accord Arena Sdn. Bhd. and CMMT MTN Sdn. Bhd.).

The accompanying notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

CapitaMalls Malaysia Trust (CMMT or the Trust) is a Malaysia domiciled real estate investment trust constituted by a deed dated 7 June 2010 (the Deed) entered into between CapitaMalls Malaysia REIT Management Sdn. Bhd. (the Manager) and AmTrustee Berhad (the Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 9 June 2010 and is regulated by the SC, the SC's Guidelines on Real Estate Investment Trusts (REITs Guidelines), the Listing Requirement of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and requirements.

CMMT is listed on the Main Market of Bursa Malaysia Securities Berhad.

The consolidated financial statements reported for the financial year ended 31 December 2011 relates to the Trust and its subsidiary (the Group).

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiary is as disclosed in Note 5 to the financial statements. There have been no significant changes in the nature of these activities during the financial year.

The principal activity of the Manager is to manage and administer CMMT. The Manager, incorporated in Malaysia, is a subsidiary of CapitaLand Retail RECM Pte. Ltd. which is a wholly-owned subsidiary of CapitaMalls Asia Limited (CMA). Both companies are incorporated in Singapore.

The Manager's registered office and principal place of business are as follows:

Level 2, Ascott Kuala Lumpur
No 9, Jalan Pinang
50450 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 17 February 2012.

1. BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Financial Reporting Standards (FRSs) and accounting principles generally accepted in Malaysia.

The following are accounting standards, amendments and interpretations of the FRS framework that have been issued by the Malaysian Accounting Standards Board (MASB) but have not been adopted by the Group and the Trust:

FRSs, Interpretations and amendments effective for annual periods beginning on or after 1 July 2011

- IC Interpretation 19, *Extinguishing Financial Liabilities with Equity Instruments*
- Amendments to IC Interpretation 14, *Prepayments of a Minimum Funding Requirement*

FRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2012

- FRS 124, *Related Party Disclosures* (revised)
- Amendments to FRS 1, *First-time Adoption of Financial Reporting Standards – Severe Hyperinflation and Removal of Fixed Dates for First-time Adopters*
- Amendments to FRS 7, *Financial Instruments: Disclosures – Transfers of Financial Assets*
- Amendments to FRS 112, *Income Taxes – Deferred Tax: Recovery of Underlying Assets*

FRSs, Interpretations and amendments effective for annual periods beginning on or after 1 July 2012

- Amendments to FRS 101, *Presentation of Financial Statements – Presentation of Items of Other Comprehensive Income*

NOTES TO THE FINANCIAL STATEMENTS

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1. BASIS OF PREPARATION (continued)

(a) Statement of compliance (continued)

FRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2013

- FRS 9, *Financial Instruments* (2009)
- FRS 9, *Financial Instruments* (2010)
- FRS 10, *Consolidated Financial Statements*
- FRS 11, *Joint Arrangements*
- FRS 12, *Disclosure of Interests in Other Entities*
- FRS 13, *Fair Value Measurement*
- FRS 119, *Employee Benefits* (2011)
- FRS 127, *Separate Financial Statements* (2011)
- FRS 128, *Investments in Associates and Joint Ventures* (2011)
- IC Interpretation 20, *Stripping Costs in the Production Phase of a Surface Mine*

The financial statements of the Group and of the Trust for annual period beginning on 1 January 2012 will be prepared in accordance with the Malaysian Financial Reporting Standards (MFRSs) issued by the MASB and International Financial Reporting Standards (IFRSs). As a result, the Group and the Trust will not be adopting the above FRSs, Interpretations and amendments.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group's and the Trust's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

(d) Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised and in any future years affected.

There are no significant areas of estimation uncertainty and critical judgement in applying accounting policies that have significant effect on the amounts recognised in the financial statements other than as disclosed in Note 4.

2. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, and have been applied consistently by Group entities, unless otherwise stated.

(a) Consolidation

Subsidiary

Subsidiary is an entity controlled by the Trust. Control exists when the Trust has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, potential voting rights that presently are exercisable are taken into account.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income or expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investees. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

Accounting for subsidiary by the Trust

Investment in subsidiary is stated in the Trust's statement of financial position at cost less accumulated impairment losses.

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Trust.

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies at the end of the financial year are translated to the functional currency at the exchange rates at that date. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date fair value was determined. Foreign currency differences arising on retranslation are recognised in the profit or loss.

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

Gains and losses on disposal of an item of plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and are recognised net within "other operating income" or "other operating expenses" respectively in the profit or loss.

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and to the Trust and their costs can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of equipment are recognised in the profit or loss as incurred.

NOTES TO THE FINANCIAL STATEMENTS

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2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(c) Plant and equipment (continued)

(iii) Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment.

The estimated useful lives are as follows:

Computer	2 - 3 years
Office equipment	3 years

Depreciation methods, useful lives and residual values are reassessed at the end of the financial year.

(d) Investment properties

Investment properties are properties held under leasehold or freehold interest either to earn rental income or for capital appreciation or for both. They do not include properties for sale in the ordinary course of business, used in the production or supply of goods or services, or for administrative purposes. Investment properties are initially recognised at cost including transaction costs, and subsequently at fair value with any change therein recognised in the profit or loss for the year in which they arise.

Fair value is determined in accordance with the Deed and the REITs Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined once every six months based on internal valuation or independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in the profit or loss in the year in which the item is derecognised.

Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or CMMT may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

(e) Leases

Lessees of an operating lease

Where the Group and the Trust have the use of assets under operating leases, payments made under the leases are recognised in the profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised in the profit or loss as an integral part of the total lease payments made. Contingent rents are charged to the profit or loss in the financial year in which they are incurred.

Lessors of an operating lease

Assets of the Group and of the Trust subject to operating leases are included in investment properties and are stated at fair value and not depreciated.

(f) Financial instruments

Non-derivative financial instruments

Non-derivative financial instruments comprise trade and other receivables, cash and cash equivalents, borrowings and trade and other payables.

(i) Trade and other receivables

Trade and other receivables are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method, less impairment losses, if any.

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(f) Financial instruments (continued)

(ii) Cash and cash equivalents

Cash and cash equivalents comprise cash balances and bank deposits.

(iii) Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest bearing borrowings are stated at amortised cost using the effective interest method.

(iv) Trade and other payables

Trade and other payables are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method.

(v) Provision

A provision is recognised if, as a result of a past event, the Group and the Trust have a present or legal or constructive obligation that can be estimated reliably and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

A financial instrument is recognised if the Group and the Trust become parties to the contractual provisions of the instrument. Financial assets are derecognised if the Group's and the Trust's contractual rights to the cash flow from the financial assets expire or if the Group and the Trust transfer the financial asset to another party without retaining control or if the Group and the Trust transfer substantially all the risks and rewards of the asset. Regular way purchases and sales of financial assets are accounted for at trade date, i.e. the date that the Group and the Trust commit themselves to purchase or sell the asset. Financial liabilities are derecognised if the Group's and the Trust's obligations specified in the contract expire or are discharged or cancelled.

(g) Impairment

(i) Financial assets

A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of the assets.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognised in the profit or loss. An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost, the reversal is recognised in the profit or loss.

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2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(g) Impairment (continued)

(ii) Other assets

The carrying amounts of the Group's and of the Trust's other assets, other than investment properties, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset and cash generating unit.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment losses are recognised in the profit or loss.

(h) Revenue recognition

(i) Rental income

Rental income from leasing out of shopping mall shops and space is recognised in the profit or loss on a straight line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fee. Contingent rents, which include gross turnover rent, are recognised as income in the financial year on an accrual basis. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised on an accrual basis.

(i) Interest income

Interest income is recognised as it accrues, using the effective interest method.

(j) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fees, property management reimbursements, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of CMMT and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 12.

(iii) Trustee's fee

The Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 13.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in the profit or loss using the effective interest method over the period of borrowings.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(k) Tax expense

Tax expense comprises current and deferred tax. Tax expense is recognised in the statement of comprehensive income.

Current tax is the expected tax payable on the taxable income for the reporting period, using tax rates enacted or substantively enacted at the end of the reporting period.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit (tax loss). Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax liability is recognised for all taxable temporary differences.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3. PLANT AND EQUIPMENT

Group and the Trust	Computer RM'000	Office equipment RM'000	Total RM'000
Cost			
At date of establishment	-	-	-
Additions	383	1,008	1,391
At 31 December 2010/1 January 2011	383	1,008	1,391
Additions	191	332	523
At 31 December 2011	574	1,340	1,914
Accumulated depreciation			
At date of establishment	-	-	-
Depreciation for the period	114	180	294
At 31 December 2010/1 January 2011	114	180	294
Depreciation for the year	184	343	527
At 31 December 2011	298	523	821
Carrying amounts			
At 31 December 2010	269	828	1,097
At 31 December 2011	276	817	1,093

4. INVESTMENT PROPERTIES

Group and the Trust	2011 RM'000	2010 RM'000
At 1 January/date of establishment	2,143,000	-
Acquisition of investment properties	533,248	2,054,000
Capital expenditure capitalised	39,838	3,657
Acquisition charges (reversed)/capitalised	(3,996)	3,996
Fair value adjustment	68,910	81,347
At 31 December	2,781,000	2,143,000

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4. INVESTMENT PROPERTIES (continued)

During the financial year, CMMT acquired Gurney Plaza Extension, on 28 March 2011, and East Coast Mall, on 14 November 2011, for a total consideration of RM218,602,000 and RM314,646,000 respectively. The reversal of acquisition charges during the financial year was related to the adjustment of the registration fee previously provided for the transfer of Gurney Plaza's land title which was no longer required.

Investment properties refer to shopping malls which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CMMT's lease agreements generally contain an initial non-cancellable period of three (3) years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Gross turnover rent of RM7,056,000 (2010: RM2,030,000), which represents CMMT's contingent rent, was recognised as income in the financial year.

Gurney Plaza (including Gurney Plaza Extension) and The Mines, collectively equivalent to RM1,659,000,000 (2010: RM1,398,000,000), are pledged as securities for bank borrowings as disclosed in Note 9. East Coast Mall and the CMMT's 205 strata titles in Sungei Wang Plaza are not encumbered as at the reporting date.

Details of the investment properties are as follows:

	Date of acquisition	Date of valuation	Location	Tenure	Cost of investment ¹ RM'000	Fair value at 31 December 2011 RM'000	% of fair value to NAV at 31 December 2011 %
Gurney Plaza ²	14 Jul 2010 & 28 Mar 2011	31 Dec 2011	Penang	Freehold	1,041,405	1,100,000	56.4
Sungei Wang Plaza	14 Jul 2010	31 Dec 2011	Kuala Lumpur	Freehold	725,522	792,000	40.6
The Mines	14 Jul 2010	31 Dec 2011	Selangor	Leasehold ³	547,178	559,000	28.6
East Coast Mall	14 Nov 2011	31 Dec 2011	Pahang	Leasehold ³	316,638	330,000	16.9
					2,630,743	2,781,000	

¹ Cost of investment comprises purchase consideration and capital expenditure incurred from inception up to the end of the financial year.

² Includes Gurney Plaza Extension which was acquired on 28 March 2011.

³ The lease has an unexpired lease period of more than 50 years.

Investment properties are stated at fair values based on valuations performed by independent professional valuers based on the income capitalisation approach (investment method) of valuation. In determining the fair values, the valuers have used valuation techniques which involved certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates are reflective of current market conditions.

All land/strata titles have been transferred and registered in the name of the Trustee.

The following are recognised in the profit or loss in respect of investment properties:

	Group Year ended 31.12.2011 RM'000	Year ended 31.12.2011 RM'000	Trust 7.6.2010 to 31.12.2010 RM'000
Gross revenue	230,887	230,887	94,636
Less: Direct operating expenses	(68,492)	(68,492)	(28,811)
	162,395	162,395	65,825

NOTES TO THE FINANCIAL STATEMENTS

5. INVESTMENT IN SUBSIDIARY

	Trust	
	2011 RM'000	2010 RM'000
At cost		
Unquoted shares	*	-

During the financial year, CMMT invested 100% equity interest in CMMT MTN Berhad (formerly known as Accord Arena Sdn. Bhd. and CMMT MTN Sdn. Bhd.), an unlisted limited liability company, incorporated in Malaysia on 11 November 2011. Its intended principal activity is for the purpose of raising financing on behalf of the Trust in the future.

*Denotes RM2.

6. TRADE AND OTHER RECEIVABLES

	Group 2011 RM'000	Trust 2011 RM'000	2010 RM'000
Trade			
Trade receivables	5,245	5,245	4,601
Less: Allowance for impairment losses	(536)	(536)	(160)
	4,709	4,709	4,441
Non-trade			
Deposits	63	63	55
Interest receivable	242	242	105
Prepayments	606	606	180
Other receivables	3,572	3,564	1,911
	4,483	4,475	2,251
	9,192	9,184	6,692

The ageing of the trade receivables at the end of the financial year/period is as follows:

	Gross amount RM'000	Allowance for impairment losses RM'000
2011		
Not past due	156	-
Past due 1-30 days	3,247	80
Past due 31-90 days	817	145
More than 90 days	1,025	311
	5,245	536
2010		
Not past due	109	-
Past due 1-30 days	3,327	-
Past due 31-90 days	874	38
More than 90 days	291	122
	4,601	160

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6. TRADE AND OTHER RECEIVABLES (continued)

The movement in allowance for impairment losses of trade receivables during the financial year/period is as follows:

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
At 1 January/date of establishment	160	160	-
Allowance for impairment losses recognised	376	376	160
At 31 December	536	536	160

The Manager of CMMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits are held as collateral.

7. CASH AND CASH EQUIVALENTS

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
Deposits placed with licensed banks	96,890	96,890	120,856
Cash and bank balances	18,527	18,527	6,575
	115,417	115,417	127,431

Gurney Plaza (including Gurney Plaza Extension) and The Mines maintain separate designated revenue accounts with a licensed bank to deposit all rental proceeds as mentioned in Note 9. This forms part of the covenants and the usage of funds in these designated revenue accounts are not restricted as long as no event of default has occurred on the bank borrowings. The balance of the designated revenue accounts at the end of the financial year/period that is included in the cash and bank balances is RM3,277,000 (2010: RM1,453,000).

8. UNITHOLDERS' CAPITAL

Trust	2011 Number of units '000	2010 Number of units '000
Approved fund size:		
At 1 January/date of establishment	1,350,000	1,350,000
Increase during the financial year	650,000	-
At 31 December	2,000,000	1,350,000

NOTES TO THE FINANCIAL STATEMENTS

8. UNITHOLDERS' CAPITAL (continued)

Trust	2011		2010	
	Amount RM'000	Number of units '000	Amount RM'000	Number of units '000
Issued and fully paid:				
At 1 January / date of establishment	1,325,560	1,350,000	1,325,560	1,350,000
Issue of new units	483,550	406,763	-	-
Units issued as part satisfaction of the Manager's management fee	6,808	5,889	-	-
Placement expenses	(9,222)	-	-	-
At 31 December	1,806,696	1,762,652	1,325,560	1,350,000

Unitholdings of the Manager and parties related to the Manager

As at 31 December 2011, the Manager has no direct unitholdings in CMMT. However, the Directors of the Manager and parties related to the Manager held units in CMMT, details of which are as follows:

	Number of units '000	Percentage of unitholding %	Market value** RM'000
2011			
Direct unitholdings of parties related to the Manager			
CMMT Investment Limited	623,938	35.40	898,471
Menang Investment Limited	5,889	0.33	8,480
Skim Amanah Saham Bumiputera*	115,643	6.56	166,526
AS 1 Malaysia*	23,216	1.32	33,431
Amanah Saham Wawasan 2020*	35,049	1.99	50,471
Sekim Amanah Saham Nasional*	5,518	0.31	7,947
Amanah Saham Malaysia*	30,000	1.70	43,200
Amanah Saham Nasional 2*	2,518	0.14	3,627
Amanah Saham Nasional 3 Imbang*	751	0.04	1,081
Amanah Saham Gemilang for Amanah Saham Persaraan*	338	0.02	486
Amanah Saham Gemilang for Amanah Saham Kesihatan*	550	0.03	791
Amanah Saham Gemilang for Amanah Saham Pendidikan*	447	0.03	643
PNB Structured Investment Fund*	5,329	0.30	7,673
Direct unitholdings of the Directors of the Manager			
Mr Kee Teck Koon	100	0.01	144
Mr Lim Beng Chee	100	0.01	144
Mr Ng Kok Siong	100	0.01	144
Ms Sharon Lim Hwee Li	100	0.01	144
Datuk Gnanachandran S. Ayadurai	100	0.01	144
Ms Tan Siew Bee	100	0.01	144
Mr Peter Tay Buan Huat	100	0.01	144
	849,886	48.24	1,223,835

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8. UNITHOLDERS' CAPITAL (continued)

Unitholdings of the Manager and parties related to the Manager (continued)

	Number of units '000	Percentage of unitholding %	Market value** RM'000
2010			
Direct unitholdings of parties related to the Manager			
CMMT Investment Limited	563,478	41.74	631,095
Skim Amanah Saham Bumiputera*	96,292	7.13	107,847
AS 1 Malaysia*	14,107	1.04	15,800
Amanah Saham Wawasan 2020*	25,000	1.85	28,000
Sekim Amanah Saham Nasional*	3,000	0.22	3,360
Amanah Saham Malaysia*	14,000	1.04	15,680
Amanah Saham Nasional 2*	2,000	0.15	2,240
Amanah Saham Nasional 3 Imbang*	400	0.03	448
Amanah Saham Gemilang for Amanah Saham Persaraan*	300	0.02	336
Amanah Saham Gemilang for Amanah Saham Kesihatan*	100	0.01	112
Amanah Saham Gemilang for Amanah Saham Pendidikan*	200	0.01	224
PNB Structured Investment Fund*	3,000	0.22	3,360
Direct unitholdings of the Directors of the Manager			
Mr Kee Teck Koon	100	0.01	112
Mr Lim Beng Chee	100	0.01	112
Mr Ng Kok Siong	100	0.01	112
Mr Lock Wai Han	100	0.01	112
Ms Sharon Lim Hwee Li	100	0.01	112
Datuk Gnanachandran S. Ayadurai	100	0.01	112
Ms Tan Siew Bee	100	0.01	112
Mr Peter Tay Buan Huat	100	0.01	112
	722,677	53.54	809,398

CMMT Investment Limited and Menang Investment Limited are indirect wholly owned subsidiaries of CMA who in turn is the ultimate holding company of the Manager.

Funds marked as* are managed by Amanah Saham Nasional Berhad (ASNB), a wholly-owned subsidiary of Permodalan Nasional Berhad (PNB), except for PNB Structured Investment Fund which is managed by Amanah Mutual Berhad, a wholly-owned subsidiary of ASNB where PNB is the ultimate holding company. PNB is the ultimate holding company of Malaysia Industrial Development Finance Berhad (MIDF) who in turn is a substantial shareholder of the Manager.

** The market value of the units for respective year/period is computed based on the closing market price of RM1.44 per unit as at 30 December 2011 and RM1.12 per unit as at 30 December 2010.

NOTES TO THE FINANCIAL STATEMENTS

9. BORROWINGS

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
Non-current			
Secured term loans			
- Fixed rate	573,825	573,825	525,000
- Floating rate	245,925	245,925	225,000
Less: Unamortised transaction costs	(4,519)	(4,519)	(4,878)
	815,231	815,231	745,122
Current			
Unsecured revolving credit	9,000	9,000	-
	824,231	824,231	745,122

(i) Existing Facility Agreement 1

CMMT had entered into a facility agreement dated 10 June 2010 (First Facility Agreement) in respect of financing facilities in the aggregate principal amount of RM811,000,000 (Existing Facility 1) with a licensed bank (Lender).

On 14 July 2010, CMMT had drawdown the principal sum of RM750,000,000 under Existing Facility 1 to part finance the acquisition of investment properties.

The average effective interest rate for the Existing Facility 1 is 4.7% (2010: 4.7%) per annum.

The principal amount due under the Existing Facility 1 is to be repaid by way of bullet repayments of RM300,000,000 at the end of the fifth year and RM450,000,000 at the end of the seventh year from the date of drawdown, 14 July 2010.

The Existing Facility 1 is secured by, among others, the following:

a) the First Facility Agreement;

b) in respect of Gurney Plaza¹:

i) a deed of assignment in respect of, among other things, the Gurney Plaza Principal Agreement² (excluding the rights, title, interest and benefits in relation to Gurney Plaza Extension⁴), the Gurney Plaza SPA³ and the deed of assignment in favour of CMMT in respect of the Gurney Plaza Principal Agreement (collectively, the Gurney Plaza Documents) incorporating an irrevocable power of attorney to deal with Gurney Plaza;

ii) a first party land charge over the GP Land Title⁵;

iii) deposit of the originals of the Gurney Plaza Documents with the Lender;

iv) a deed of assignment in respect of the rental proceeds payable under the various tenancies of Gurney Plaza; and

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9. BORROWINGS (continued)

(i) Existing Facility Agreement 1 (continued)

b) in respect of Gurney Plaza¹ (continued):

- v) a deed of assignment in respect of the account opened for the purpose of depositing all rental proceeds generated from Gurney Plaza (GP Bank Account Assignment).

¹ Gurney Plaza refers to:
an eight storey shopping mall known as "Gurney Plaza" with two levels of basements erected on the land held under Geran 97112 for Lot 2903, Section 1 in the Town of Georgetown, District of Timor Laut, State of Penang.

² Gurney Plaza Principal Agreement refers to:
the Gurney Plaza principal sale and purchase agreement dated 15 August 2007 made between CapitaRetail Gurney Sdn. Bhd. and Gurney Plaza Sdn. Bhd. in relation to the acquisition of Gurney Plaza by CapitaRetail Gurney Sdn. Bhd..

³ Gurney Plaza SPA refers to:
The conditional sale and purchase agreement dated 10 June 2010 entered into between the Trustee and CapitaRetail Gurney Sdn. Bhd., in relation to the acquisition of Gurney Plaza by CMMT.

⁴ Gurney Plaza Extension refers to:
a nine storey retail extension block adjoining Gurney Plaza.

⁵ GP Land Title refers to:
all that piece of freehold land held under H.S.(D) 17259 for Lot 5626, Seksyen 1, Bandar Georgetown, Daerah Timor Laut, Negeri Pulau Pinang on which there has been erected thereon both Gurney Plaza and Gurney Plaza Extension.

c) in respect of The Mines⁶:

- i) a first party land charge over The Mines;
- ii) a deed of assignment in respect of, among other things, The Mines SPA⁷, incorporating an irrevocable power of attorney to enable the Lender to deal with The Mines;
- iii) a deed of assignment in respect of the rental proceeds payable under the various tenancies of The Mines; and
- iv) a deed of assignment in respect of the account opened for the purpose of depositing all rental proceeds generated from The Mines.

Covenants include an undertaking to deposit all rental proceeds generated from Gurney Plaza and The Mines into separate designated revenue accounts and an obligation for CMMT to ensure that, during the subsistence of the Existing Facility 1, CMA will maintain no less than a 51.00% direct or indirect shareholding in the Manager of CMMT and a 20.00% direct or indirect unitholding in CMMT.

⁶ The Mines refers to:
a five storey shopping mall known as The Mines bearing the address The Mines, Jalan Dulang, Mines Resort City, 43300 Seri Kembangan, Selangor Darul Ehsan erected on a leasehold land held under H.S.(D) 59894 P.T. No. 16722 in the Mukim and District of Petaling, Selangor Darul Ehsan.

⁷ The Mines SPA refers to:
the conditional sale and purchase agreement dated 10 June 2010 entered into between the Trustee and Mutual Streams Sdn. Bhd. in relation to the acquisition of The Mines by CMMT.

(ii) Existing Facility Agreement 2

In respect of Gurney Plaza Extension:

CMMT had further entered into a facility agreement dated 17 March 2011 (Second Facility Agreement) with the Lender in respect of additional banking facilities in the aggregate principal sum of RM89,750,000 (Existing Facility 2) with the Lender.

NOTES TO THE FINANCIAL STATEMENTS

9. BORROWINGS (continued)

(ii) Existing Facility Agreement 2 (continued)

On 28 March 2011, CMMT had drawdown the principal sum of RM69,750,000 under the Existing Facility 2 to part finance the acquisition of Gurney Plaza Extension.

The average effective interest rate for the Existing Facility 2 is 4.7% per annum.

The principal sum of RM69,750,000 due under Existing Facility 2 is to be repaid by way of bullet repayment of the said amount due at the end of the tenure, i.e. seven year from the date of drawdown, 28 March 2011.

The Existing Facility 2 is secured by, among others, the following:

- the Second Facility Agreement;
- a first party land charge over the GP Land Title;
- a deed of assignment in respect of the rental proceeds payable under the various tenancies of Gurney Plaza Extension; and
- a supplemental deed of assignment in respect of the GP Bank Account Assignment.

(iii) Unsecured Revolving Credit Facility

CMMT had entered into a facility agreement, dated 8 August 2011, with a licensed bank in respect of an unsecured revolving credit facility in the aggregate principal sum of RM50,000,000 (the unsecured RCF).

On 23 December 2011, CMMT had drawdown RM9,000,000 to part finance the asset enhancement initiatives for Gurney Plaza and The Mines.

The drawdown unsecured RCF bears an average effective interest rate of 4.5% per annum.

10. TRADE AND OTHER PAYABLES

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
Non-current			
Tenants' deposits	47,186	47,186	23,512
Current			
Trade			
Trade payables	14,130	14,130	9,198
Amount due to related parties	6,531	6,531	5,044
	20,661	20,661	14,242
Non-trade			
Interest payable	10,635	10,635	10,118
Accrued operating expenses	21,228	21,213	17,106
Tenants' deposits	21,936	21,936	20,956
Other deposits and advance	8,982	8,982	12,208
	62,781	62,766	60,388
	83,442	83,427	74,630
	130,628	130,613	98,142

Included in the amount due to related parties are an amount due to the Manager of RM6,407,000 (2010: RM4,966,000) of which RM4,031,000 (2010: RM3,127,000) is payable in units of CMMT as payment for the performance component of management fee, for the period from 1 July 2011 to 31 December 2011, and Trustee's fee of RM124,000 (2010: RM71,000). The relationship and transactions of the above are further disclosed in Note 25.

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11. OTHER OPERATING EXPENSES

	Group Year ended 31.12.2011 RM'000	Year ended 31.12.2011 RM'000	Trust 7.6.2010 to 31.12.2010 RM'000
Property management fee	11,639	11,639	3,956
Marketing expenses	4,187	4,187	1,646
Quit rent and assessment	6,288	6,288	2,660
General and administrative expenses	2,544	2,544	1,175
	24,658	24,658	9,437

The property management fee is payable to the property manager, Knight Frank (Ooi & Zaharin Sdn. Bhd.), which includes reimbursable staff costs for managing the investment properties. The property management fee for Gurney Plaza, Sungei Wang Plaza and The Mines is based on a monthly fee of RM50,000 (2010: RM50,000) as stipulated in the property management agreement dated 10 June 2010. A new property management agreement, dated 14 November 2011, was entered into for East Coast Mall at a monthly fee of RM9,000.

12. MANAGER'S MANAGEMENT FEE

	Group Year ended 31.12.2011 RM'000	Year ended 31.12.2011 RM'000	Trust 7.6.2010 to 31.12.2010 RM'000
(inclusive of a service tax of 6%)			
Base management fee	8,110	8,110	3,223
Performance fee	8,176	8,176	3,283
	16,286	16,286	6,506

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1% per annum of the total asset value and a performance fee of up to 5% per annum of net property income. For the financial year ended 31 December 2011, the Manager has accounted for a base fee of 0.29% (2010: 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (2010: 4.75%) per annum of net property income payable semi-annually in units after distribution to unitholders.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment.

During the financial year ended 31 December 2011, the Manager was paid a total of RM5,565,000 (inclusive of a service tax of 6%) as the acquisition fee for the completion of acquisition of Gurney Plaza Extension and East Coast Mall. The acquisition fee was capitalised as part of the acquisition costs of Gurney Plaza Extension and East Coast Mall.

During the same financial year, the Manager was paid 5,889,100 units in CMMT which was equivalent to RM6,808,000, as part settlement of its management fee for the period from 14 July 2010 to 30 June 2011. The said units were disposed to a related party of the Manager, Menang Investment Limited, on 19 December 2011 at cost.

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

13. TRUSTEE'S FEE

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

NOTES TO THE FINANCIAL STATEMENTS

14. FINANCE COSTS

	Group Year ended 31.12.2011 RM'000	Year ended 31.12.2011 RM'000	Trust 7.6.2010 to 31.12.2010 RM'000
Interest paid/payable on secured term loans	37,781	37,781	16,452
Interest payable on unsecured revolving credit	13	13	-
Amortisation of transaction costs on borrowings	920	920	440
Others	(7)	(7)	427
	38,707	38,707	17,319

15. OTHER NON-OPERATING INCOME/EXPENSES

Included in other non-operating expenses during the previous financial period was listing expenses of RM14,000,000 in relation to the initial public offering of CMMT in July 2010. The relevant adjustment of RM2,085,000 for over-recognition of the initial public offering listing expenses was reported as other non-operating income in the current financial year.

16. TAX EXPENSE

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a Real Estate Investment Trust (REIT) will be exempted from income tax provided that the REIT distributes 90% or more of its total income for the year. If the REIT is unable to meet the 90% distribution criteria, the entire taxable income of the REIT for the year would be subject to income tax.

As announced on 20 January 2012, CMMT will distribute 100% of its distributable income for the financial year ended 31 December 2011 to its unitholders. As such, no provision for tax expense has been made for the financial year.

Reconciliation of tax expense is as follows:

	Group Year ended 31.12.2011 RM'000	Year ended 31.12.2011 RM'000	Trust 7.6.2010 to 31.12.2010 RM'000
Profit before taxation	179,814	179,821	109,396
Income tax at Malaysian statutory tax rate of 25%	44,954	44,955	27,349
Effect of fair value gain of investment properties not subject to tax	(17,228)	(17,228)	(20,337)
Effect of income not subject to tax	(29,571)	(29,571)	(11,486)
Expenses not deductible for tax purposes	1,845	1,844	4,474
Tax expense for the financial year/period	-	-	-

17. EARNINGS PER UNIT

The calculation of earnings per unit before Manager's management fee is based on the profit for the year of RM196,100,000 (2010: RM115,902,000) and on the weighted average number of units in circulation during the financial year of 1,498,638,647 (2010: 1,350,000,000).

The calculation of earnings per unit after Manager's management fee is based on the profit for the year of RM179,814,000 (2010: RM109,396,000) and on the weighted average number of units in circulation during the financial year of 1,498,638,647 (2010: 1,350,000,000).

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18. DISTRIBUTIONS TO UNITHOLDERS

	Group Year ended 31.12.2011 RM'000	Year ended 31.12.2011 RM'000	Trust 7.6.2010 to 31.12.2010 RM'000
Distributions to unitholders are from the following sources:			
Rental income	193,995	193,995	80,129
Interest income	3,063	3,063	954
Other income	37,112	37,112	14,507
Less: Expenses	(115,887)	(115,887)	(49,680)
Less: Rollover adjustment for rounding difference	(25)	(25)	(10)
Distributable income	118,258	118,258	45,900
Distribution per unit (sen) of which:	7.87	7.87	3.40
- taxable distribution of income (sen)	7.69	7.69	3.33
- tax exempt distribution of income (sen)	0.18	0.18	0.07

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CMMT level is as follows:

Resident unitholders	
(a) Corporate	Tax flow through, no withholding tax
(b) Other than corporate	Withholding tax at 10%
Non-resident unitholders	
(c) Corporate	Withholding tax at 25%
(d) Institutional investors	Withholding tax at 10%
(e) Individuals	Withholding tax at 10%

19. PORTFOLIO TURNOVER RATIO

	2011	2010
Portfolio turnover ratio (PTR) (times)	0.16	0.73

The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CMMT for the year/period to the average net asset value during the financial year/period.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CMMT against other REITs.

20. MANAGEMENT EXPENSE RATIO

	2011	2010
Management expense ratio (MER) (%)	1.1	1.1

MER is calculated based on the total fees of CMMT including Manager's management fee, Trustee's fee and other trust expenses, to the average net asset value during the financial year/period.

Comparison of the MER of CMMT with other REITs which may use different basis of calculation may not be an accurate comparison.

NOTES TO THE FINANCIAL STATEMENTS

21. CAPITAL COMMITMENTS

Capital expenditure commitments

The approved capital expenditure commitments of RM101,978,000 for the financial period 2010 and financial year 2011 are set out in the initial public offering prospectus of CMMT. The balance of approved capital expenditure commitments that has yet to be contracted for as at 31 December is as follows:

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
Regular capital expenditure	872	872	9,927
Asset enhancement initiatives	57,611	57,611	88,394
	58,483	58,483	98,321

22. OPERATING LEASE

The Group and the Trust have the following commitments at the end of the financial year/period:

(a) Operating lease rental payable

Future minimum lease payments of the Group and of the Trust on non-cancellable operating leases are as follows:

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
Less than one year	54	54	34
Between one and five years	191	191	42
	245	245	76

The Group and the Trust lease photocopiers under operating leases. The leases run for a period of five (5) years with an option to renew the leases upon expiry.

(b) Operating lease rental receivable

Future minimum lease rental receivable of the Group and of the Trust on non-cancellable operating leases from investment properties are as follows:

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
Less than one year	186,447	186,447	143,678
Between one and five years	212,503	212,503	109,167
After five years	10,313	10,313	10,311
	409,263	409,263	263,156

23. FINANCIAL INSTRUMENTS

Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as loans and receivables and other liabilities.

NOTES TO THE FINANCIAL STATEMENTS

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23. FINANCIAL INSTRUMENTS (continued)

Financial risk management

The Group and the Trust have exposure to the following risks from its use of financial instruments:

- Liquidity risk
- Credit risk
- Interest rate risk
- Foreign currency risk

The Group and the Trust have implemented risk management policies and guidelines which sets its tolerance of risk and its general risk management philosophy.

Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arises primarily from various payables and borrowings. The Group and the Trust maintain a level of cash and cash equivalents deemed adequate by the management to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due.

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year/period based on undiscounted contractual payments:

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
Group							
2011							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	828,750	4.27 - 5.09	1,027,014	45,801	36,486	399,167	545,560
Trade and other payables	130,628	-	115,963	68,776	18,498	28,570	119
	<u>959,378</u>		<u>1,142,977</u>	<u>114,577</u>	<u>54,984</u>	<u>427,737</u>	<u>545,679</u>
Trust							
2011							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	828,750	4.27 - 5.09	1,027,014	45,801	36,486	399,167	545,560
Trade and other payables	130,613	-	115,948	68,761	18,498	28,570	119
	<u>959,363</u>		<u>1,142,962</u>	<u>114,562</u>	<u>54,984</u>	<u>427,737</u>	<u>545,679</u>
2010							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	750,000	4.44 - 5.09	955,944	35,117	32,687	398,180	489,960
Trade and other payables	98,142	-	84,896	61,384	12,933	10,460	119
	<u>848,142</u>		<u>1,040,840</u>	<u>96,501</u>	<u>45,620</u>	<u>408,640</u>	<u>490,079</u>

23. FINANCIAL INSTRUMENTS (continued)

Liquidity risk (continued)

Maturity analysis (continued)

Included in the carrying amount of trade and other payables are:

- (a) an amount of RM10,635,000 (2010: RM10,118,000) for interest payable on the secured term loans and unsecured revolving credit which were incorporated in the contractual cash flows of the bank borrowings; and
- (b) an amount of RM4,031,000 (2010: RM3,127,000) for Manager's performance fee payable in units which was not incorporated in the contractual cash flows.

Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arises primarily from trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meets the appropriate credit criteria and of high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate bank borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate bank borrowings are exposed to a risk of change in cash flow due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but were mainly placed in fixed or short term deposits which yield better returns than cash at bank.

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23. FINANCIAL INSTRUMENTS (continued)

Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year/period, is as follows:

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
Financial asset			
<i>Fixed rate instruments</i>			
Deposits placed with licensed banks	96,890	96,890	120,856
Financial liabilities			
<i>Fixed rate instruments</i>			
Secured term loans	573,825	573,825	525,000
<i>Floating rate instruments</i>			
Secured term loans	245,925	245,925	225,000
Unsecured revolving credit	9,000	9,000	-
	828,750	828,750	750,000

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through the statement of comprehensive income. Therefore, a change in interest rates at the end of the financial year would not affect the statement of comprehensive income.

Cash flow sensitivity analysis for variable rate instruments

An increase of 100 basis points (bp) in interest rate at the reporting date would increase the finance cost for the financial year by RM8,035,000 (2010: RM3,514,000). A decrease in 100 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables, in particular foreign currency rates, remain constant.

Foreign currency risk

At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

Fair values

The carrying amounts of cash and cash equivalents, trade and other receivables and trade and other payables approximate their fair values due to the relatively short term nature of these financial instruments.

The fair value of the floating rate bank borrowing approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate bank borrowing at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the non-derivative financial liabilities, which are computed for disclosure purposes, together with the carrying amounts shown in the statement of financial position, are as follows:

NOTES TO THE FINANCIAL STATEMENTS

23. FINANCIAL INSTRUMENTS (continued)

Fair values (continued)

	Group and Trust 2011		Trust 2010	
	Carrying amount RM'000	Fair value RM'000	Carrying amount RM'000	Fair value RM'000
Tenants' deposits	69,122	66,182	44,468	43,243
Fixed rate bank borrowings	573,825	586,593	525,000	532,322

The above fair values are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2011 %	2010 %
Tenants' deposits	2.95	2.65
Fixed rate bank borrowings	4.68 - 4.78	4.59 - 5.09

24. CAPITAL MANAGEMENT

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings level of the Group with the view of strengthening their capital structure and competitive position.

The Manager is determined to maintain an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and debt covenants. Under the SC's REITs Guidelines, gearing ratio of the Trust should not exceed 50% at the time the borrowings are incurred. However, the Trust's gearing ratio may exceed this limit with the sanction of its unitholders by way of an ordinary resolution. The Group and the Trust have complied with the SC's requirement during the financial year.

	Group 2011 RM'000	Trust 2010 RM'000
Total asset value (after income distribution)	2,886,607	2,232,320
Total bank borrowings (excluding unamortised transaction costs) (Note 9)	828,750	750,000
Gearing ratio (%)	28.7	33.6

There was no change in the Group's approach to capital management during the year.

25. RELATED PARTIES

Identity and transactions with the related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

In the normal course of the operations of the Trust, Manager's management fee (including acquisition fee) and Trustee's fee have been paid or are payable to the Manager and Trustee respectively. The property management fee (include reimbursable staff cost) are payable to the property manager.

NOTES TO THE FINANCIAL STATEMENTS

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25. RELATED PARTIES (continued)

Identity and transactions with the related parties (continued)

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business on arm's length commercial terms:

	Group 2011 RM'000	2011 RM'000	Trust 2010 RM'000
Related company of a substantial shareholder of the Manager			
Equiniti Services Sdn. Bhd. ¹			
- Issuing house services	-	-	120
- Administrative services	-	-	7
Related company of a substantial unitholder and the Manager			
Singapore Technologies Electronics Limited			
- Maintenance of parking guidance system	47	47	-

Save from the transactions disclosed above and in Note 8, 10, 12 and 13, there is no other related party transaction pertaining to the Group and to CMMT during the financial year.

¹ On 26 May 2011, MIDF, the substantial shareholder of the Manager disposed of its shares in MIDF Consultancy & Corporate Services Sendirian Berhad (MIDFCCS) to an external party. Since then, MIDFCCS changed its name to Equiniti Services Sdn. Bhd. and ceased to be a related party to the Manager.

26. OPERATING SEGMENTS

No segment information is prepared as the Group's and the Trust's activities are predominantly in one industry and its properties are located in Malaysia.

27. SUBSEQUENT EVENT

As announced on 20 January 2012 and in line with the distribution policy as disclosed in CMMT's initial public offering prospectus, CMMT will be paying a final income distribution of RM20,095,000 or 1.14 sen per unit on 8 March 2012, for the period from 11 November 2011 to 31 December 2011. In total, CMMT will be paying RM118,258,000, which represents 100% of its distributable income, to its unitholders for the financial year ended 31 December 2011. The book closure date for the final income distribution was on 10 February 2012.

The final income distribution will be recognised in the immediate subsequent financial year.

28. COMPARATIVE FIGURES

No comparative figures were presented at the Group level as the subsidiary was established in November 2011.

STATISTICS OF UNITHOLDERS

STATISTICS OF UNITHOLDERS

As at 30 December 2011

APPROVED FUND SIZE

2,000,000,000 units

ISSUED AND FULLY PAID UNITS

1,762,652,100 units (voting rights: 1 vote per unit)

PUBLIC SPREAD

As at 30 December 2011, public shareholding spread of CMMT was 58.60%¹.

¹ The figures were derived at after excluding unitholdings held by CMMT Investment Limited, Menang Investment Limited, Government of Singapore Investment Corporation Pte Ltd and Directors of the Manager, pursuant to the definition of "public" under the Listing Requirements.

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	4	0.10	128	0.00
100 - 1,000	622	15.54	533,572	0.03
1,001 - 10,000	2,212	55.26	11,755,100	0.67
10,001 - 100,000	872	21.78	31,084,900	1.76
100,001 - less than 5% of approved fund size	290	7.24	834,793,500	47.36
5% and above the approved fund size	3	0.08	884,484,900	50.18
Total	4,003	100.00	1,762,652,100	100.00

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1	CMMT INVESTMENT LIMITED	623,938,000	35.40
2	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD	144,904,000	8.22
3	AMANAHRAYA TRUSTEES BERHAD SKIM AMANAH SAHAM BUMIPUTERA	115,642,900	6.56
4	CARTABAN NOMINEES (ASING) SDN BHD GOVERNMENT OF SINGAPORE INVESTMENT CORPORATION PTE LTD FOR GOVERNMENT OF SINGAPORE (C)	72,874,600	4.13
5	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EXEMPT AN FOR PRUDENTIAL FUND MANAGEMENT BERHAD	62,215,700	3.53
6	HSBC NOMINEES (ASING) SDN BHD EXEMPT AN FOR JPMORGAN CHASE BANK, NATIONAL ASSOCIATION (BVI)	44,334,500	2.52
7	MAYBAN NOMINEES (TEMPATAN) SDN BHD MAYBAN TRUSTEES BERHAD FOR PUBLIC REGULAR SAVINGS FUND (N14011940100)	43,069,900	2.44
8	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EXEMPT AN FOR AMERICAN INTERNATIONAL ASSURANCE BERHAD	37,115,400	2.11
9	AMANAHRAYA TRUSTEES BERHAD AMANAH SAHAM WAWASAN 2020	35,049,500	1.99
10	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 1)	33,008,800	1.87

STATISTICS OF UNITHOLDERS

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No	Name of Unitholder	Holdings	%
11	AMANAHRAYA TRUSTEES BERHAD AMANAH SAHAM MALAYSIA	30,000,000	1.70
12	VALUECAP SDN BHD	27,010,000	1.53
13	AMANAHRAYA TRUSTEES BERHAD AS 1MALAYSIA	23,215,700	1.32
14	CARTABAN NOMINEES (ASING) SDN BHD GOVERNMENT OF SINGAPORE INVESTMENT CORPORATION PTE LTD FOR MONETARY AUTHORITY OF SINGAPORE (H)	21,261,400	1.21
15	AMANAHRAYA TRUSTEES BERHAD PUBLIC FAR-EAST PROPERTY & RESORTS FUND	14,950,000	0.85
16	AMANAHRAYA TRUSTEES BERHAD PUBLIC SMALLCAP FUND	14,350,000	0.81
17	CITIGROUP NOMINEES (TEMPATAN) SDN BHD ALLIANZ LIFE INSURANCE MALAYSIA BERHAD (P)	14,300,000	0.81
18	AMANAHRAYA TRUSTEES BERHAD PUBLIC SECTOR SELECT FUND	14,040,000	0.80
19	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 2)	10,603,700	0.60
20	TOKIO MARINE LIFE INSURANCE MALAYSIA BHD AS BENEFICIAL OWNER (PF)	10,000,000	0.57
21	HSBC NOMINEES (ASING) SDN BHD EXEMPT AN FOR THE HONGKONG AND SHANGHAI BANKING CORPORATION LIMITED (HBFS-I CLT ACCT)	9,334,600	0.53
22	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (LGF)	9,293,000	0.53
23	MALAYSIAN REINSURANCE BERHAD	9,200,000	0.52
24	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD (ALLIANCE INV)	9,000,000	0.51
25	AMANAHRAYA TRUSTEES BERHAD PUBLIC SOUTH-EAST ASIA SELECT FUND	8,460,000	0.48
26	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 3)	8,228,600	0.47
27	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (LPF)	8,180,000	0.46
28	AMANAHRAYA TRUSTEES BERHAD PUBLIC DIVIDEND SELECT FUND	7,445,300	0.42
29	HSBC NOMINEES (ASING) SDN BHD EXEMPT AN FOR J.P. MORGAN BANK LUXEMBOURG S.A.	7,149,700	0.41
30	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD (HDBS)	7,033,000	0.40
TOTAL		1,475,208,300	83.70

STATISTICS OF UNITHOLDERS

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings
Mr Kee Teck Koon	Chairman / Independent Non-Executive Director	Singaporean	100,000	-	100,000
Mr Lim Beng Chee	Non-Independent Non-Executive Director	Singaporean	-	100,000	100,000
Mr Ng Kok Siong	Non-Independent Non-Executive Director	Singaporean	-	100,000	100,000
Datuk Mohd. Najib Bin Hj. Abdullah	Non-Independent Non-Executive Director	Malaysian	-	-	-
Datuk Chandran (Gnanachandran S Ayadurai)	Independent Non-Executive Director	Malaysian	100,000	-	100,000
Ms Tan Siew Bee	Independent Non-Executive Director	Malaysian	100,000	-	100,000
Mr Peter Tay Buan Huat	Independent Non-Executive Director	Singaporean	100,000	-	100,000
Ms Sharon Lim Hwee Li	Non-Independent Executive Director	Singaporean	100,000	-	100,000
Total			500,000	200,000	700,000

STATISTICS OF UNITHOLDERS

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SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	623,938,000	-	623,938,000	35.40
2	Employees Provident Fund Board	-	144,904,000	167,905,400	9.52
	Employees Provident Fund Board (Alliance Inv)		9,000,000		
	Employees Provident Fund Board (HDBS)		7,033,000		
	Employees Provident Fund Board (CIMB Prin)		6,968,400		
	Registered with: Citigroup Nominees (Tempatan) Sdn. Bhd.				
3	Skim Amanah Saham Bumiputera	-	115,642,900	115,642,900	6.56
	Registered with: AmanahRaya Trustees Berhad				
4	Government of Singapore Investment Corporation Pte. Ltd. for Government of Singapore (C)	-	72,874,600	99,248,100	5.63
	Government of Singapore Investment Corporation Pte. Ltd. for Monetary Authority of Singapore (H)		21,261,400		
	Government of Singapore Investment Corporation Pte. Ltd. for Monetary Authority of Singapore (B)		5,112,100		
	Registered with: Cartaban Nominees (Asing) Sdn. Bhd.				
TOTAL		623,938,000	382,796,400	1,006,734,400	57.11

CORPORATE INFORMATION

CAPITAMALLS MALAYSIA TRUST

Registered Address

AmTrustee Berhad
(Company Number: 163032-V)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur
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Facsimile No.: +60 3 2032 1914

Website

www.capitamallsmalaysia.com

Investor Relations

Telephone No.: +60 3 2279 9888
Email : ask-us@capitamallsmalaysia.com

Stock Exchange Listing

Main Market of Bursa Malaysia Securities Berhad
Stock Name : CMMT
Stock Code : 5180

Trustee

AmTrustee Berhad
(Company Number: 163032-V)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur
Telephone No.: +60 3 2036 2633
Facsimile No.: +60 3 2032 1914

Auditors

KPMG
(Firm No: AF 0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7721 3388
Facsimile No.: +60 3 7721 3399
Partner-In-Charge: Mr Foong Mun Kong

Unit Registrar

Equiniti Services Sdn. Bhd.
(formerly known as MIDF Consultancy & Corporate Services
Sdn. Bhd.)
(Company Number: 11324-H)
Level 8, Menara MIDF
82, Jalan Raja Chulan
50200 Kuala Lumpur
Telephone No.: +60 3 2166 0933
Facsimile No.: +60 3 2166 0688

Property Manager

Knight Frank (Ooi & Zaharin Sdn. Bhd.)
(Company Number: 585479-A)
Suite 9.01, 9th Floor
Menara IGB, Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Telephone No.: +60 3 2289 9688
Facsimile No.: +60 3 2289 9788

THE MANAGER

CapitaMalls Malaysia REIT Management Sdn. Bhd.
(Company Number: 819351-H)

Manager's Registered Office / Principal Place of Business

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur
Telephone No.: +60 3 2279 9888
Facsimile No.: +60 3 2279 9889

Board of Directors of the Manager

Mr Kee Teck Koon
Chairman & Independent Non-Executive Director

Mr Lim Beng Chee
Non-Independent Non-Executive Director

Mr Ng Kok Siong
Non-Independent Non-Executive Director

Datuk Mohd. Najib Bin Hj. Abdullah
Non-Independent Non-Executive Director

Datuk IG Chandran (Gnanachandran S Ayadurai)
Independent Non-Executive Director

Ms Tan Siew Bee
Independent Non-Executive Director

Mr Peter Tay Buan Huat
Independent Non-Executive Director

Ms Sharon Lim Hwee Li
Non-Independent Executive Director

Executive Committee

Mr Lim Beng Chee (Chairman)
Mr Ng Kok Siong
Ms Sharon Lim Hwee Li

Audit Committee

Datuk IG Chandran (Gnanachandran S Ayadurai)
(Chairman)
Ms Tan Siew Bee
Mr Ng Kok Siong

Corporate Disclosure Committee

Mr Kee Teck Koon (Chairman)
Mr Lim Beng Chee
Mr Ng Kok Siong

Company Secretaries of the Manager

Ms Khoo Ming Siang (MAICSA 7034037)
Ms Pang Chia Tyng (MAICSA 7034545)
Ms Wong Huey Shyan (MAICSA 7029602)

Principal Bankers

AmBank (M) Berhad
(Company Number: 8515-D)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur

CIMB Bank Berhad
(Company Number: 13491-P)
10th Floor, Bangunan CIMB
Jalan Semantan, Damansara Heights
50490 Kuala Lumpur

Public Bank Berhad
(Company Number: 6463-H)
27th Floor, Menara Public Bank
146, Jalan Ampang
50450 Kuala Lumpur

RHB Bank Berhad
(Company Number: 6171-M)
Tower One, RHB Centre
Jalan Tun Razak
50400 Kuala Lumpur

United Overseas Bank (Malaysia) Bhd
(Company Number: 271809K)
Menara UOB
Jalan Raja Laut
50350 Kuala Lumpur

Malayan Banking Berhad
(Company Number: 3813-K)
Menara Maybank
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MALL DIRECTORY

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Fax: +60 4 228 6666
www.gurneyplaza.com.my

The Mines

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MINES Resort City
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Centre Management Office

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www.the-mines.com.my

Sungei Wang Plaza

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Tel: +60 3 2148 6109

Centre Management Office¹

Location: Level 6
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East Coast Mall

East Coast Mall
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Pahang Darul Makmur
Malaysia

Centre Management Office

Location: Level 3
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www.eastcoastmallkuantan.com.my

¹ Centre Management Office for CMMT's 205 strata parcels only.

CapitaMalls Malaysia REIT Management Sdn. Bhd.

As Manager of CapitaMalls Malaysia Trust

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